

Delaying Fertility, Advancing Careers: The Lasting Consequences of Growing Up with a Safety Net

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Abstract

How early-life income shapes women's life trajectories is central to understanding social mobility and gender inequality. This paper shows that income support during childhood delays motherhood and shifts women toward more career-oriented transitions to adulthood, ultimately leading to higher cumulative labor market earnings. I combine fifteen years of administrative records with a regression discontinuity design that exploits an arbitrary eligibility rule for a large-scale, government-implemented cash transfer program. An additional USD 1,000 of income support during childhood increases women's total months of formal employment and cumulative earnings by 6.5 percent, with outcomes observed on average at age 27. These gains operate through changes in transitions to adulthood: an additional 1,000 USD of income support increases the probability of a career-oriented transition by 14.0 percent relative to a motherhood-oriented path. Earnings gains accumulate up to the birth of the first child but once fertility timing is accounted for, i.e., conditional on age of first birth, eligible and ineligible women experience similar child penalties. Additional evidence on mechanisms suggests that the channels through which income support operates depend on age at exposure and the institutional and socio-economic context. A Marginal Value of Public Funds analysis shows that, through increased future payroll tax revenues, the program fully pays for itself by age 40, and over the life cycle generates government revenues of approximately USD 2.39 per dollar transferred. Overall, these results show that income support during childhood can reshape women's fertility timing and early career trajectories, thereby promoting social mobility and reducing gender inequality.

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Introduction

Fertility timing plays a central role in shaping women's life trajectories. Delaying fertility, especially from early ages, has substantial labor market returns for women (Goldin and Katz, 2002; Bailey, 2006; Gallen et al., 2024), with important implications for career trajectories, social mobility, and gender inequality. As a result, governments have sought to empower women and delay marriage and childbearing through policies that explicitly target educational opportunities or reproductive choices, such as education subsidies, compulsory schooling, or access to contraceptives. At the same time, a growing literature shows that income support for poor families, including cash transfers, can also have lasting effects on women's life trajectories and labor market outcomes (Bailey et al., 2024; Araujo and Macours, 2021). Such policies may affect later outcomes through multiple, interacting mechanisms, including changes in financial constraints, expectations, parental investments, and early-life education and fertility decisions. However, in practice, how, when, and why money matters remain unclear (Page, 2024). This paper links these two strands of literature by showing that income support during childhood delays motherhood, shifting women toward more career-oriented transitions to adulthood and higher cumulative labor market earnings.¹

The context is a permanent, large-scale and government-implemented program: the Uruguayan PANES/AFAM-PE. It consists of a cash transfer that, originally, represented close to 70% of self-reported pre-program household income. It was implemented in 2005 and remains in place today as the most generous anti-poverty program in Uruguay's history, accounting for 0.4% of the Uruguayan GDP and reaching more than 10% of households. This income-support program provides immediate financial assistance to socio-economically disadvantaged households and aims to encourage medium- and long-term human capital accumulation among their members, particularly children, for a more permanent transition out of poverty. Its eligibility is based on a poverty score. Households above a certain (unknown) threshold are deemed eligible, whereas those below it are ineligible. Upon acceptance, households are required to satisfy some conditions, such as school enrollment, attendance, and health check-ups, but these were not enforced until eight years after the program was implemented.

The empirical analysis is based on an exhaustive individual-level, multidimensional, longitudinal dataset that covers the universe of program applicants. This dataset is built from several administrative records that can be merged at the individual level using an individual identification number. This allows me to track individuals' applications and participation in PANES/AFAM-PE, as well as education, fertility, and labor-market outcomes for more than fifteen years. A key advantage of this longitudinal structure is that it allows me to study how income support affects the timing of key life-course decisions, rather than focusing on outcomes measured at a single age. Education, fertility, and labor market decisions are strongly correlated and change over time, particularly during the transition to adulthood. As emphasized by Aizer et al. (2022), estimates based solely on short-run or long-run outcomes are not

¹The concept of *transition to adulthood*, also referred to as *emerging adulthood*, describes a period in which individuals make a set of closely related education, labor market, and fertility decisions that characterize the move from childhood to adult roles. In the sociology and psychology literature, this period typically spans the late teenage years through the twenties and is increasingly viewed as distinct from both adolescence and full adulthood (Arnett, 2000; Settersten Jr et al., 2008).

enough to understand how social safety net policies may shape adult trajectories. Moreover, evidence from in-utero shocks and early childhood interventions suggests that policy effects do not necessarily evolve linearly over the life cycle (e.g., [Almond et al. 2018](#); [Chetty et al. 2011](#)). As a result, analyses based on snapshots of outcomes may miss important dynamic responses, such as shifts in labor market entry or delays in fertility, that ultimately shape longer-run outcomes. Following individuals across multiple life-stages is therefore critical to characterize the mechanisms through which childhood income support affects later-life trajectories. One caveat with the use of administrative records is that they allow precise measurement of formal employment and earnings but do not capture informal work. The analysis therefore focuses on *formal* labor market outcomes, which is a relevant outcome of interest as it captures job stability, access to social insurance, and attachment to the contributory labor market, which are central dimensions of job quality.²

The main sample of analysis consists of about 250,000 individuals who were younger than eighteen years old when their parents first applied to the program, and at least nineteen years old in December 2021, the last moment I observe their fertility outcomes. To identify the causal effects of this income support policy, I use a Regression Discontinuity Design (RDD) that exploits the sharp change in the total amount of income collected from *PANES/AFAM-PE* at the eligibility threshold ([Imbens and Lemieux, 2008](#)). Because the program has been in place for more than 15 years, many households have filed multiple applications. Furthermore, since the eligibility threshold became more lenient over time, many households that were initially ineligible eventually entered the program. To address this, and following the approach proposed by [Jepsen et al. \(2016\)](#), I use eligibility based on the score from the first application as an instrument for the total amount of cash support received by children during their childhood. On average, households that were ineligible at their first application collected about USD 7,600 (in 2008 PPP dollars), while those that were eligible collected around USD 10,900. This implies an average discontinuity of roughly USD 3,300, or about 43.4%, which is precisely the variation I exploit for identification. For reference, this amount is approximately equivalent to 3.3 additional years of *household formal labor* income during childhood, or about 1.4 years of *self-reported household total* income (including informal income and other transfers such as pensions, retirement benefits, etc.).

I begin by showing that, among women who were children when their parents first applied to *PANES/AFAM-PE*, additional childhood income support leads to substantial and persistent improvements in labor market outcomes, with effects that accumulate over time. When these women are last observed, at an average age of 28, each additional 1,000 USD of income support is associated with a 2.8% increase in months worked and a 4.6% increase in annual earnings. Since women who grew up in households just above the eligibility threshold, henceforth *eligible women*, received about 3,300 USD more than comparable women just below the threshold, the corresponding reduced-form effects scale up to a 9.3% increase in months worked and a 15.4% increase in earned income. These effects are substantially larger when considering cumulative outcomes over the entire period, suggesting that gains build up gradually over time. Specifically, each additional 1,000 USD of income support raises cumulative months employed and cumulative labor earnings by 6.5% (22.0% and 22.1%, respectively, for a

²According to official statistics, informal employment was 21.3% of total employment in Uruguay in 2023.

3,300 USD increase). For men, estimated effects are smaller, less precise, and not robust across specifications.

Second, I show that the long-term improvements in women’s labor market outcomes are likely driven by changes in how they transitioned to adulthood as additional childhood income support affected key decisions related to fertility, education, and labor market entry. To summarize these changes, I use a measure of a “career-oriented transition,” defined as not having a birth before age 19 and either holding a job or being enrolled in tertiary education at that age. Each additional 1,000 USD of income support increases the probability of a career-oriented transition by 14.0% (47.4% for a 3,300 USD increase). Consistent effects are estimated along all dimensions: a 1,000 USD increase raises the age at first birth by 0.8%, reduces the age at first job by 1.2%, and increases the likelihood of tertiary enrollment by 8.6% (2.5%, -3.9%, and 29.2%, respectively, for a 3,300 USD increase). A dynamic analysis further shows a strong, oppositely signed relationship between the effects on employment and fertility: effects on employment rise precisely at the ages when effects on fertility decline, and vice versa. Moreover, I show that these gains are accompanied by changes in job mobility, with higher mobility early in women’s careers followed by greater job stability later on. This pattern is consistent with early career job exploration followed by more stable matches, potentially facilitated by delayed fertility.

Third, I provide more direct evidence that fertility timing plays a key role in explaining the program’s labor market effects by examining women’s earnings trajectories around childbirth. I start by showing that additional income support has stronger effects among non-mothers than among women who eventually have children. Since women who did not have children are not necessarily the relevant comparison group, I then explore earnings dynamics around childbirth only among those who have become mothers. I show that, in the Uruguayan context, the relative child penalty decreases with age at first birth. Hence, fertility delays imply that women shift from higher- to lower-penalty trajectories, which may explain part of the observed earnings gains. I then combine a stacked DiD approach with the RDD to explore how the effects of additional income support evolve over time for eligible and ineligible mothers, using a group of not-yet-mothers to net out dynamic effects of additional income support unrelated to childbirth. The results from this strategy are consistent with fertility postponement being the main driver of labor market improvements. On the one hand, I find increasing effects on cumulative earnings for not-yet-mothers. On the other hand, once the effects of delayed births are netted out, i.e., conditional on age of first birth, eligible and ineligible mothers experience similar child penalties.

Beyond its main estimates, the paper provides additional evidence on the mechanisms that link childhood income support to women’s labor-market outcomes. While improvements in secondary education progression suggest a role for human capital accumulation in shaping women’s transitions to adulthood, heterogeneity by age at exposure shows that effects on age at first birth and labor-market entry are also substantial among older cohorts, who had limited margin to adjust educational attainment. Hence, delayed motherhood cannot be accounted for by changes in education decisions alone, and other channels, such as relaxed financial constraints or foot-in-the-door mechanisms, may also play a role. In addition, one notable departure from the main mechanism documented in the paper is observed for the youngest cohort, i.e., those who were 0-5 when the *PANES/AFAM-PE* was rolled out. For these cohorts,

the program primarily increases university enrollment, on the detriment of early labor-market participation, with little evidence of changes in fertility timing, highlighting how the mechanisms at play depend on both the timing of exposure and the institutional context. Building on these patterns, I explore the relative importance of fertility timing and educational attainment in accounting for changes in labor-market outcomes. The evidence indicates that avoiding an early birth is a necessary condition for positive labor-market effects, while additional education mainly shifts the magnitude of these gains. A mediation-style analysis suggests that a substantial share of the earnings gains, around 40 percent, is explained by changes in age at first birth, with education-related mediators accounting for little additional variation once fertility timing is taken into account. Finally, the analysis shows that these gains go beyond formal labor income, as women exposed to additional income support during childhood experience sizable reductions in poverty scores when interacting with the welfare system as adults.

To interpret the empirical findings, I build on the career–fertility timing framework in [Doepke et al. \(2023\)](#), extending it to capture how income support during childhood affects fertility timing and early-career investment by changing the conditions under which children transition to adulthood. In particular, the model introduces a childhood period in which households decide on schooling and are exposed to early fertility risk. During adulthood, women choose fertility timing and career investment based on decisions and circumstances realized during childhood and adolescence. Higher childhood income increases schooling investment and reduces early fertility risk, leading to delayed fertility and greater early-career investment, with persistent consequences for labor market outcomes. This model illustrates how early-life conditions may shape the tradeoff between early fertility and career planning.

The effects documented throughout the paper have direct implications for evaluating the long-term costs and benefits of *PANES/AFAM-PE*. Using the Marginal Value of Public Funds framework proposed by [Hendren and Sprung-Keyser \(2020\)](#), I estimate that, through increased payroll tax revenues, the program fully pays for itself already before age 40, implying an infinite MVPF. Projecting earnings gains up to retirement age, I further estimate that the program generates government revenues of approximately USD 2.39 per dollar transferred over the working life, corresponding to a net revenue increase of USD 1.39. These findings are consistent with [Hendren and Sprung-Keyser \(2020\)](#), who, in a comparative analysis for the United States, show that policies investing directly in low-income children tend to have the highest MVPFs and often pay for themselves.

This paper contributes to two broad literatures that are central to understanding gender inequality and social mobility. First, a large body of work documents that gender gaps in earnings arise primarily around childbirth, as women experience persistent labor market penalties following motherhood ([Kleven et al., 2025, 2019](#); [Angelov et al., 2016](#)), despite similar earnings trajectories prior to birth (e.g., [Goldin 2014](#); [Bertrand et al. 2010](#); see [Blau and Kahn 2017](#) for a review). Consistent with this idea, recent work shows that delaying fertility, especially from early ages, has substantial labor market returns for women ([Goldin and Katz, 2002](#); [Bailey, 2006](#); [Miller, 2011](#); [Gallen et al., 2024](#)). Second, a growing literature shows that income shocks during childhood can have sizable and lasting effects on later-life outcomes (e.g., [Bulman et al. 2021](#); [Almond et al. 2018](#); [Akee et al. 2010](#)), including predictable, policy-driven income support and social safety net programs (e.g., [Bailey et al. 2024](#); [Barr et al. 2022](#); [Bastian](#)

and Micheltore 2018; Manoli and Turner 2018; Aizer et al. 2016), with evidence of stronger long-run responses among women (e.g., Hoynes et al. 2016; Bitler and Figinski 2024; Bastian et al. 2022; Araujo and Macours 2021; Parker and Vogl 2023), across very different institutional contexts. However, how, when, and why money matters remains unclear (Page, 2024). This paper connects these literatures by showing that childhood income support shifts women toward more career-oriented, rather than family-oriented, transitions to adulthood, in part by delaying fertility, with lasting consequences for women’s human capital accumulation and labor market trajectories. More broadly, the results also complement recent evidence showing that policies and constraints that affect women’s ability to time fertility have long-lasting consequences for their educational and labor market outcomes (e.g., Londoño-Vélez and Saravia 2025; Miller et al. 2023). By highlighting this mechanism, the paper clarifies a channel through which social safety net policies can shape career trajectories, gender inequality and social mobility over the long run.

Beyond its main contribution, the paper also speaks to the literature on the causes and consequences of teenage fertility (Kearney and Levine, 2015, 2014, 2012; Berthelon and Kruger, 2011; Hotz et al., 2005), and in particular to the role of parental income during childhood (Chetty et al., 2014). In this regard, the work by Kearney and Levine emphasize the role of economic marginalization and limited future opportunities in shaping early childbearing decisions. From this perspective, teenage fertility reflects, at least in part, poor educational and labor market prospects rather than fertility preferences alone. Consistent with this view, the results in this paper provide complementary evidence that additional childhood income support can delay first births by altering schooling decisions and early labor market attachment. Moreover, the observed changes in secondary education progression are consistent with human capital accumulation and expected wage mechanisms (DeCicca and Krashinsky, 2020; Black et al., 2008), although strong responses by older cohorts are also consistent with income effects or foot-in-the-door explanations (Bailey et al., 2017). By documenting how fertility timing responds to changes in socio-economic conditions during childhood through these pathways, the paper helps interpret the long-run labor market consequences associated with early fertility and contributes to a more dynamic understanding of teenage childbearing.

1 Institutional Background

Uruguay is a middle-high-income country with about 3.5 million inhabitants. In 2005, it had the third-highest GDP per capita in South America and ranked 53th in the Human Development Index, within the very-high-HDI group. Educational attainment and demographic indicators, however, had room for improvement. Lower secondary completion was 59.3%, similar to Argentina but lower than Chile (76.0%), and far from richer countries such as the United States, Sweden, or even Italy. Adolescent fertility was also relatively high (60.3 per 1,000), comparable to Argentina and Costa Rica but well above Chile (50.8) and most high-income countries (e.g. Sweden: 5.7; Spain: 11.5; United States: 39.5; OECD average: 32.7).³ Its social protection system is one of the oldest and most developed in Latin America, with early expansions of pensions, maternity leave, sickness and disability insurance, and unemployment benefits. Family

³See Appendix A.1 for further details.

allowances were introduced in 1943 but remained restricted to formal (registered) workers. *PANES/AFAM-PE* was introduced in 2005 as a response to the early-2000s economic crisis and expanded family income support to informal (unregistered) workers. The program was expanded in 2007 and remains in place today. Next, I describe its core features.

***PANES/AFAM-PE* design.** *PANES/AFAM-PE* is a cash transfer program targeted at the poorest households in the country. The program was implemented with two main goals. In the short run, it aimed to reduce the high poverty levels caused by the economic crisis. In the longer run, it aimed to promote human capital accumulation and social mobility through education and health conditionalities. Its cost is estimated at about 0.4% of GDP, which is similar to major programs like *PROGRESA-Oportunidades* (Mexico) and *Bolsa Familia* (Brazil), and close to what the United States spends on family benefits (0.67% of GDP).⁴ It consists of two phases, *PANES* and *AFAM-PE*, which I treat as components of a broader income support policy: *PANES/AFAM-PE*. The first phase was in place from 2005 to 2007, and the second phase started immediately afterward and remains in place today. The goals and structure of the program stayed largely the same but there were some changes in the implementation aimed at increase its coverage. In particular, most *PANES* participants were automatically enrolled in *AFAM-PE* and some households rejected during the first phase were automatically enrolled in the second phase as the eligibility rules became more lenient. Broadly speaking, *AFAM-PE* can be thought of as an expansion of *PANES* with some minor changes in the structure of payments.

During *PANES*, the benefit consisted of a base payment of USD 133 and an additional transfer between USD 29 and USD 78 for households with underage children (about 70% of participating households).⁵ The base amount alone represents roughly 63.9% of self-reported household income at the time of application, and when the supplementary payments are included, this figure rises to about 78.1%. These values, however, should be interpreted with caution, as households may have faced incentives to under-report income to the enumerators administering the survey.⁶ Under *AFAM-PE*, the transfer amount was determined as a base payment of USD 57 per underage child, subject to an equivalence scale of 0.6, plus a USD 24 supplementary payment per child aged 12–18 enrolled in secondary school, also subject to the 0.6 equivalence scale.

Between 2005 and 2007, more than 180,000 different households (17.6% of all households in the country) applied to *PANES/AFAM-PE*. Eligibility was determined based on a proxy-means test. Households were visited by program officials who conducted a thorough interview to evaluate their socio-economic and material conditions. This information was used to compute a poverty score (z), which represents the predicted probability of having a household income in the bottom 20% of the distribution.⁷ Households with a poverty score z above a cer-

⁴<https://data.oecd.org/socialexp/family-benefits-public-spending.htm>

⁵Values are expressed in January 2008 PPP dollars. In local currency, the USD 133 corresponded to UYU 1,360. In what follows, all income variables are converted to 2008 PPP dollars using CPI and PPP conversion factors.

⁶As an alternative reference, in 2005, the monthly transfer for a household with four or more children was equivalent to one minimum wage.

⁷The variables used to calculate the score included the overall quality of the building, the number of people living in the household, the number of rooms, the presence of underage children, average years of education, and type of employment, among others. More details about how the poverty score was computed can be found in Appendix A and in Manacorda et al. (2011) or in Amarante et al. (2016).

tain region-specific threshold are eligible to participate, while households with a score below the threshold are deemed ineligible.⁸ After being accepted, participant households were supposed to satisfy school attendance, regular health check-ups, and monthly per-capita income requirements, but the program did not rigorously enforce these conditions until June, 2013.

Existing Studies. There are several studies that have documented how *PANES/AFAM-PE* affected parental outcomes. For instance, when looking at adults' labor market decisions, [Bergolo and Cruces \(2021\)](#) finds that the program led to a 13% reduction in formal employment, explained both by changes in labor supply and formality decisions. There is also a series of studies that focus on adults' fertility, birth outcomes, and household structures. For instance, the program did not affect older women's fertility ([Parada, 2024](#)), but improved birth outcomes conditional on giving birth ([Amarante et al., 2016](#)). Regarding household structure and intra-household decisions, [Parada \(2023\)](#) shows that it led to more stability in pre-program marital status and did not change actual power structures within the household, although it improved women's self-perceived agency in decisions about household expenditure ([Bergolo and Galván, 2018](#)). Finally, other studies have explored effects on preferences and attitudes. [Manacorda et al. \(2011\)](#) finds that the program increased support for the current government and trust in the President and other institutions implementing the program, while [Nicolau \(2023\)](#) find that the program might have slightly increased self-reported feelings associated with stigma. Focusing on the children, [Bloomfield and Cabrera \(2026\)](#) shows that the program led to overall moderate-to-weak effects on educational attainment, but somewhat stronger effects for some children exposed to the program when they were 0-5. Similarly, [Amarante et al. \(2013\)](#) find null effects of *PANES/AFAM-PE* on child labor and school attendance, although these results may be considered preliminary as they rely on very short-term survey data collected during the first two years of the program.

2 Conceptual Framework

Income support during childhood, including income from cash transfers programs, can affect household members' decisions and children's outcomes through standard income effects and, when benefits are tied to specific behaviors, through substitution effects. In practice, these mechanisms operate through changes in financial constraints, expectations, parental investments, early-life education and fertility decisions, social environment, and parental stress, all of which typically interact over time and are particularly relevant in this setting ([Page, 2024](#)).

To structure the main ideas, in this section, I present a simple model of early-life income, career investment, and fertility timing that helps organize the main mechanisms through which additional income during childhood may affect women's life trajectories. The model is intentionally simple. Its purpose is to clarify how early-life income can shape incentives during the transition to adulthood, and to facilitate the interpretation of the empirical results presented

⁸Formally, households could be rejected for other reasons than the score. For instance, the program also required households to pass an income test at the moment of application. Only households with per capita income below approximately US\$50 a month were eligible and were subsequently visited by personnel from the Ministry for Social Development. However, the income condition was not particularly binding as it only disqualified around 10 percent of the initial applicants ([Amarante et al., 2013](#)).

in the paper. However, it is sufficiently flexible to accommodate several extensions and more specific mechanisms.

The framework builds on the career–fertility timing model in [Doepke et al. \(2023\)](#), which formalizes the idea that the opportunity cost of having children at young ages includes not only foregone wages, but also missed opportunities for career investment. In that framework, women may choose to delay childbearing in order to invest in their careers, but doing so is risky because fertility at later ages is uncertain and potentially costly. The model predicts sorting into three fertility paths: early motherhood, delayed motherhood, and childlessness.

I extend this framework in a minimal way by introducing an explicit childhood period that determines the initial conditions women face at the beginning of adulthood. Childhood income affects adulthood decisions through two channels. First, it shapes human capital investment during childhood, which influences entry wages and the returns to career investment later on. Second, it affects exposure to unintended early fertility risk, which can constrain subsequent fertility timing and career choices. The model preserves the structure of adulthood decisions in the baseline framework, while making explicit how early-life conditions change incentives during the transition to adulthood.

Period 0: Childhood income, schooling, and early fertility risk

Period 0 represents childhood and teenage years, when decisions are made within the household. This period is introduced to model explicitly how early-life income shapes the initial conditions women face at the beginning of adulthood. In particular, childhood income affects adulthood outcomes through two channels: schooling investment and exposure to unintended early fertility risk.

Households allocate resources between childhood consumption c_0 and schooling investment s_0 . Preferences are given by

$$u_0(c_0, s_0, n_0) = \log(c_0) + \delta \log(s_0) + \eta n_0, \quad (1)$$

where $\delta > 0$ implies that schooling is a normal good, and $n_0 \in \{0, 1\}$ denotes the realization of an unintended early fertility shock during childhood. Modeling schooling as a normal good is consistent with a large literature on education and human capital investment (e.g., [Todd and Wolpin 2006, 2008](#); [Keane and Wolpin 2010](#)).⁹

Schooling investment has a monetary cost. In the absence of an early fertility shock, each unit of schooling costs p . If an early fertility shock occurs, the marginal cost of schooling increases by a factor $(1 + \varphi)$, with $\varphi > 0$. The household budget constraint is therefore

$$c_0 + p(1 + \varphi n_0)s_0 = y, \quad (2)$$

where y denotes household income. The increase in schooling costs associated with early fertility captures tighter time and resource constraints faced by affected households, such as additional childcare expenditures, transportation and supervision costs, or forgone earnings of

⁹It is beyond the scope of this paper to discuss the non-pecuniary benefits of schooling or if it should be considered a (normal) consumption good. [Oreopoulos \(2011\)](#) and [MacLeod and Urquiola \(2019\)](#) provide in-depth reviews about the status of this discussion in the literature.

other household members who provide childcare support (Klepinger et al., 1999).¹⁰

Early fertility in period 0 is not a choice variable. Instead, it occurs with probability

$$\Pr(n_0 = 1 \mid y) = r(y), \quad r'(y) < 0, \quad (3)$$

so higher household income reduces exposure to early fertility risk. This formulation summarizes a range of mechanisms documented in the literature. Higher-income households may face fewer financial barriers to contraceptive use and reproductive health services (Bailey, 2006; Kearney and Levine, 2009; Bailey et al., 2023), provide greater parental supervision and safer environments, or raise the perceived returns to schooling and future labor market participation, increasing the opportunity cost of an unintended early pregnancy (Black et al., 2008). More broadly, it is consistent with evidence that economic conditions and future opportunities play a central role in shaping teenage fertility beyond preferences alone (Kearney and Levine, 2012, 2014).

Conditional on the realization of n_0 , the household chooses schooling investment s_0 . Solving the household problem yields the following optimal schooling investment,

$$s_0^*(y, n_0) = \frac{\delta}{1 + \delta} \frac{y}{p(1 + \varphi n_0)}, \quad (4)$$

which is increasing in household income and decreasing in the effective cost of schooling. In particular, early fertility reduces schooling investment by a factor $1/(1 + \varphi)$:

$$s_0^*(y, 1) = \frac{1}{1 + \varphi} s_0^*(y, 0). \quad (5)$$

Taking expectations over the early fertility shock conditional on income,

$$\mathbb{E}[s_0 \mid y] = (1 - r(y)) s_0^*(y, 0) + r(y) s_0^*(y, 1) = \frac{\delta}{1 + \delta} \frac{y}{p} \left[1 - \frac{\varphi}{1 + \varphi} r(y) \right]. \quad (6)$$

Since $r'(y) < 0$, higher childhood income increases expected schooling both directly through higher resources and indirectly by reducing exposure to the high-cost fertility state. This interaction between income and early fertility risk is a central mechanism through which childhood income shapes initial conditions at the transition to adulthood.

Transition to adulthood: career investment and fertility timing

Aside from period 0 decisions and circumstances, and their consequences for individuals incentives in period 1, the rest of the model follows as in Doepke et al. (2023). The only difference relative to their baseline framework is that entry into period 1 is characterized by initial conditions determined in period 0: childhood schooling investment s_0 and the realization of an early fertility shock n_0 , both of which depend on childhood family income. If period 0 is defined as childhood or teenage years, one could think of Period 1 as corresponding to the transition to

¹⁰As emphasized by Keane and Wolpin (2010), monetary and non-pecuniary costs are observationally equivalent in this context, so modeling early fertility through the budget constraint provides a transparent representation without loss of generality.

adulthood.

Women start period 1 with a baseline wage that depends on childhood schooling:

$$w_f = w_f(s_0), \quad w'_f(s_0) > 0. \quad (7)$$

The early fertility shock realized in period 0 also affects the woman's fertility status at the start of period 1. If $n_0 = 1$, the woman enters period 1 having already experienced an early birth, so fertility timing is predetermined and no longer a choice in this period. If $n_0 = 0$, the woman may choose whether to have a child early in period 1, as in [Doepke et al. \(2023\)](#). Hence, realized early fertility constrains subsequent fertility timing decisions. I also follow the baseline assumptions related to women's main fertility decision and impose that the woman can have at most one child; hence if $n_1 = 1$ then $n_2 = 0$ and vice versa and that mothers derive utility from their children in the same way regardless the period they are born.

Women allocate time between work and career investment. Let $e \in [0, 1]$ denote career investment and let $n_1 \in \{0, 1\}$ denote having a child in period 1. Having a child requires a fraction $\phi \in (0, 1)$ of time, so period 1 consumption is

$$c_1 = w_f(s_0)(1 - e - \phi n_1). \quad (8)$$

In the model, career investment e should be interpreted broadly as any use of time during the transition to adulthood that raises future wages but is not fully remunerated at the current stage. This includes formal training and education (e.g. attending college), but also on-the-job learning, job search for better matches, accepting lower current earnings in exchange for future career opportunities, or firms demand for various amenities that are not entirely compatible with having children and are required to improve prospects of career progression such as the number of hours to be worked and also the particular hours worked, being "on call," providing "face time," being around for clients, group meetings, among others ([Goldin, 2014](#)).

Period 2 corresponds to adulthood. Career investment raises future wages through a human-capital accumulation technology that follows [Doepke et al. \(2023\)](#), with one modification. I allow the curvature of returns to career investment to depend on childhood schooling,

$$w_2 = w_f(s_0) \kappa e^{\gamma(s_0)}, \quad \kappa > 0, \quad \gamma'(s_0) > 0, \quad (9)$$

so childhood schooling increases both entry wages and the marginal returns to career investment during early adulthood. This introduces a dynamic complementarity between early-life human capital and later investments ([Cunha and Heckman, 2007](#); [Cunha et al., 2010](#); [Heckman, 2006](#)).

Women may also choose to have a child in period 2 ($n_2 \in \{0, 1\}$). If $n_2 = 1$, a birth occurs with probability $\pi \in (0, 1)$; with probability $1 - \pi$ the woman remains childless due to infertility risk. Consumption in period 2 is

$$c_2 = w_f(s_0) \kappa e^{\gamma(s_0)} (1 - \phi n_2). \quad (10)$$

Preferences over periods 1 and 2 follow [Doepke et al. \(2023\)](#):

$$U = \log(c_1) + \log(c_2) + v(n_1 + n_2), \quad (11)$$

where v denotes the utility value of a child, which varies across women.

Fertility paths

Given a fertility plan (n_1, n_2) , women choose career investment e . The optimal career investment rule has the same form as in [Doepke et al. \(2023\)](#), except that returns depend on childhood conditions through $\gamma(s_0)$:

$$e^*(s_0, n_1) = \frac{\gamma(s_0)}{1 + \gamma(s_0)} (1 - \phi n_1). \quad (12)$$

Hence, early fertility tightens time constraints (lowering e mechanically), while higher childhood schooling increases the returns to investing in a career.

Women then choose among three fertility plans: no children $(0, 0)$, delayed fertility $(0, 1)$, and early fertility $(1, 0)$. These choices can be characterized by two thresholds in v . First, delayed fertility is preferred to childlessness if and only if

$$v \geq \bar{v}_1 \equiv -\log(1 - \phi). \quad (13)$$

Second, early fertility is preferred to delayed fertility if and only if

$$v \geq \bar{v}_2(s_0) \equiv \frac{(1 + \gamma(s_0)) - \pi}{1 - \pi} [-\log(1 - \phi)]. \quad (14)$$

Since $\gamma'(s_0) > 0$ and s_0 increases with childhood income, $\bar{v}_2$ is increasing in childhood income: higher childhood income raises the utility value required for early fertility to be optimal, shifting women toward delayed fertility.

Comparative statics with respect to childhood income

Consider a positive income shock during childhood. As shown in period 0, higher childhood income affects adulthood outcomes through multiple, interrelated channels. First, it directly increases schooling investment during childhood, raising human capital at the start of adulthood. Second, it reduces exposure to unintended early fertility risk, as the probability of experiencing an early fertility shock satisfies $r'(y) < 0$. Third, by shaping both schooling and fertility risk, childhood income alters incentives for fertility timing and career investment decisions during the transition to adulthood. This section characterizes how these channels jointly affect fertility outcomes, career investment, and labor market trajectories.

Schooling and initial conditions. I begin by summarizing how childhood income shapes the initial conditions at the start of adulthood. Higher childhood income mechanically reduces the likelihood of entering adulthood having already experienced an early birth, by lowering exposure to unintended early fertility risk during childhood. In addition, childhood income directly affects schooling choices. From period 0, optimal schooling investment satisfies $s_0 = s_0(y, n_0)$

with $\partial s_0 / \partial y > 0$ and $s_0(y, 1) < s_0(y, 0)$. Higher income increases schooling both directly, by relaxing resource constraints, and indirectly, by lowering exposure to early fertility shocks that raise the effective cost of schooling. As a result, childhood income shifts the distribution of human capital at the start of adulthood and raises both entry wages and the returns to career investment later on.

Career investment. Changes in schooling and fertility timing have direct implications for career investment during the transition to adulthood. From the optimal career investment rule,

$$e^*(n_1, s_0) = \frac{\gamma(s_0)}{1 + \gamma(s_0)} (1 - \phi n_1),$$

higher childhood income increases career investment through two channels: by raising the returns to investment via $\gamma(s_0)$, and by reducing the probability of realizing an early birth ($n_1 = 1$), which tightens time constraints in period 1.

Fertility timing and fertility paths. I now characterize how childhood income affects fertility outcomes. Childhood income influences fertility through two conceptually distinct channels: a direct effect operating through exposure to unintended early fertility risk, and an indirect effect operating through incentives for fertility timing during adulthood.

I begin with the direct effect. Let the utility derived from children v be distributed in the population according to a cumulative distribution function $F(v)$. With probability $r(y)$, an early fertility shock is realized prior to economic independence, mapping the woman directly into the early-fertility path. Because $r'(y) < 0$, higher childhood income mechanically reduces the share of women who experience an early birth, independently of preferences or adulthood choices. With the remaining probability $1 - r(y)$, women enter adulthood without a child and retain the option to choose fertility timing optimally.

I next turn to the indirect effect operating through fertility timing choices in adulthood. As discussed above, the threshold for late fertility relative to childlessness,

$$\bar{v}_1 = -\log(1 - \phi),$$

is independent of childhood income. In contrast, the threshold separating early from delayed fertility,

$$\bar{v}_2(s_0) = \frac{(1 + \gamma(s_0)) - \pi}{1 - \pi} [-\log(1 - \phi)],$$

is increasing in childhood schooling and therefore in family income. Higher childhood income raises schooling s_0 and increases the returns to career investment, which raises the opportunity cost of early fertility and shifts women away from early childbearing and toward delayed fertility.

Combining the direct reduction in early fertility risk with the incentive effects operating through fertility timing choices, the resulting shares of women following each fertility path are

$$s_E(y) = r(y) + (1 - r(y)) [1 - F(\bar{v}_2(s_0(y)))],$$

$$s_L(y) = (1 - r(y)) [F(\bar{v}_2(s_0(y))) - F(\bar{v}_1)],$$

$$s_N(y) = (1 - r(y)) F(\bar{v}_1),$$

corresponding to early fertility, delayed fertility, and childlessness, respectively.

Differentiating with respect to childhood income yields

$$\frac{ds_E(y)}{dy} = r'(y) F(\bar{v}_2) - (1 - r(y)) f(\bar{v}_2) \bar{v}_2'(y) < 0,$$

$$\frac{ds_L(y)}{dy} = -r'(y) [F(\bar{v}_2) - F(\bar{v}_1)] + (1 - r(y)) f(\bar{v}_2) \bar{v}_2'(y) > 0,$$

$$\frac{ds_N(y)}{dy} = -r'(y) F(\bar{v}_1) > 0.$$

Thus, higher childhood income reduces early fertility through two distinct channels: mechanically, by lowering exposure to unintended early fertility via $r(y)$, and behaviorally, by raising the opportunity cost of early childbearing and shifting women toward delayed fertility through an increase in $\bar{v}_2(s_0(y))$. Because the late fertility–childlessness threshold $\bar{v}_1$ is unaffected by income, behavioral responses operate exclusively on the timing margin, reallocating women from early to delayed fertility. Any increase in childlessness reflects mechanical changes and the interaction of delayed fertility with infertility risk, rather than a change in preferences over having children.

Taken together, these results imply that additional income during childhood primarily delays fertility, leading to lower fertility at young ages and attenuating effects as age increases. Any reductions in realized fertility or increases in childlessness reflect the mechanical consequences of this delay when fertility is uncertain (i.e., when late fertility is realized with probability $\pi < 1$, rather than changes in desired fertility).

Labor market outcomes and career investment.

I now characterize the comparative statics of labor market outcomes with respect to childhood income. Higher childhood income affects labor market outcomes through two channels operating prior to and during the transition to adulthood. First, as shown in period 0, higher income increases schooling investment, raising entry wages at the start of adulthood. Second, by reducing exposure to early fertility and shifting births to later ages, higher childhood income relaxes time constraints during early adulthood and increases the scope for career investment, which translates into higher wages and stronger labor market attachment later in life. As a result, the model predicts that an increase in childhood income leads to higher cumulative labor market earnings, with effects operating primarily through delayed fertility and increased investment early in the life cycle.

3 Data, Sample, and Outcomes of Interest

Understanding the effects of additional income support during childhood on adulthood outcomes and the related mechanisms is extremely data demanding, as it requires information

on multiple dimensions such as education, fertility, and labor market participation, as well as longitudinal data to study their dynamics. To study this in detail, I compiled a series of administrative records from different government sources for the universe of applicants to *PANES/AFAM-PE*, which can be linked at the individual level and contain information on program applications, fertility, education, and labor market outcomes. These data allow me to track individuals for up to 18 years. Below, I describe the main features of the data and the key outcome variables used in the analysis.

3.1 Data Sources, Treatment, and Outcome Variables

***PANES/AFAM-PE* records: Application and participation variables.** These records are used to construct all application- and participation-related variables. They were provided by the Ministry of Social Development, and correspond to the universe of applications to *PANES/AFAM-PE* between April 2005 and December 2023. The application data correspond to baseline information collected in a thorough interview conducted by program officials to assess the socio-economic and material conditions of the applicants just after applying to the program. Since its collected before participation, this should be considered as baseline information. Among other variables, these records include information on city, date of application, poverty score, resolution, participation history, housing conditions (e.g., materials, access to sanitation, appliances, etc.), education, employment status, and other personal characteristics for each household member. The total number of application forms included in the raw participation data is 983,858, corresponding to 1,715,239 unique individuals. In addition, participation records include monthly payments at the household level and the specific individuals who were considered at the moment to compute the total amount to be transferred.¹¹

Employer-employee matched records: Labor market outcomes. Labor market outcomes come from employer–employee matched administrative records from the Ministry of Labor and Social Security (MTSS). These data cover the universe of formal employment in Uruguay from 2005 to 2023 and include all registered private- and public-sector workers, together with registered self-employed workers who contribute to the social security system. The records contain detailed monthly job-level information, such as job start and end dates, contract type, wages, days worked, and firm characteristics, as well as the reason for job separations. Although the data do not capture informal employment, the informal sector in Uruguay is comparatively small, representing about 17 to 20 percent of total employment over this period.

In the analysis, I focus on a set of labor market outcomes that capture individuals' attachment to formal work and their earnings trajectories. The main measures include months worked and labor earnings in the year prior to the last observation (August 2022 - July 2023), cumulative months worked and cumulative earnings over the entire 2005–2023 period, and the age at which individuals obtain their first formal job. Earnings variables are expressed in thousands of USD and winsorized at the 95th percentile. In addition, for the dynamic analysis, I construct age-by-age employment indicators (employed at age 15, 16, and so on up to age 30), which allow me to trace how labor market participation evolves over time. These outcomes

¹¹ Appendix C contains a more detailed description of the application and participation data, as well as descriptive statistics for different samples of interest.

summarize both the intensity of formal labor market participation and the timing of labor market entry.¹²

Birth Records: Fertility outcomes. Birth records were provided by the Ministry of Public Health and are used to measure fertility outcomes. They cover the universe of births in Uruguay between 2005 and 2021, including individual-level information such as birth date, birth weight, gestation weeks, and mother and father identification information. Estimates for men's fertility should be taken with a grain of salt since this information is only collected starting in 2010, when electronic records started. Moreover, even in the best years, about 50% of fathers' identifiers are missing.

The two main fertility related outcomes derived from these records are the age at first birth and an indicator for being a parent by a given age between 15 and 30. I also use the total number of children ever born and an indicator for being a parent when last observed as secondary outcomes. All the outcome variables are based on the post-application period. In the specific case of fertility outcomes, I define the post-treatment period as starting seven months after the application date.

Secondary and tertiary education administrative records: Education outcomes. Secondary and tertiary education data come from administrative records from Uruguay's public education system. Secondary schooling records were provided by the National Administration of Public Education (ANEP) and cover lower and upper secondary education (grades 7 to 12) from 2004 to 2024, including information on enrollment and progression/achievement. Coverage is universal for public schools, although vocational and private schools are not included; therefore, estimates based on these data should be interpreted as lower bounds for the full secondary system. The records follow students across years and grades and provide consistent measures of enrollment and academic progression. Unfortunately, Uruguay does not have centralized records on secondary school completion, which would be the natural outcome to measure secondary education achievement. Tertiary education records come from the *Universidad de la República*, the country's largest university with roughly 80 percent of national enrollment, and include the universe of students ever enrolled in any major between 2005 and 2020.¹³

For the analysis, I focus on a set of secondary and tertiary education outcomes that are consistently defined across cohorts and evaluation systems. For secondary school, I use indicators for ever enrolling in secondary education, years enrolled, the maximum grade ever attended, and whether the student ever enrolled in 12th grade. These variables capture students' progression through the system in a comparable way despite differences in grading structures across grades. For tertiary education, I use an indicator for ever enrolling in *Universidad de la República* as the main measure of post secondary participation.

¹²Appendix D provides summary statistics for each of the outcome variables used in the analysis.

¹³While I do not have access to education enrollment information in private institutions for any of the education systems or levels, it is important to note that the (free) public education system is probably the relevant choice set of schools for the population of interest, given that private institutions usually offer a limited number of grants and have relatively expensive tuition. For instance [Ramírez Leira \(2021\)](#) shows that the probability of enrolling in a public institution for individuals in the first quintile of the income distribution is larger than 95% in 2017

3.2 Sample of Interest

Because the focus of the paper is on children who grew up in households that benefited from income support, the *full sample* is defined as individuals who were younger than 18 years old when their parents first applied to *PANES/AFAM-PE*, and at least 19 years old by December 2021, the last year in which I observe birth records. This results in 420,383 unique individuals.

In addition, I apply a set of filters that simplify the interpretation of the estimates and remove households with outlier application behavior. First, to keep the interpretation of the local estimates straightforward, the analysis is restricted to individuals from households who first applied to *PANES/AFAM-PE* between 2005 and 2007, a period during which the eligibility threshold did not change and which represents 66.5% of the *full sample*. This restriction ensures that all comparisons are made around a unique, region-specific threshold and avoids pooling together individuals who applied later and faced more lenient thresholds due to the expansion of the program. Second, I drop 24,551 individuals corresponding to the bottom 5% and top 5% of the poverty score distribution. Observations at the extreme tails of the running variable tend to generate noise when computing optimal bandwidths or when including polynomial functions of the score as controls in the RD regressions. Finally, I exclude individuals who exhibit outlier application behavior: 2,328 who appear in more than eight application forms, 2,095 whose households have more than seven applications, and 1,743 who appear as household heads or partners at the time of the first application. After applying these filters, the resulting sample contains 248,709 individuals, which I refer to as the *main sample*.

3.3 Descriptive Statistics

Individuals in the *main sample* are on average 9.8 years old at the time of their household's first application and about 28 years old in December 2023. On average, they appear in 3.2 application forms over the period. This number includes their appearances as dependent children in both *PANES* and *AFAM-PE* phases as separate applications and, in some cases, later applications as household heads (or partners) in newly formed households. The sample is roughly balanced by gender (48.5% are women), and households have on average 4.9 members, with an average member age of 21.0 years and 45.3% of them being single-parent households. Household heads report employment rates of 64.6%, average 6.3 years of education, which is slightly above completed primary school, and labor income of about USD 121.3, which is well below the poverty line (approximately USD 350).

When restricting attention to individuals close to the eligibility threshold, most characteristics remain, in general, extremely similar.¹⁴ The main differences arise for variables related to the poverty score. By construction, individuals who are close to the cutoff are concentrated around zero: the average standardized score for this group is 0.0, compared to an average of 0.16 for the full-support. This also translates into a lower first-application acceptance rate of 57.3%, compared to 76.0% in the full support, as the overall distribution of the poverty score is heavily skewed toward households above the eligibility cutoff. Another sizable difference is the lower share of applications submitted in the capital city among those close to the thresh-

¹⁴For simplicity, the bandwidth used for this comparison is 0.02, which corresponds to the maximum optimal bandwidth reported in Table 2, the main set of labor market results.

old (15.5 percent versus 27.1 percent), and a slightly larger share of single-parent households (52.9% versus 45.3% for the full support sample).

Further details and a full set of descriptive statistics are provided in Appendix D, which includes description of the universe of applicants (including adults) and a comparison with the *full sample*. Overall, the *main sample* looks very similar to the *full sample* of children along most observable characteristics, including age at application, gender, household size, household head education, and household head labor income. The main differences arise mechanically from the restrictions imposed on the main sample: individuals in this group applied earlier (2005-2007) and therefore have more time for future re-applications. In addition, households in the *main sample* are slightly less likely to be located in the capital city. Apart from these differences, the *main sample* resembles the broader population of children growing up in applicant households.

4 Empirical Strategy

4.1 Research Design

As described in Section 1, eligibility for *PANES/AFAM-PE* is determined by a poverty score. Let z denote this score centered at the eligibility cutoff, and let D be an indicator equal to 1 when $z > 0$ (eligible) and 0 when $z < 0$ (ineligible). Because eligibility changes discontinuously at this threshold, the eligibility rules provide a quasi-random source of variation that can be used to identify its causal effects through a Regression Discontinuity Design (RDD). Intuitively, under perfect compliance and a continuity assumption, (local) average treatment effects of the program can be obtained by comparing the regression functions of the outcome of interest at both sides of the threshold (Imbens and Lemieux, 2008; Hahn et al., 2001).¹⁵

From the perspective of the program administrators, i.e., treating each application form as the unit of observation, the eligibility rule was followed very closely in practice: roughly 80% of score-ineligible applications were rejected, and about 90% of score-eligible applications were accepted. It is important to note, however, that for a small number of ineligible forms extremely close to the threshold (within 0.0015, or 0.15 p.p.), acceptance rates are abnormally high. This is most likely due to precision issues in the raw data, which in some cases were recorded with only four decimal places. For this reason, throughout the analysis I exclude application forms within 0.15 p.p. of the threshold.¹⁶

However, from a household perspective, exposure to the program does not depend on a single application form, but on the full history of applications and participation (e.g., the total amount collected by the household over time). Since *PANES/AFAM-PE* has been in place since 2005, families could have re-applied multiple times, and it is therefore necessary to track household application and participation histories rather than individual forms. This creates two

¹⁵Formally, let Y be any of the outcomes of interest. Under perfect compliance, the key identification assumption in RDD is that Y is continuous at $z = 0$ if the regression functions for the outcome variable - $\mathbb{E}[Y(1)|Z = z]$ and $\mathbb{E}[Y(0)|Z = z]$ - are continuous functions at $z = 0$, then: $\mathbb{E}[Y(1) - Y(0)|Z = z] = \lim_{z \downarrow 0} \mathbb{E}[Y|Z = z] - \lim_{z \uparrow 0} \mathbb{E}[Y|Z = z]$.

¹⁶Appendix E provides additional details on how the eligibility rule was applied, together with the corresponding supporting figures. In the main results section, I also present robustness checks that vary the donut radius and show that the estimates are not sensitive to this choice.

main challenges for the RDD: (i) deciding which application score to use as the running variable, and (ii) avoiding potential endogenous sorting around the eligibility threshold induced by re-application decisions. This is particularly important when the characteristics associated with re-applications are also correlated with the outcomes of interest.¹⁷

To address these challenges, I follow the approach proposed by Jepsen et al. (2016), who recommend using the score from the first application as the running variable in RDD settings with multiple applications. Intuitively, the score in the first application is less likely to be affected by manipulation and avoids the endogeneity introduced by later re-application decisions, since every applicant has exactly one first score.¹⁸ Hence, the baseline RDD used in the empirical analysis is characterized as follows:

Exogenous variable: eligibility based on the score of the first application form. I define the *first* application for an individual as the earliest application among all households in which the individual ever appears as a member.¹⁹ Hence, D^{1st} is a binary variable that takes the value of 1 if the score obtained in the first application is larger than a region-specific eligibility threshold and 0 otherwise.

Endogenous variable: amount collected from PANES/AFAM-PE during childhood. The baseline treatment variable (T) measures the total amount of cash transferred by PANES/AFAM-PE to the individual's household before age 18, expressed in thousands of 2008 PPP USD, winsorized at the 95th percentile. For children who lived in more than one beneficiary household during childhood, I sum income support across households.²⁰ For outcomes measured before age 18, I construct analogous treatment variables for each corresponding age. In addition, for the main outcomes, I also report estimates based on two alternative endogenous variables: (i) months enrolled in the program, capped at 192 (i.e., 16 years) and (ii) an indicator for ever participating.

Hence, I estimate τ_{FRD} , i.e., the effect of an additional USD 1,000 of childhood income support on outcome Y , using the following specification:

$$Y_i = \mu + \tau_{FRD}T_i + \beta_1 Z_i^{1st} + \beta_2 Z_i^{1st}T_i + \mathbf{X}_i + \mathbf{\Lambda} + u_i \quad (15)$$

where Y_i is the outcome of interest (e.g. earnings) for individual i , (Z_i^{1st}) is the centered value of the poverty score obtained in the first application, T_i is the endogenous treatment variable, $\mathbf{X}_i$ is a series of individual-level baseline characteristics (i.e., those reported in Table 1, ex-

¹⁷Endogenous sorting with multiple applications is also an issue in different contexts such as close elections (e.g. Cellini et al., 2010), the analysis of returns to education using test scores (e.g. Clark and Martorell, 2014), or the evaluation of the effects of remedial education (e.g., Martorell and McFarlin, 2011).

¹⁸Jepsen et al. (2016) study the effects of GED scores on employment and earnings. Because students can retake the exam multiple times, concerns about endogenous sorting arise, and the authors use the first attempt to define the running variable.

¹⁹In practice, I first identify the earliest application submitted by each household. I then assign to each individual the earliest of these household-level first applications for the households in which they appear as members on the corresponding form. By going as far back as possible when defining the value of the running variable, I am taking a conservative approach to minimize any possible concern about endogenous sorting.

²⁰For conciseness, I do not report estimates based on this alternative endogenous variable in the paper, but all results remain unchanged when using only the amount transferred to the first household as the endogenous variable.

cept for the predicted eligibility) and Λ represents year of birth, year of application, and region FE. Because T_i and Y_i are endogenous, T_i is instrumented using D_i^{1st} based on the following first-stage equation, where D_i^{1st} is an indicator variable for eligibility in the first application ($Z_i^{1st} > 0$):

$$T_i = \alpha + \delta D_i^{1st} + \gamma_1 Z_i^{1st} + \gamma_2 Z_i^{1st} D_i^{1st} + \mathbf{X}_i + \Lambda + \epsilon_i \quad (16)$$

Following [Imbens and Lemieux \(2008\)](#), I estimate this model using local linear regressions fitted separately to each side of the threshold and report p-values based on robust bias-corrected inference, following [Calonico et al. \(2014\)](#). The RDD bandwidth is defined optimally following the data-driven approach by [Calonico et al. \(2019\)](#) and the default options: selection of bandwidth by optimization of Mean Squared Error (MSERD) and a triangular kernel function.²¹ In all cases, standard errors are clustered at the household level.

The described strategy provides an estimate that should be interpreted as a local average treatment effect. In addition, I will also report estimates corresponding to the reduced-form effects, as well as the corresponding figures for the main outcome variables. These reduced form estimates, captured by the term τ_{SRD} , are based on the following sharp RD specification:

$$Y_i = \mu + \tau_{SRD} D_i^{1st} + \beta_1 Z_i^{1st} + \beta_2 Z_i^{1st} D_i^{1st} + u_i \quad (17)$$

Finally, it is important to note that, compared to sharp RDs, fuzzy RDs require an additional identifying assumption of monotonicity or “no defiers” ([Imbens and Lemieux, 2008](#); [Cattaneo et al., 2019](#)). In this paper, monotonicity implies that an application form with a score z that is rejected when the threshold is set at 0 would also be dismissed for any alternative threshold greater than 0. Conversely, any application form with a score z that is accepted when the cutoff is 0, would also be accepted if the cutoff is lower than 0.

Validity of the RDD Design

Figure 1 summarizes a series of empirical tests used to validate the RDD design for the *main sample* described in Section 3. Panel (a) reports the average amount of income support collected from PANES/AFAM-PE during childhood as a function of the standardized poverty score obtained in the first application (Z_i^{1st}). The figure is restricted to the optimal MSE bandwidth (1.6 p.p.) based on [Calonico et al. \(2019\)](#) and uses 20 quantile-spaced bins on each side of the threshold. The pattern shows a sharp jump in benefits at the eligibility cutoff: individuals from households whose first-application score placed them below the eligibility threshold (henceforth, *ineligible* individuals) received on average about 7,600 USD in transfers, whereas those from households with a first-application score above the threshold (henceforth, *eligible*) collected about 10,900 USD (in 2008 values). This yields a discontinuity of roughly 3,300 USD (p-value < 0.001), or close to a 43.4% increase in childhood income support. For reference, this difference is approximately equivalent to 3.3 additional years of household formal labor income during childhood, or about 1.36 years of self-reported household total income (including informal income and other transfers such as pensions, retirement benefits, etc.).

²¹In Appendix F, I present specification curves containing all possible combinations of optimization algorithms, kernel functions, and polynomial degrees and show that the results are not driven by these specific technical choices.

Appendix E reports complementary first-stage estimates using alternative definitions of treatment, such as total months enrolled in the program or an indicator for ever participating. The discontinuity in months of exposure is 23 months, which relative to an average baseline exposure of about 60 months in the ineligible group corresponds to roughly a 40% increase. When looking at ever participation, the probability increases sharply by 20 p.p. at the threshold, or about a 25% increase.²²

To illustrate that the first stage estimates average differences in treatment intensity from across the distribution, panel (b) in Figure 1 shows the shifts in treatment intensity induced by the instrument, as in [Rose and Shem-Tov \(2021\)](#). In this case, each bin represents the local change in the probability of collecting $D \geq d$ from PANES/AFAM-PE during the whole period. For instance, the bin at $d = 100$ shows how much more likely it is for people just above the threshold to receive \$100,000 or more in PANES/AFAM-PE benefits compared to those just below the threshold. Given that differences are statistically significant for all values reported ranging from \$5,000 to \$350,000, it is clear that the proposed instrument comprises substantial variation in the intensity of exposure to the program.

Panel (c) in Figure 1 illustrates household income dynamics around the time of the first application and shows that eligible children grew up with substantially higher household income (labor + transfers), especially in the first two years after the first application. The figure reports year-by-year RDD estimates for three income concepts: (i) adults' labor market income, (ii) children's labor market income, and (iii) household PANES/AFAM-PE income.²³ It shows a large jump in household transfers at the time of the first application for eligible children, with effects that fade-out after two years. This fade-out is consistent with the estimated 23-month discontinuity in program exposure discussed above and additional evidence in Appendix E confirms that it is driven by ineligible households entering the program during the transition from PANES to AFAM-PE, when the eligibility threshold became more lenient.²⁴

The patterns for adults' and children's labor income are also informative. The negative RDD estimates for adults' formal labor income around the time of application are consistent with the reductions in formal employment documented in [Bergolo and Cruces \(2021\)](#), driven by incentives to shift part of labor earnings to informal work. In contrast, the positive effects for eligible children by the end of the period already anticipate some of the main results discussed in Section 5. In any case, the magnitude of the negative effects on adults' formal labor income does not appear large enough to offset the gains in transfer income, especially considering that a large part of the drop in formal labor income is due to changes in reporting decisions rather than actual labor supply responses ([Bergolo and Cruces, 2021](#)). Overall, the main takeaway from this figure should be that eligible individuals grew up in households with substantially larger financial resources than those from ineligible households.

²²Appendix E also provides additional descriptives on the distribution of months exposed, amounts collected, the full distribution of z , and the first-stage relationship using the entire support of z . It additionally reports a series of placebo tests showing that the first stage appears only at the true cutoff and that estimates are not sensitive to bandwidth choice, donut radius, or other technical decisions in the RDD estimation, such as the kernel function, polynomial order, or the bandwidth selection algorithm.

²³Children are defined as all individuals listed in the application form as sons or daughters of the household head, spouse, or both, while adults correspond to all remaining household members.

²⁴It is also important to note that the small increase in transfers observed just before the first application reflects the fact that most households received retroactive payments: regardless of the exact date of application, benefits were accrued starting in April 2005.

While panels (a) through (c) in Figure 1 document the strength and nature of the first stage, critical for the RDD to work, Panel (d) and Table 1 provide indirect tests of the RDD identification assumptions. Panel (d) reports a formal test of continuity of the running variable following McCrary (2008) and Cattaneo et al. (2018). The intuition is straightforward: if individuals were able to manipulate the score, there should be an excess mass of observations just above the eligibility threshold. Moreover, if the ability to manipulate the score were systematically related to individual characteristics that also predict the outcomes of interest, this could introduce bias in the RDD estimates. In the case of *PANES/AFAM-PE*, the test provides no evidence against continuity of the running variable at the cutoff (p -value = 0.384).

Table 1 shows that there are no systematic discontinuities in baseline characteristics at the threshold, which is reassuring about the causal interpretation of the RDD estimates. The table reports continuity tests for a series of baseline characteristics measured in the application form, all of which are included as control variables in the main specification for increased statistical power. The first row provides a useful summary test. Specifically, I estimate a probit model with first-time eligibility (D_i^{1st}) as the dependent variable and all observed baseline characteristics as covariates, compute the predicted probability of eligibility, and test whether this predicted probability shifts discontinuously at the threshold. The absence of a jump in predicted eligibility ($\tau_{SRD} = -0.002$, p -value = 0.740) suggests that baseline characteristics behave smoothly around the cutoff.²⁵ The individual continuity tests for each baseline variable, also reported in Table 1, lead to the same conclusion, with the exception of the average age of household members and the number of applications, which display statistically significant discontinuities but are economically negligible.

5 Results

5.1 Effects of PANES/AFAM-PE on Labor Market Outcomes

In this section, I present the main estimates on how additional childhood income support from *PANES/AFAM-PE* affected individuals' labor market outcomes as adults. I report estimates both for the last time when individuals are observed, i.e., in July 2023, and for cumulative effects over the entire follow-up period. Looking at both allows me to capture effects on individuals' most recent job, as well as on outcomes that summarize the overall effects throughout early adulthood.

Figures 2 and 3 present the reduced-form estimates for women and men separately.²⁶ Panels (a) and (b) report last-year outcomes, while panels (c) and (d) show cumulative outcomes over the full follow-up period. Table 2 complements these figures by reporting the corresponding 2SLS estimates from the fuzzy RDD specification in Equation (15), together with the reduced-form and first-stage coefficients from Equations (17) and (16), respectively. Panel (a) reports τ_{FRD} , interpreted as the effect of an additional USD 1,000 of childhood income support

²⁵The reduced form figure for the discontinuity in predicted eligibility is reported in Appendix E

²⁶Figures are restricted to the optimal MSERD bandwidth. Local averages are constructed using 20 quantile-spaced bins, and the local linear regressions follow the specification described in Section 4. The number of bins is chosen arbitrarily, following the guidance for visual inference in RDD settings in Korting et al. (2023). While the optimal number of bins produced by `rdrobust` is typically around five to each side, I use a larger number to avoid concerns about over-smoothing.

on the outcome. Panels (b) and (c) reports τ_{SRD} for the reduced-form and first-stage estimates, respectively, which correspond to the discontinuities shown in Figures 1 through 3. Two points are important for interpretation. First, these effects correspond to compliers, i.e., the subgroup whose benefit levels change because of the eligibility rule (as discussed in Section 4). Second, the 2SLS specification assumes a linear relationship between the amount of income received from PANES/AFAM-PE and the outcomes, implying constant marginal effects of the transfer. While this is a natural starting point, it may be restrictive if responses to the transfer depend non-linearly of the amount of income support.

Focusing on women, panels (a) and (b) of Figure 2 show positive but moderate discontinuities around the threshold for last-year months worked and last-year earnings. It is worth noting that for last-year outcomes, individuals are on average about 28 years old, but there is significant heterogeneity in the age at which they are observed, which implies that these outcomes capture labor market attachment at different stages of the life cycle. Appendix D describes the age distribution. For months worked, the (reduced-form) estimated discontinuity is 0.5 months and statistically significant at the 10% level (p-value = 0.080). Relative to a baseline of 4.9 months in the control group, this corresponds to an increase of about 9.3%. The results for last-year earnings are similar. The discontinuity at the threshold is USD 571, statistically significant at the 5% level (p-value = 0.028), which represents a 15.4% increase relative to a baseline of USD 3,720 in the control group. When looking at the 2SLS estimates, columns (1) and (2) of Table 2 show that an additional USD 1,000 of childhood income support increases women's last-year months employed by 0.1 (2.8%) and last-year earnings by USD 169 (4.6%). Both effects are statistically significant at the usual levels (p-values = 0.085 and 0.032).

Overall, these estimates indicate positive but moderate effects on last-year outcomes. Because these measures reflect labor market outcomes in a single year and pool together individuals observed at different points in the life cycle, they provide a partial snapshot of labor market attachment. The robustness and sensitivity tests reported in Appendix F show that the direction of the effects remains stable across bandwidth choices, RDD technical specifications, and donut sizes, while the magnitude and statistical significance weaken when using wider bandwidths. I come back to this point in Section 5.2, where I report effects estimated age by age.

The discontinuities are much sharper when considering the full early-adulthood period rather than a single year. Panels (c) and (d) of Figure 2 present reduced-form evidence both for cumulative total months employed and total earnings. For total months worked, the estimated discontinuity is 8.2 months, representing an increase of 22.0% relative to the ineligible group. For cumulative earnings, the discontinuity is USD 5,348, corresponding to a 22.1% increase. In both cases, estimates are strongly statistically significant at the 1% level, with p-values < 0.001 and = 0.001, respectively. The 2SLS estimates, reported in columns (3) and (4) of Table 2, show that an additional USD 1,000 of income support increases cumulative months worked by 2.4 (6.5%) and cumulative earnings by USD 1,570 (6.5%), with both effects being strongly statistically significant (p-values < 0.001 and = 0.002, respectively).

The robustness and sensitivity tests reported in Appendix F reinforce this conclusion. For both outcomes, estimates remain positive and statistically significant at the 5% level across: (i) all manually selected bandwidths between 0.01 and 0.1 (in steps of 0.005), (ii) all combinations

of bandwidth selectors, polynomial degrees, and kernels (more than 60 in total), and (iii) all alternative donut radii considered (from 0 to 0.003, in steps of 0.0002). Moreover, results are also robust to the inclusion, exclusion, and different combinations of the additional covariates and fixed effects included in the preferred specification. Taken together, these results show large and robust improvements in women’s cumulative employment and earnings resulting from the additional income support during childhood.

Additional results for other labor market outcomes are reported in Appendix F. When looking at extensive-margin responses, additional income support during childhood does not seem to affect the probability of ever being employed in the formal sector or being employed at least one month during the last year. However, when looking at outcomes that measure more stable forms of employment, the analysis reveals some clear and interesting patterns. In particular, additional income support significantly increases the probability of having a job spell of at least four consecutive months during the last year, and especially the probability of having been employed during the full year. I return to these patterns in Section 5.2, where I look more directly at job stability and mobility throughout labor market trajectories. Finally, Appendix F also shows that there are no effects in terms of firms’ characteristics that individuals are employed when last observed, including number of employees, median wage, total wage bill, or firm’s age.

When looking at men, the evidence is considerably weaker all across the board. Panels (a) and (b) of Figure 3 display some positive discontinuities, similar in sign to those for women, but the effects, especially for earnings, are smaller in percentage terms (10.7% vs. 15.4%) and much less stable. Appendix F shows that these effects attenuate quickly as the bandwidth increases and are far more sensitive to technical RDD choices than the estimates for women. Consistent with a story closer to null effects, cumulative outcomes do not show clear discontinuities. The estimated effects on cumulative months worked (1.9, or 4.1%) and cumulative earnings (USD 528, or 1.5%) are much smaller than those for women (22.0% and 22.1%), and neither estimate is statistically significant (p-values = 0.200 and 0.640). Moreover, robustness checks indicate that these cumulative effects become negative under several specifications, and even statistically significant when using bandwidths greater than 0.04.

Overall, the empirical evidence presented in this section shows that additional income support during childhood significantly improved women’s early adulthood labor market outcomes. While last-year effects are modest and somewhat imprecise, the cumulative estimates are large and robust across a wide range of specifications. In contrast, for men, the reduced-form and 2SLS estimates are much smaller, less stable, and generally not statistically significant, suggesting that the program’s long-term labor market impacts are concentrated among women. These results raise the question of why the program generated substantial improvements for women. Moreover, the contrast between large cumulative effects and weaker last-year effects already hints at non-linear dynamics and heterogeneous effects depending on the timing of these outcomes. The next section explores this in detail by examining how individuals who received additional income support during childhood transitioned into adulthood and how early choices, regarding fertility, education, and labor market entry, help explain the long-run effects documented above.

5.2 Transitions to Adulthood and Labor Market Dynamics

To understand the mechanisms behind these labor market improvements I leverage the longitudinal and multi-dimensional nature of the data, which allows me to track, across several dimensions and over time, how children who benefited from *PANES/AFAM-PE* transitioned out of childhood and into early adulthood. I begin by summarizing these transitions into a single index that reflects *career-oriented* transitions to adulthood, as opposed to *parenthood-oriented* transitions. This index captures behavioral responses along three margins: fertility, education, and labor market participation. I define someone as taking a career-oriented path if two conditions hold: (i) they did not have a child before age 19, and (ii) they either had their first relatively stable job (defined as an employment spell of at least four consecutive months) before age 19 or enrolled in university.²⁷ The use of the term “career-oriented” is inspired by Claudia Goldin’s distinction between a “job” and a “career,” which is based on expected labor force attachment and the associated incentives to invest in human capital both in formal schooling and on-the-job training (Goldin, 2021, 2006, 2004). In this paper, the concept is used more broadly to contrast transitions oriented toward sustained education and labor market attachment with transitions centered on early family formation. This definition is not meant to be exhaustive, but it provides a simple and transparent way of capturing whether individuals enter adulthood primarily through investments in early-career human capital or through early parenthood.

Overall, the evidence shows that additional income support during childhood causes women to have more career-oriented transitions. Figure 4, panel (a), shows a clear discontinuity in the probability of a woman having a career-oriented transition at the eligibility threshold. The jump of 11.3 p.p. is statistically significant ($p\text{-value} < 0.001$) and represents a large increase relative to a baseline rate of 23.8 p.p. Table 3 reports the corresponding 2SLS estimates in column (4). Each additional USD 1,000 of income support during childhood raises this probability of a career-oriented transition by 3.3 p.p. (14.0%). Panel (b) of Figure 4 and column (8) of Table 3 show that, again, the effects for men are null.

To dig further into these results, Table 3 also reports estimates for each dimension separately. Column (1) shows the effects on age of first birth, column (2) the probability of university enrollment, and column (3) the age of the first job. The reduced-form estimates in panel (b) all show evidence of clear discontinuities at the eligibility threshold. For instance, the age of first birth increases by 0.5 years at the cutoff, which, relative to an average age of 20 in the control group, represents a delay in motherhood of 2.5% ($p\text{-value} = 0.001$). Similarly, but in the opposite direction, column (3) shows a -0.8 year discontinuity in the age of the first job (-3.9%, $p\text{-value} < 0.001$). For university enrollment, the discontinuity also points toward more career-oriented transitions, with a 3.2 p.p. increase in the probability of enrollment (29.2%, $p\text{-value} = 0.040$). Looking at the 2SLS estimates reported in panel (a), an additional USD 1,000 of childhood income support increases the age of first birth by 0.15 years (0.75%, $p\text{-value} = 0.001$), reduces the age of the first stable job by 0.25 years (-1.2%, $p\text{-value} < 0.001$), and raises the probability of university enrollment by 1.0 p.p. (8.6%, $p\text{-value} = 0.044$).

²⁷I use age 19 because it corresponds roughly to the end of compulsory schooling, is a typical boundary in the teenage pregnancy literature, and is an age at which all individuals in the sample are already observed, ensuring outcomes are consistently defined across the study sample.

The two age-related variables included in Table 3 are useful to summarize the extent of changes in transitions, which is central for interpreting how the program shifted individuals' early adulthood trajectories. However, they are defined only for those who eventually become parents or ever have a stable job spell. Appendix F and G rule out selection concerns by showing that additional income support during childhood does not affect the probability of becoming a parent or ever holding a stable formal job. Moreover, Appendix G also reports results for the specific binary variables used to construct the career-oriented index, which are defined for the full study sample. In particular, Appendix G shows a reduced-form discontinuity of 8.6 p.p. in the probability of becoming a parent before age 19 (-39.6%, p-value < 0.001), and a 7.6 p.p. increase in the probability of holding a job by the same age (44.7%, p-value < 0.001). Regarding men, and as for labor market outcomes, the program does not seem to have affected their transition to adulthood overall, except for a reduction in the age at which they become fathers. While this estimate is statistically significant (p-value=0.008), it must be taken with a grain of salt due to important limitations on the availability of father's identifying information as discussed in Section 3.

To explore more directly how the timing of these key events changed, I exploit the longitudinal nature of the data and estimate the effects of the program age by age. Panels (c) and (d) of Figure 4 summarize these dynamics for two outcomes of interest, separately for men and women. For fertility-related behavior, the outcome is defined as having given birth by a given age γ , which allows me to track cumulative differences in the timing of motherhood across ages. For labor-market outcomes, the outcome variable is being employed at age γ , capturing how labor market participation effects evolve over time. Unfortunately, the data on higher education only records the year of first enrollment, with no information on subsequent activity, academic progress, or graduation. This prevents me from conducting a similar dynamic analysis for university enrollment. In each figure, the y-axis reports the 2SLS estimate and the x-axis the age at which the outcome is measured. For instance, the coefficient shown for $\gamma = 25$ corresponds to the effect of an additional USD 1,000 in childhood income support on the probability that an individual has had their first child at or before age 25, or in the probability of being employed at age 25. Appendix G includes the corresponding full tables for all estimates shown in these figures both for the 2SLS and reduced-form estimates.

Panel (c) of Figure 4 depicts a clear pattern in women's age-by-age fertility responses. The effects are negative and concentrated in the late-teen and early-twenties years, with most of the differences observed between ages 15 and 19. They remain large and statistically significant until around age 25, but then fade out, with estimates close to zero and statistically insignificant by age 30. Two conclusions follow from this pattern. First, the postponement documented in Table 3 is mainly explained by a reduction in births that, in the absence of the program, would have happened during the teenage years or early twenties. Second, in line with previous discussion, the program clearly shifts the timing of births rather than overall fertility preferences, at least at the extensive margin. At around age 25, women who had delayed fertility during their early twenties start to catch up with women who did not delay and, by age 30, additional income support during childhood has no longer significant effects on the probability of having children. Naturally, postponing the first birth may still lead to lower completed fertility simply because women have less time to achieve their desired number of children. Appendix G

shows a reduced-form decline of 0.1 in total births (-11.3%, p -value = 0.040), but these results should be interpreted only as suggestive, as women in the sample have not yet completed their reproductive cycles.

A similar but oppositely signed pattern is observed when looking at women's dynamic effects on employment. The additional income support from *PANES/AFAM-PE* has substantial positive effects starting around ages 17–18, which then grow until about age 25. After that, the effects begin to decline, and by age 30 they are close to zero. The overall shape of these dynamics almost mirrors the image of the fertility effects: the period of strongest fertility reductions corresponds to the period of strongest employment gains, and both sets of effects start to fade out at around the same age. In other words, fertility and employment effects move in opposite directions but follow the same timing. These patterns are consistent with childbearing and labor-market participation being competing activities for women. In fact, this pattern also helps interpret the relatively moderate effects on last-year earnings discussed in Section 5.1: by the end of the observation period, many women who had delayed fertility earlier begin to catch up in childbearing, reducing contemporaneous labor supply, at least temporarily. Of course, these correlations do not imply by themselves a causal relation, but they still point to a strong connection between delayed fertility and improved early-career labor-market outcomes. I investigate this link more directly in Section 5.3.

Overall, these results suggest that the estimated effects on women's behavior operate mainly through changes in the timing of key events, rather than through changes in extensive-margin outcomes such as becoming a mother or ever holding a stable formal job. Additional income support during childhood appears to shift the age at which individuals enter fertility and the labor market, without substantially affecting the probability of ever doing so. This pattern is consistent with a reorganization of transitions to adulthood, rather than with changes in underlying preferences for motherhood or formal labor market participation. In particular, the dynamic profile of the effects on the probability of being a mother by age γ follows directly from the fertility timing mechanism described in the conceptual framework in Section 2.

It is important to note that the main sample in this study includes women of different ages, which means that not every woman can be observed at each age. To use all information available, the preferred estimates reported in Figure 4 are based on different age-specific samples, i.e., for effects measured at age γ the sample includes all women who are γ years old or older. However, this raises the potential concern that the patterns observed in Figure 4 reflect changes in sample composition rather than actual dynamic effects. To address this, Appendix G replicates the analysis using a balanced sample restricted to individuals who were at least 27 years old by December 2021, so that composition remains constant across ages. The results are very similar, suggesting that the dynamic patterns documented before are not driven by sample composition.

For men, and consistent with the reduced-form and 2SLS results discussed in Section 5.1, the dynamic estimates reported in Panel (d) of Figure 4 do not show statistically or economically significant effects in either fertility or employment outcomes. This reinforces the conclusion that the program's effects on transitions to adulthood are driven almost entirely by women.

Finally, while the dynamic analysis of effects is helpful to understand the timing of la-

bor market improvements, it does not describe precisely how women move through jobs or whether they eventually land more stable jobs. To explore this, Table 4 reports estimates on different job mobility outcomes. Columns (1)–(5) focus on different measures of job mobility, including the number of different firms in which a woman held her main position, the probability of entering and remaining in the same firm when last observed, and binary indicators of low, moderate, and high mobility. Low mobility corresponds to having 1–2 main employers throughout the whole period, moderate mobility to 3–4, and high mobility to 5 or more. Columns (6)–(8) focus on job stability among women who are employed in July 2023. These include tenure (and log-tenure) in the current job and a binary indicator for having at least two years of tenure, which is approximately the median tenure in the data, among those employed.

These estimates show that women receiving additional income support are somewhat more mobile. For instance, the reduced-form effect of *PANES/AFAM-PE* eligibility on the probability of staying in the same firm they started is -4.1p.p. (or 21.0%, p-value = 0.027). This is explained mainly by low-mobility women shifting to moderate-mobility paths (three to four employers). Importantly, the program does not increase the probability of very high mobility (five or more employers). Columns (6)–(8) in Table 4 also suggest that this greater mobility takes place relatively early in women’s working lives. When looking at last-observed outcomes, women who received additional support are more likely to hold more stable jobs. For instance, there is a clear positive reduced-form effect of 3.5% (p-value=0.021) on tenure in the current job and a sizable increase of 8.9% (20.0%, p-value=0.004) in the probability of having at least two years of tenure, conditional on being employed. The combination of increased moderate mobility and longer tenure in the last observed job points to a coherent pattern: treated women seem to engage in more job search and mobility early on and eventually settle into more stable positions. Hence, delayed fertility seems to create additional time and flexibility for uninterrupted early-career job exploration, which in turn may have led to better and more stable longer-term matches in the labor market.

Overall, the evidence discussed in this section suggests that the long-term improvements in labor market outcomes arise because women shifted toward more career-oriented transitions to adulthood, mainly by avoiding early births. These early career investments also manifest in more (moderate) job mobility and more stable jobs when last observed.

5.3 Labor Market Dynamics Around Childbirth

To understand better how changes in women’s transitions to adulthood translate into better labor market outcomes, and to explore more in detail the role played by postponed motherhood, I now focus on labor market dynamics around childbirth. A first, although somewhat naive, way to explore this is to test whether the magnitude of the effects is different between mothers and non-mothers. Intuitively, if women’s labor-market gains are driven by delayed motherhood, it is reasonable to expect that non-mothers show stronger improvements. Table 5 reports estimates splitting the sample into non-mothers and mothers for four outcomes of interest: (i) university enrollment, (ii) age of first job, (iii) cumulative months employed, and (iv) cumulative earnings. The results suggest that not having children is positively correlated with stronger effects on labor market outcomes. Across all four outcomes, the effects for non-

mothers are larger than for mothers. For instance, for labor-market outcomes, the reduced-form estimates for non-mothers show increases of about 8.6 cumulative months employed and USD 5,760 in cumulative earnings (24.6% and 23.7%) while for mothers the corresponding effects are 5.9 months and USD 3,611 (15.0% and 14.8%).

While these findings are consistent with labor-market improvements being explained, at least in part, by postponed or non-motherhood, women who remain childless may differ systematically from those who become mothers and are therefore not necessarily the most appropriate comparison group. Moreover, because the additional income support itself affected fertility decisions, this comparison should be interpreted as descriptive evidence rather than a formal test of mechanisms.

To address this more carefully, I next restrict the analysis to mothers and study earning dynamics around the age of first birth using a stacked DiD approach (Wing et al., 2024). Using a stacked DiD rather than the most typical event-study approach is justified by the fact that mothers who give birth at different ages follow different labor-market trajectories, and the penalty from childbirth varies substantially by age (e.g., Gallen et al. 2024; Adda et al. 2017). Pooling them into a single event-study implicitly assumes they are comparable and that childbirth has homogeneous effects across ages, which is unlikely to hold and can bias standard TWFE estimates (Roth et al., 2023; De Chaisemartin and d’Haultfoeuille, 2023).²⁸

Following Melentyeva and Riedel (2023) I create a stacked dataset of separate sub-events for each age at first birth s .²⁹ Then, I compare women who give birth at age s to not-yet-mothers who will give birth within three years. This type of comparison ensures that mothers and not-yet-mothers are on similar labor market paths but do not differ critically in the timing of motherhood. A key requirement of stacked DiD designs is that each age-at-birth group must be observed over the full pre- and post-birth window, which determines the age restrictions used in the analysis: women who give birth too early or too late cannot be followed long enough and are therefore excluded. Hence the analysis is restricted to women who gave birth between ages 21 and 27. The resulting stacked dataset removes variation in treatment timing within each sub-event by construction, allowing me to estimate how child penalties vary with the age at first birth using the following specification:

$$Y_{isa} = \sum_{s=s_{\min}}^{s_{\max}} \sum_{\substack{l=L_{\min} \\ l \neq -1}}^{L_{\max}} \beta_{sl} (B_{is} \times \mathbb{1}[a - A_i = l] \times \mathbb{1}[S_{is} = s]) + \gamma_{is} + \lambda_{sa} + \varepsilon_{isa}. \quad (18)$$

where Y_{isa} denotes the outcome of interest for individual i who belongs to sub-event s at age a . The term $\mathbb{1}[a - A_i = l]$ is an event-time indicator equal to one when individual i is l years away from her first birth at age A_i . The indicator B_{is} equals one for women who give birth at age s , and zero for not-yet-mothers who will give birth at ages $s + 1$ through $s + 3$ but have not yet done so at age a . $\mathbb{1}[S_{is} = s]$ is a sub-event indicator, allowing the coefficients β_{sl} to be different depending on age-at-first-birth groups. The coefficients β_{sl} are the objects of

²⁸In other words, one could think of traditional event-studies around childbirth as settings with staggered “treatment” adoption and heterogeneous effects.

²⁹Appendix H provides further technical details, including how the stacked dataset was built.

interest. For a given age at birth s , they trace the evolution of say, earnings, before and after childbirth. Hence, β_{sl} coefficients can be interpreted as age-specific child penalties for mothers who give birth at age s . The fixed effects γ_{is} and λ_{sa} are individual-by-sub-event and age-by-sub-event fixed effects, respectively, which flexibly absorb differences in earnings levels and life-cycle profiles within each sub-event. Standard errors are clustered at the individual level.

Figure 5 summarizes the main results from the stacked DiD approach. In both panels, the outcome of interest is annual earnings expressed as a percent of the within-stack average earnings two years before birth. Panel (a) reports separate point estimates by age at first birth, while panel (b) aggregates ages into two groups (21–23 and 24–27) and reports 95% confidence intervals.³⁰ The results show that relative earnings losses are substantially larger for women who give birth at younger ages, and penalty levels decline monotonically with maternal age. Recovery dynamics also differ sharply across groups. For women who become mothers earlier, the earnings penalty continues to increase several years after birth, while for women who give birth later the evolution is, at worse, flat. These results are consistent previous findings in different contexts, such as Sweden, Germany, and the US, that also show this negative correlation between age at first birth and the career or earning costs of children (Gallen et al., 2024; Melentyeva and Riedel, 2023; Adda et al., 2017; Miller, 2011). Overall, these results indicate that delayed fertility is associated with substantially lower child penalties and point to postponed motherhood as a key mechanism through which additional childhood income support translates into improved labor-market outcomes.³¹

To test this mechanism more directly, I combine the stacked DiD design with the quasi-random variation generated by the *PANES/AFAM-PE* eligibility threshold into a single model. This can be thought of as a triple-difference design that compares earning dynamics around childbirth for mothers who were exposed to additional income support during childhood to those of non-exposed mothers, while using not-yet-mothers to net out the dynamic effects of *PANES/AFAM-PE* on earnings that are unrelated to childbirth. This approach has two main advantages. First, by leveraging the group of not-yet-mothers, it provides an estimate of how *PANES/AFAM-PE* affects age-specific earnings trajectories in the absence of childbirth. Second, it allows for a clean test of whether, conditional on age at first birth, exposure to additional income support during childhood has any direct effects on the child penalty. The following specification combines Equations (16) and (18) by fully interacting *PANES/AFAM-PE* eligibility status and score with motherhood and event time.

³⁰To aggregate effects across age-at-birth groups, I follow Melentyeva and Riedel (2023) and weight the group-specific estimates by their sample shares (Wing et al., 2024; Sun and Abraham, 2021).

³¹Appendix H reports additional results using absolute earnings and extensive-margin outcomes.

$$\begin{aligned}
Y_{isa} = & \underbrace{\sum_{\substack{l=L_{\min} \\ l \neq -2}}^{L_{\max}} \theta_l \mathbb{1}[a - A_i = l]}_{(1) \text{ Baseline event-time profile (ineligible not-yet-mothers)}} \\
& + \underbrace{\sum_l \alpha_l D_i^{1st} \mathbb{1}[a - A_i = l]}_{(2) \text{ Eligibility effect for not-yet-mothers}} \\
& + \underbrace{\sum_l \gamma_l B_{is} \mathbb{1}[a - A_i = l]}_{(3) \text{ Child penalty for ineligible mothers}} \\
& + \underbrace{\sum_l \beta_l B_{is} D_i^{1st} \mathbb{1}[a - A_i = l]}_{(4) \text{ Differential child penalty for eligible mothers}} \\
& + \underbrace{\sum_l f_l(Z_i, D_i^{1st}, B_{is}) \mathbb{1}[a - A_i = l]}_{(5) \text{ RDD controls: local polynomial in } Z_i \text{ and interactions}} \\
& + \gamma_{is} + \lambda_{sa} + \eta_{c(a)} + \varepsilon_{isa}.
\end{aligned} \tag{19}$$

where θ_l represents average earnings at event time l for ineligible not-yet-mothers, α_l measures the reduced-form effect of eligibility on not-yet-mothers, γ_l captures the child penalty for ineligible mothers relative to ineligible not-yet-mothers, and β_l measures the differential child penalty for eligible mothers. The term $f_l(Z_i, E_i, D_{is})$ is a flexible function of the running variable that varies by event time l and interacts Z_i with eligibility and motherhood status.³² For simplicity, the sample is restricted to individuals within 0.05 of the eligibility cutoff, and the regression is weighted as in equation (18). Standard errors are clustered at the individual level.

Estimates from this model, depicted in Figure 6, show that not-yet-mothers who received additional income support during childhood experience positive and growing effects on labor market earnings. However, conditional on the age at birth, there does not seem to be major differences in the child-penalties estimated for eligible and ineligible mothers. If anything, women who received additional income support seem to have larger child penalties than women who did not. However, it is important to note that in this model, which is conditional on age-at-first birth, eligible *PANES/AFAM-PE* mothers are compared to ineligible mothers whose age of first birth was not affected by the program. Hence, there may be other intrinsic characteristics that are different between eligible women who gave birth at age γ and ineligible women who gave birth at the same age that explain the higher child penalty.³³

Taken together, the results reported in this section provide further evidence that the observed labor-market improvements are driven primarily by fertility postponement. By shifting births to later ages, additional childhood income support places women on more favor-

³²In practice, this includes local-linear terms in Z_i , as well as their interactions with D_i^{1st} and B_{is} , all interacted with the event-time dummies.

³³Appendix H shows similar findings using a TWFE combined with an RDD approach in the unstacked data.

able child-penalty trajectories, allowing them to accumulate higher earnings throughout early adulthood relative to women who did not receive additional income support. These findings are consistent with the earlier evidence on job mobility and stability, as better labor-market matches may also help explain lower relative penalties and a faster recovery of earnings trajectories after childbirth. However, once changes in the timing of birth are accounted for (i.e., conditional on age at first birth), there is little evidence that the program affects the size of the child penalty itself.

5.4 Additional Evidence on Mechanisms and Heterogeneity

Finally, this section reports a series of additional results that complement the main analysis presented in Sections 5.1 through 5.3. I first document effects on secondary education enrollment and progression, focusing on whether additional income support is associated with changes in educational attainment rather than just with enrollment decisions. I then examine heterogeneity in labor-market and transition outcomes by age at rollout of *PANES/AFAM-PE*, to assess whether effects depend on the timing of exposure. Next, I present evidence relating fertility timing and secondary educational attainment to labor-market effects, assessing how much of the observed improvements in cumulative earnings can be accounted for by changes in these intermediate outcomes. Finally, I report effects on welfare participation in adulthood as a downstream outcome, aiming to capture more structural effects that go beyond formal labor-market outcomes.

Effects on Secondary Education Outcomes

Because changes in fertility timing play a central role in explaining the labor-market improvements documented above, a natural follow-up question is which factors may have contributed to shifts in women's fertility decisions. This section discusses some of the potential channels that are typically discussed in the related literature.

As discussed in Section 2, one plausible hypothesis is that changes in educational choices may affect fertility decisions directly. In particular, the literature has emphasized two mechanisms: incapacitation and human capital accumulation (Black et al., 2008). Incapacitation operates through increased time spent in controlled environments, where teenagers are less likely to engage in risky behavior. Human capital accumulation, in turn, raises expected returns in the formal labor market, increasing the opportunity cost of early motherhood

Using data on secondary education enrollment, I examine a series of outcomes capturing participation and progression in middle and high school. Overall, Table 6 shows that additional income support during childhood is associated with progression to higher grades, but not with changes in overall enrollment or time spent enrolled. In particular, eligibility increases the probability of reaching 12th grade and the maximum grade attained, while effects on ever being enrolled and on years of enrollment are close to zero and statistically insignificant. While these results are exploratory, they suggest that additional income support may have shifted educational trajectories toward higher attainment rather than increasing enrollment per se. This pattern is more consistent with a human capital channel, with higher expected returns to schooling explaining delayed fertility, than with a pure incapacitation mechanism operating

through increased time spent in school.

Heterogeneity by Age at Exposure

This section examines heterogeneity in labor-market and transition-related outcomes by age at exposure to *PANES/AFAM-PE*. A growing literature emphasizes that the timing of childhood exposure to additional resources matters for later-life outcomes, with early exposure often having different effects than exposure later in childhood (e.g., [Bailey et al. 2024](#)). At the same time, recent work has shown that interventions delivered at critical moments, such as adolescence, can also generate sizable effects ([Page, 2024](#)). Estimates reported in Figure 7 explore whether the size and direction of the effects vary by age at *PANES/AFAM-PE* rollout, which I use as a proxy for the timing of exposure. Panels (a) and (b) report estimates on cumulative months worked and cumulative earnings, respectively. Panel (c) reports effects on age at first birth and age at first job, while panel (d) depicts effects on university enrollment. Importantly, all estimates are obtained from the same 2SLS specification, i.e., they are scaled per USD 1,000 of additional income support. As a result, differences across cohorts reflect heterogeneity in the *returns* to additional income support, rather than differences in the total amount of resources received at different ages.

The results can be grouped into two broad patterns. First, cohorts who were exposed to *PANES/AFAM-PE* after school age, i.e., age 6 or more, display effects consistent with the main results of the paper. Overall, these cohorts show positive effects on cumulative earnings and months worked, positive effects on age at first birth, and negative effects on age at first job. While some estimates are statistically imprecise, likely because the sample is split into multiple groups within a data-demanding RDD framework, their direction is broadly in line with the overall findings. Importantly, cumulative labor-market outcomes do not display a clear gradient across these cohorts, suggesting no major differences in labor-market improvements by age at exposure within this group.

In contrast, effects on age-related transitions seem to be larger for cohorts exposed at older ages. The presence of fertility responses among these cohorts, despite limited opportunities to adjust educational attainment at later ages, suggests that the human capital mechanism discussed in the previous section cannot be alone the only reason for changes in fertility decisions. Several interpretations are consistent with this pattern. One possibility is that cash transfers are more effective at relaxing financial constraints when delivered at particularly salient or high-risk moments, in line with foot-in-the-door-type mechanisms ([Bailey et al., 2017](#)). Alternatively, older cohorts may have experienced more favorable macroeconomic conditions at key transition ages.³⁴

Second, the youngest cohort displays a markedly different pattern. For this group, effects on cumulative labor-market outcomes are null or negative, effects on age at first birth are close to zero, and effects on age at first job are negative, while effects on university enrollment are large and positive. This combination of results departs from the main pattern documented for the overall sample. In this case, the evidence is more consistent with a dynamic comple-

³⁴For instance, Uruguay's GDP grew at around 7 percent in 2008, when the oldest cohort was between ages 18 and 21, whereas GDP growth was 0.74 percent in 2023, when the youngest cohort reached a similar age. While speculative, these differences in economic conditions may have amplified the observed effects for older cohorts.

mentarities interpretation, where only very early exposure to additional resources increases investments in human capital that translate into higher participation in higher education. The negative labor-market effects observed for this cohort are consistent with this interpretation, as increased university enrollment is likely to come at the expense of labor-market participation at younger ages.

At the same time, the absence of fertility responses for this cohort may appear less intuitive, as tertiary education is often viewed as a substitute for early fertility, but no delays in age at first birth are observed. In this regard, it is important to note that, by the time these early-exposed cohorts reached adolescence, two major policy reforms were implemented in Uruguay that substantially expanded access to fertility control: universal free provision of long-acting reversible contraceptives through the public health system and the legalization of abortion. Empirical studies document strong negative effects of both reforms on teenage fertility ([Cabella and Velázquez, 2022](#); [Ceni et al., 2021](#)). In this context, differences in fertility timing between women who received additional income support and women who did not may have narrowed, as more fertility control tools became universally available to both groups and income became a less relevant determinant of access to these tools.

Overall, the results in this section suggest that the effects of childhood income support are broadly similar across most cohorts, with one clear exception: individuals exposed at very young ages. These patterns highlight that the channels through which income support operates depend on the institutional and economic environment, something that deserves more attention in future work.

Fertility and Education in Labor-Market Effects

Given the evidence on both fertility timing and secondary education outcomes, this subsection examines how fertility timing and educational attainment relate to the labor-market improvements documented throughout the paper. In particular, I explore whether, and to what extent, variation in labor-market effects is accounted for by differences along these two dimensions using two complementary approaches.

First, I examine heterogeneity in cumulative labor-market outcomes by splitting the sample into three groups: (i) women who had an early birth, (ii) women who did not have an early birth and attained a low level of education, and (iii) women who did not have an early birth and attained a high level of education. One major caveat with this approach is that results cannot be interpreted as a formal test of mechanisms, as there is no additional source of variation and the variables used to define these groups are themselves affected by childhood income support. Still, the results reported in panels (a) and (b) of Figure 8 reveal a clear gradient in labor-market effects. In particular, they suggest that not having an early birth is a necessary condition for observing improvements in labor-market outcomes, while educational attainment mainly shifts the magnitude of the effect conditional on not having an early birth.

To complement these results, and in a similar spirit to a mediation analysis, I examine how estimated labor-market effects change once age at first birth and secondary education variables are included as controls in the main specification of Equation (15). The results, reported in Table 7, show that a substantial share of the effects on labor-market outcomes is accounted for

by changes in fertility timing. In particular, among women who gave birth, about 40 percent of the earnings gains associated with additional income support are explained by changes in age at first birth. Moreover, once age-at-first-birth controls are included, secondary education variables account for little additional variation in labor-market outcomes.

Downstream Effects on Adult Welfare Participation

To explore longer-term improvements that go beyond formal income, I examine whether individuals who received additional income support during childhood exhibit improved living standards once they form their own households. Specifically, I analyze applications to *PANES/AFAM-PE* made in adulthood. Table 8 replicates the baseline analysis for five outcomes related to future welfare participation: whether individuals apply, the age at first application, whether they are accepted, the number of payments received, and the poverty score assigned at the time of application.

The evidence points to an apparent mixed pattern. On the one hand, additional income support during childhood has, at most, small negative effects on the probability of applying to *PANES/AFAM-PE* as an adult and on the probability of being accepted, although these effects are statistically insignificant. When considering the number of payments received in adulthood, there is a marginally statistically significant reduced-form effect of -4 months (-18.5 percent, p -value = 0.094). On the other hand, for those who applied to *PANES/AFAM-PE* there is clear and robust evidence of improvements in poverty scores among women who benefited from additional childhood income support. Looking at the poverty score as an outcome aims to capture a broader set of household conditions than formal labor income alone and can be thought of as a less volatile indicator of material well-being. The reduced-form estimates show a strong discontinuity of -0.035 (-15.1%, p -value = 0.003) in the poverty score obtained in *PANES/AFAM-PE* adult applications.

Taken together, these findings suggest that while additional childhood income support did not substantially changed adults' subsequent application to, or participation in, the safety net, it did improve women's longer-term living standards. The small and relatively imprecise effects on participation-related outcomes are most likely explained by the fact that the program became more generous and easier to access over time, which limits our ability of detecting significant differences. In contrast, the strong effects on poverty scores provide compelling evidence that additional income support during childhood led to lasting improvements in material well-being that extend beyond formal labor-market outcomes and likely persist into adulthood.

6 Discussion

6.1 Linking the empirical findings to the conceptual framework

The empirical results in this paper align closely with the mechanisms emphasized in Section 2. In the model, additional income during childhood affects life-cycle outcomes by shaping the initial conditions at the transition to adulthood and by altering fertility timing and early-career investment decisions. The observed improvements in women's long-term labor market

outcomes are consistent with this structure. Higher childhood income relaxes early-career constraints, both directly through higher schooling and indirectly through delayed fertility, leading to higher cumulative earnings later in life. Importantly, these gains arise without large changes in extensive-margin outcomes such as ever working formally or ever becoming a mother, mirroring the model's emphasis on timing and intensity rather than participation.

The dynamic patterns in fertility outcomes provide further support for this interpretation. The estimated effects on the probability of being a mother by age γ are largest at young ages and attenuate over the life cycle, a pattern that follows directly from the fertility timing mechanism embedded in the model. Additional income during childhood shifts births to later ages without directly affecting desired fertility, so negative effects at young ages reflect delayed entry into motherhood, while attenuation at older ages reflects the gradual realization of postponed births. Furthermore, the observed pattern of higher job mobility early in the life cycle followed by more stable employment later is consistent with the model's interpretation of career investment. Early mobility reflects search and experimentation during the transition to adulthood, while later stability reflects the realization of earlier investments and improved job matches. In this sense, mobility and stability should be viewed as different stages of the same career-oriented trajectory rather than as distinct mechanisms.

The fact that income effects on annual earnings continue to grow up to the moment of childbirth, but largely disappear once conditioning on age at first birth, is consistent with a timing-based interpretation rather than with the absence of persistent effects. Childhood income shifts women toward fertility at later ages, allowing them to accumulate more experience and career investment prior to childbirth. When women are compared at the same age of first birth, earnings trajectories are similar, indicating that income support does not generate additional advantages beyond those implied by delayed fertility itself. Importantly, this does not imply that income support has no lasting effects; rather, it reflects that the relevant counterfactual is fertility occurring earlier in the absence of income support. In this sense, persistent earnings gains arise through the reorganization of life-cycle trajectories, rather than through differential earnings conditional on fertility timing.

Evidence on secondary education outcomes helps clarify how childhood income operates in the conceptual framework. In the model, education enters as a normal good rather than as a fully specified human capital technology, and should therefore be interpreted broadly as a composite of investments that shape later opportunities. Consistent with this interpretation, the empirical results show that additional income support is associated with progression to higher grades and higher maximum grade attainment, but not with changes in overall enrollment or time spent enrolled. This pattern suggests that households used additional resources to improve educational trajectories and achievement among those already in school, rather than simply to keep students enrolled for longer. Such uses may include investments that facilitate grade progression, such as tutoring, school materials, improved health or nutrition, or even a reduction in child labor (home or market labor), all of which can raise performance without extending time spent enrolled.

At the same time, the presence of fertility responses among cohorts exposed at older ages, for whom scope to adjust formal educational attainment was limited, indicates that human capital accumulation alone cannot account for the observed changes in fertility timing. Instead, the

results support the existence of a direct effect of income on early-life fertility, operating independently of schooling. In the model, this channel is captured by the direct dependence of early fertility risk on childhood income, which summarizes a range of mechanisms through which income may affect exposure to risk, constraints, and decision-making during adolescence. Together, these patterns suggest that childhood income shapes transitions to adulthood through both educational investments and direct effects on fertility-related behavior, consistent with the structure of the conceptual framework.

Taken together, the empirical findings support the view that income during childhood plays a central role in shaping transitions to adulthood. Additional income affects both the initial conditions individuals face and the constraints under which key decisions are made, influencing fertility timing, educational progression, and early-career investment. These effects seem to operate largely through changes in the timing and sequencing of life events. By reorganizing transitions to adulthood across education, fertility, and work, the empirical evidence presented in this paper shows how income support during childhood generates persistent improvements in women’s labor market outcomes, consistent with the mechanisms emphasized in the conceptual framework.

6.2 Magnitude of the effects and comparison with related literature

The estimated effects of additional childhood income on women’s labor market outcomes documented throughout this paper are consistent with a growing literature showing that increases in family income can generate lasting improvements in children’s adult outcomes, particularly when transfers are targeted to low-income families and are regular and predictable (Page, 2024; Carneiro et al., 2021). The direction of the effects aligns with recent evidence from the United States (Bitler and Figinski, 2024; Bailey et al., 2024; Bastian and Micheltore, 2018; Aizer et al., 2016) and from Latin America (Araujo and Macours, 2021; Attanasio et al., 2021; Parker and Vogl, 2023). Importantly, the finding that women respond more strongly than men to this type of policy intervention is not uncommon in recent related literature. For the United States, Bastian et al. (2022); Hoynes et al. (2016); Bitler and Figinski (2024) show that the long-run effects of social safety net policies on children’s adult outcomes are typically larger for women. Similarly, in the context of PROGRESA, both Araujo and Macours (2021) and Parker and Vogl (2023) document more pronounced effects for women, although in some cases the gender differences are not statistically significant. One recent contribution that points in the opposite direction is Barr et al. (2022), who find that the effects of childhood exposure to the EITC on early adulthood labor market outcomes are largely driven by men. However, this contrasting pattern may reflect differences in the timing of outcomes considered, as Barr et al. (2022) do not examine effects in the early twenties, which is precisely the period where I find the strongest impacts on women’s labor market outcomes.

To assess the magnitude of the estimated effects on women’s labor market outcomes, I first consider the reduced-form estimates, which do not require imposing assumptions on how outcomes scale with the size of the transfer, as the 2SLS estimates do. In Section 5, I documented that the 8.2 months reduced-form effect in Table 2 represents about 22% of the mean baseline outcome. This effect is also large relative to the distribution of this variable among women, as

it corresponds to the 30th percentile.³⁵ An alternative benchmark, which requires an additional functional form assumption about the relationship between treatment intensity and effect size, would be the implied effects associated with moving from null exposure to median exposure. The median applicant received a total of USD 7,600 from *PANES/AFAM-PE*. Multiplying the 2.4-month effect 2SLS estimate by 7.6 leads to an effect of about 18 months, corresponding roughly to the median of the outcome distribution among ineligible women near the cutoff.

A similar analysis can be conducted for cumulative earnings gains, in particular, to put them in perspective of the observed gender gap in earnings. The reduced-form effect alone represents a sizable share of the observed gender gap in cumulative earnings, accounting for roughly 50% of the average difference between men and women (about USD 10,600).³⁶ Furthermore, moving from null exposure to median exposure would eliminate the observed gender gap. While useful as a back-of-the-envelope comparison, this type of extrapolations relies on strong linearity assumptions and extends well beyond the local variation exploited by the research design, so it should be interpreted mostly as a sign of sizable effects, rather than specific magnitudes. In any case, regardless of the approach and the specific outcome considered, these results highlight that the policy induced change in outcomes at the cutoff is economically meaningful even without rescaling by transfer amounts.

The effects are also sizable when compared to existing estimates from different contexts. In relative terms, *PANES/AFAM-PE* seem to have stronger effects than other safety net policies, for instance, in the US. The 6.5% effect on cumulative earnings per additional USD 1,000 reported in Table 2 is larger than the 2.2% reduced form effects of additional USD 1,000 in EITC income support in [Bastian and Micheltore \(2018\)](#), and the 1% increase suggested in [\(Page, 2024\)](#) as a baseline for income support effects on earnings. In turn, estimates are more comparable, although still larger, to those obtained from Food Stamps estimates in [Hoynes et al. \(2016\)](#) which are closer to 3-4% or the the effect sizes documented in [\(Bitler and Figinski, 2024\)](#). One possible explanation relates to the size of the benefits. For instance, [Bitler and Figinski \(2024\)](#) note that the Food Stamp Program represents a large share of household food expenditure (around 50%), which may be broadly comparable to the 50-70% increase in household income associated with *PANES/AFAM-PE*.

Other differences across settings may also help rationalize the heterogeneity in findings. If *PANES/AFAM-PE* beneficiaries are relatively more disadvantaged than beneficiaries of programs such as the EITC, one possible explanation is that income support generates stronger responses among more disadvantaged households, something that is backed by existing evidence [\(Page, 2024\)](#). At the same time, comparisons across contexts should be interpreted cautiously. First, an additional USD 1,000 does not necessarily represent the same relative increase in household income for *PANES/AFAM-PE* beneficiaries as for EITC or food stamp recipients in the United States. Second, the timing at which outcomes are measured is not fully aligned across studies, which may affect the patterns observed. Third, and perhaps more importantly, the definition of formal labor income in this paper implies that part of the estimated gains may reflect shifts from informal to formal employment rather than one-to-one increases in total

³⁵Unless explicitly mentioned, all references here are computed for ineligible individuals close to the eligibility threshold, defined as someone who obtained a first poverty score between -0.05 and 0.

³⁶Alternatively, one could think of these cumulative earnings gains as corresponding roughly to 70% of the median amount transferred to households by the program.

labor market earnings. Taken together, these considerations suggest that differences in magnitudes across studies may reflect a combination of program generosity, baseline disadvantage, and institutional context.

The direction of the effect on fertility outcomes is also consistent with very recent findings for the EITC in the US (Micheltmore and Lopoo, 2021), CCT programs in Latin America (e.g., Araujo and Macours, 2021; Attanasio et al., 2021; Barham et al., 2018), and Africa (e.g., Baird et al., 2011). Moreover, the magnitude of changes in fertility is also large. For instance, in percent terms, the reduced-form effect on the teenage birth rate is around 40%, which is about two thirds of the total decline in teenage birth rates observed in the country since 2005 (from 60 to 23 births per 1,000 women aged 15–19). Income support also seems to be relatively more effective compared to other policy changes that reduced teenage birth rates around the same period, such as abortion legalization (Cabella and Velázquez, 2022) or expanded access to LARCs (Ceni et al., 2021). This comparison must be cautious, though, as PANES/AFAM-PE was targeted specifically to poorer women, who are at higher risk of having teenage births.

The magnitude of these effects is consistent with other studies in the still limited but growing literature on the long-run effects of income support policies on fertility outcomes. For instance, Araujo and Macours (2021) show that 1.5 additional years of exposure to PROGRESA increase women's age at first birth by 0.53 years. This estimate is of a similar order of magnitude to the results in this paper: the reduced-form effect documented in Table 3 implies an increase of about 0.5 years in age at first birth, while the underlying discontinuity in exposure corresponds to roughly 2 years. By contrast, the magnitude of these effects seem orders of magnitude larger than those documented for income support policies in other contexts. For the United States, Micheltmore and Lopoo (2021) finds that an additional USD 1,000 in EITC exposure reduces the probability of giving birth by age 20 by about 2–3%. This magnitude can be directly compared to the estimated reduction of 11.7% per additional USD 1,000 in the probability of having a birth before age 19 reported in Appendix G.³⁷ Despite these differences, an important qualitative similarity emerges across studies. Micheltmore and Lopoo (2021) document a pronounced U-shaped pattern of effects that closely resembles the dynamics shown in Figure 4. This similarity suggests that, even across very different institutional contexts, the effects of additional income operate primarily through changes in the timing of fertility rather than through shifts in fertility preferences along the extensive margin.

One final set of results that is worth benchmarking against existing studies concerns the effects on future welfare participation. Despite the fact that the programs and settings are very different, the null, or even negative, effects on welfare applications, participation, and payments documented in this paper are closer to the findings in Deshpande (2016), who report no causal effect of SSI removal on intergenerational SSI receipt. This contrasts with the evidence in Dahl et al. (2014); Dahl and Gielen (2021); Hartley et al. (2022), who document strong intergenerational transmission when studying disability insurance and AFDC/TANF in the United States. One possible explanation is that program design may matter. In particular, conditionalities could be more effective in promoting human capital investments, which may help weaken some of the more structural mechanisms behind intergenerational transmission

³⁷A comparison at age 19 suggests even larger differences based on their graphical evidence, although effects at this age are not reported explicitly in the paper.

of welfare participation. At the same time, more research is needed to better understand the role of conditionalities, and other program features, in explaining human capital accumulation and intergenerational outcomes.

6.3 Efficiency Costs: Marginal Value of Public Funds

In this section, I use the framework in [Hendren and Sprung-Keyser \(2020\)](#) to calculate the Marginal Value of Public Funds (MVPF) associated with *PANES/AFAM-PE*, in order to assess the welfare effects of the program. The MVPF is defined as the ratio of beneficiaries' willingness to pay for an additional unit of public spending to the cost to the government of providing that spending. As such, it summarizes the relationship between the benefits generated by the program and its fiscal cost.

While the analysis in this paper follows individuals up to 2023, behavioral responses to childhood income support may continue to accrue later in life. For transparency, I therefore discuss two sets of results. First, I estimate the MVPF using outcomes observed up to 2023. These estimates rely on fewer dynamic assumptions and are based exclusively on causal effects identified in the data. Second, I project MVPF estimates up to retirement age under alternative assumptions about the evolution of formal labor earnings over the life cycle. To maintain consistency with the empirical analysis, I present the main MVPF estimates for the average household in the *main sample*, defined as households within 2 p.p. of the eligibility threshold.³⁸ This implies assuming a household size of 4.3 members, of whom 2.4 are children, with 48.6% being girls (see Appendix D). In addition, I will take 28 years, i.e., the average age of the sample when they are last observed, as a representative age in the analysis.

Willingness to Pay for *PANES/AFAM-PE*. To compute the MVPF, the first step is to calculate beneficiaries' willingness to pay (WTP) for an additional dollar of program expenditure. Because *PANES/AFAM-PE* was provided at the household level but may have affected the welfare and behavior of all household members, I estimate a household-level WTP that aggregates the valuation of both adults and children. For adults, since *PANES/AFAM-PE* consists of a cash transfer with few restrictions on how it can be spent, it is reasonable to assume that adults' WTP for an additional dollar of *PANES/AFAM-PE* equals one dollar. For children, I assume their WTP is given by the time-discounted increase in after-tax earnings induced by the transfer. In particular, I take the cumulative effect reported in column (4) of Table 2 (1.570), apply an average tax rate of 0.32, as in [Bergolo and Cruces \(2021\)](#), and a 3% discount rate.³⁹ Throughout, I impose that the program has strictly zero earnings effects for men, so children's WTP reflects earnings gains for women only. Finally, I aggregate individual-level WTP estimates to the household level to ensure consistency with the program's unit of treatment. Adults' WTP is already defined at the household level, since *PANES/AFAM-PE* transfers are paid to households.

³⁸Full results, together with details on the assumptions and the calculation of the MVPF, are reported in Appendix I.

³⁹This average tax rate corresponds to the sum of employee and employer payroll taxes and assumes no personal income taxation. In the Uruguayan context, this is reasonable since the bottom 70% of the labor income distribution is exempt from personal income tax. Regarding the time discount, because the estimate of 1.570 corresponds to earnings accumulated over an 18-year period (2005–2023), I use a midpoint approximation and discount these gains by nine years.

By contrast, children's WTP is constructed from causal effects measured at the individual level. To obtain a household-level measure, I scale individual-level estimates by the average number of girls per household at the time of application. In the data, households have on average 2.4 children, and 49% of them are girls, implying an average of 1.176 girls per household. Overall, the household-level willingness to pay for an additional dollar of *PANES/AFAM-PE* is estimated at 1.96, comprised of \$1 for adults and \$0.96 for children.

Fiscal Externalities. Fiscal externalities associated with *PANES/AFAM-PE* should capture changes in government revenues and expenditures induced by behavioral responses to the program. For simplicity, the baseline scenario focuses on first-order effects on payroll tax revenues arising from changes in formal labor earnings. On the adult side, as shown in Figure 1 and documented in [Bergolo and Cruces \(2021\)](#), the income eligibility thresholds used in *PANES/AFAM-PE* may have induced behavioral responses in parental labor supply. To account for these effects, I replicate the main estimation strategy based on Equation (15) using parental labor earnings as the outcome.⁴⁰ The estimates indicate that an additional USD 1,000 of income support during children's childhood is associated with a reduction of USD 388 in parents' cumulative earnings per parent over the analysis period.⁴¹ I translate estimated cumulative effects on parents' formal earnings into fiscal externalities by applying the same payroll tax rate (0.32), aggregating across adults within the household (1.9), and discounting at a 3% rate. For children, increased payroll tax revenues from formal earnings are computed following the same procedure as for their WTP, but applying the average tax rate instead of the net-of-tax rate.

Static MVPF estimates. Based on these calculations, the estimated MVPF at age 28 is 2.7. This implies that, up to the age 28 (or 18 years after the program started) each additional dollar of net government spending on *PANES/AFAM-PE* has provided nearly \$2.7 of benefits for beneficiary households. At this point, it is important to acknowledge that this estimate relies on a series of assumptions. First, the baseline scenario assumes that all effects estimated in the paper correspond to real responses (i.e., increases in total earnings), rather than shifting responses (e.g., movements from informal to formal labor income). In addition, it assumes that there are no spillovers to other tax bases, such as value-added taxes. To assess the sensitivity of the results to these assumptions, I simulate alternative scenarios that assign different shares of the estimated effects to real responses for both children and adults, and allow for additional fiscal externalities arising from changes in VAT revenues.⁴² In the most conservative scenario, I assume that all effects associated with adults correspond to real labor supply responses, while all responses observed for children reflect shifting rather than real earnings gains. In the most optimistic scenario, I assume that all children's responses are real, and all adults' responses

⁴⁰To ensure consistency with the child-level analysis, I use the same endogenous variable when estimating effects on parents. In practice, I measure cumulative earnings for the household head and partner in households belonging to the *main sample*, and estimate child-parent level regressions weighted by the inverse of the number of children in the household. This weighting prevents individuals from households with more children from receiving disproportionate weight in the estimation.

⁴¹While this cumulative effect is not statistically significant (p-value = 0.362), estimates are negative and statistically significant at shorter horizons, such as cumulative earnings measured after 5 or 10 years. This pattern suggests that parental labor supply responses are concentrated early on and fade as children age and households exit program eligibility.

⁴²For this, I assume a consumption share of 80% and apply the standard 22% VAT rate.

are shifting. Finally, I also consider an intermediate scenario in which I assign a 50% share of real responses to both groups. Across all scenarios, I assume that children’s willingness to pay arises only from real earnings responses. As a result, formal labor income is not valued more than informal income per se, and purely shifting responses generate no willingness to pay. Under these alternative assumptions, MVPF estimates range from 1.3 in the most conservative scenario to 3.5 in the most optimistic one. Hence, across all scenarios, the benefits received by beneficiary households per dollar spent on *PANES/AFAM-PE* exceed the monetary cost incurred by the government.

These estimates are conservative for various reasons. First, they abstract from several potential responses that could lead to reductions in government expenditures, such as lower *PANES/AFAM-PE* payments due to reduced future welfare participation and reduced health care costs associated with lower teen fertility.⁴³ Second, they abstract from potential changes in life expectancy, which have been shown to be quantitatively important for MVPF calculations (Bailey et al., 2024). Given that *PANES/AFAM-PE* substantially improves women’s labor market outcomes and living standards, it is plausible that the program may also have increased life expectancy among female beneficiaries. Third, and perhaps more importantly, the estimates are based only on outcomes observed up to age 28 and therefore ignore potential effects accruing later in life. Next, I extend the analysis by forecasting earnings and revenues beyond age 28.

Dynamic MVPF estimates. To account for longer-run effects, I project future fiscal externalities associated with children’s labor market outcomes, following the approach in Hendren and Sprung-Keyser (2020); Bailey et al. (2024). More specifically, I forecast *PANES/AFAM-PE* ineligible women’s potential income beyond age 28 assuming that income profiles are proportional to the cross-sectional age distribution observed in the 2023 National Household Survey (ECH), along with a 0.5% wage growth. Eligible women are then assumed to follow the same life-cycle earnings shape, but at a permanently higher level, with the proportional earnings gap pinned down by the 2SLS estimate of the last-year treatment effect reported in column (2) of Table 2 (4.6%). Using these projected earnings paths, I compute the discounted stream of additional payroll tax revenues generated after age 28 and accumulate fiscal externalities over time, adding them to the fiscal effects already observed at age 28 in the baseline scenario.

Under this scenario, cumulative fiscal externalities reach -1 before age 40 (38 or 39, depending on alternative wage growth assumptions), implying that the additional payroll tax revenues generated by female beneficiaries’ formal earnings fully offset the initial fiscal cost of an additional USD 1 transferred to the household. By retirement age, the program generates fiscal externalities of USD 2.3 per dollar transferred, implying net revenue gains of USD 1.3 per dollar transferred. Overall, forecasting dynamic earnings responses beyond 2023 substantially strengthens the case for investing in *PANES/AFAM-PE*. While the static short-run estimates already imply that households’ willingness to pay exceeds program costs, the dynamic analysis shows that, under typical assumptions, the program is likely to fully pay for itself early in the life cycle and to generate net fiscal surpluses in the longer run, yielding an infinite MVPF.

⁴³I also abstract from potential changes in education expenditures. Given the null effects on secondary enrollment, and the small-scale of the changes observed in tertiary education enrollment, these effects are unlikely to be quantitatively important.

A final caveat is that the analysis abstracts from potential pension-related fiscal externalities. Higher formal employment and earnings could increase future public pension expenditures, while lower formal employment, weaker pension coverage, and lower lifetime income could lead to increased participation in welfare programs targeted to the elderly, higher public health care costs due to worse health at older ages, and potentially earlier mortality.

7 Conclusion

While gender gaps in labor market outcomes have narrowed over recent decades, large differences persist, and motherhood remains a central driver of these gaps. This paper shows that childhood income support can strongly affect women's labor market trajectories by changing the timing of key life decisions, in particular their transitions to adulthood, leading to long-run improvements in labor earnings and experience.

Using novel and exhaustive administrative records from the Uruguayan cash transfer programs *PANES/AFAM-PE*, I exploit an arbitrary eligibility threshold to implement a regression discontinuity design and estimate the causal effects of additional income support during childhood on labor market outcomes, as well as on a set of intermediate outcomes related to education and fertility decisions. The results show that additional resources during childhood delay fertility, shifting women toward more career-oriented transitions to adulthood, leading to long-term gains in human capital accumulation and in particular on labor market outcomes. Furthermore, improvements in quality of life are also detected in broader measures of living standards, such as the poverty score assigned in welfare applications as adults.

The results in this paper show directly that these earnings gains operate primarily through changes in fertility timing rather than through differences in the child penalty conditional on age at first birth. Women who benefited from additional income support experience less punitive child penalty trajectories because they give birth later, but once fertility delays are taken into account, there is no evidence of meaningful differences in the size of the child penalty itself. This suggests that fertility timing is a key margin through which childhood income support translates into improved labor market outcomes in this setting. Additional exploratory evidence suggest that the relevance of this mechanism may depend on the timing of the intervention and the institutional context in which fertility and education decisions are made.

The results have implications for the evaluation and design of social safety net policies. In this setting, the labor market gains experienced by women exposed to additional income support during childhood are large relative to the size of the transfers received by their households, and they materialize through increased labor market attachment and experience. More broadly, the size of the estimated effects in this paper illustrates that, while potentially costly, income support policies can be a powerful policy instrument for improving women's economic outcomes and promoting social mobility.

Furthermore, when choosing between alternative policy instruments, the policy maker must take into account that, while expensive in the short run, cash transfer programs may offer additional advantages relative to policies that target fertility (e.g., expanding contraceptive access) or education (e.g., education subsidies) more directly. In particular, cash transfers or, more broadly, additional income during childhood, can affect a broader set of outcomes including

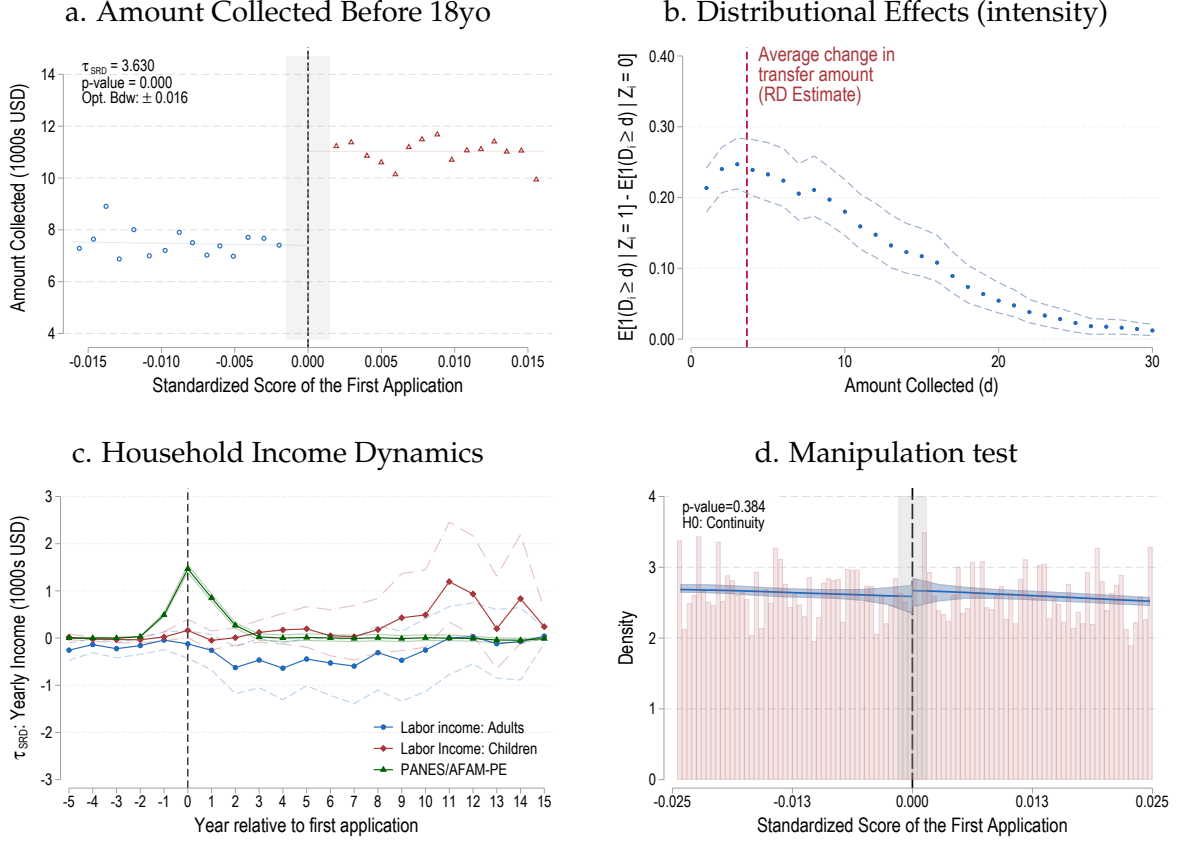
early life children's health, nutrition, or education outcomes ([Page, 2024](#); [Molina Millán et al., 2019](#); [Almond et al., 2018](#); [Bastagli et al., 2016](#); [Fiszbein et al., 2009](#)), parental investment in children ([Krause et al., 2025](#); [Gennetian et al., 2024](#)), and may also generate positive spillovers (e.g., [Egger et al. 2022](#)). Moreover, by relaxing budget constraints directly, cash transfers provide households with flexibility in how resources are allocated, which is likely to be less distortive than policies based on in-kind benefits or narrowly targeted incentives. While the design and costs of such programs remain important considerations, the results in this paper highlight cash transfers as a promising policy instrument and underscore their relevance as a central component of the public policy toolkit aimed at improving long-run outcomes and reducing inequality. This is particularly relevant considering the results from the MVPF analysis that show that the program pays for itself already before the age of 40, and creates additional net fiscal gains beyond that.

More broadly, the findings highlight that income support policies for low-income families may narrow labor market gender gaps even when they are not explicitly designed with this purpose. Since motherhood penalties account for a sizable share of gender differences in earnings, policies that influence the timing of early-life events such as childbirth can have long-lasting effects on women's labor market trajectories. This is particularly important in contexts, such as the Uruguayan, where the motherhood penalty is larger for low-income mothers ([Querejeta and Bucheli, 2022](#)). At the same time, the results also highlight that these effects are context-dependent and mediated by the institutional environment in which fertility and education decisions are made.

Finally, several questions remain open. The available data do not yet allow for definitive conclusions about the long-run effects of childhood income support on completed fertility and fertility preferences, as women in the main sample have not completed their reproductive cycles. At the same time, the heterogeneity in responses across cohorts points to the importance of understanding how the timing of income support interacts with access to fertility control, educational opportunities, and other institutional features. Addressing how early-life policies operate across different stages of the life cycle and institutional environments remains an important direction for future research.

Main Tables and Figures

Figure 1: First Stage and Validity of the RDD



Notes: This figure reports a series of tests on the validity of the RDD design. Panel (a) shows the average total benefits received from PANES/AFAM-PE before age eighteen, expressed in 2008 USD (1000s), as a function of the standardized poverty score at first application (Z_i^{1st}). Negative values of Z_i^{1st} indicate that the application does not meet the eligibility requirements, while positive values correspond to eligible applications. Each dot represents the bin-level average of the corresponding outcome of interest; after adjusting for the set of covariates $\mathbf{X}$ and $\mathbf{\Lambda}$ described in Section 4.1 to maintain consistency across specifications. Total benefits are computed as the cumulative value of program transfers received by households the individual belonged to prior to turning eighteen and are winsorized at the 95th percentile. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. Average total benefits are grouped into 20 quantile-spaced bins on each side of the threshold (i.e., about four times the optimal number of bins), following guidance on visual inference in RDD from Korting et al. (2023). In addition, the figure reports the point estimate of the local difference in average total benefits at the threshold (τ_{SRD}), based on Equation (16), together with the optimal bandwidth and the continuity test p-value, shown in the upper-left corner. Panel (b) illustrates that the first stage estimates average differences in treatment intensity across the distribution, as in Rose and Shem-Tov (2021). Each bin corresponds to a separate estimation of Equation (16), following the baseline technical specifications, where the outcome is defined as the local change in the probability of collecting $D \geq d$ from the cash transfer program over the entire period. These estimates are obtained by varying d from 1,000 to 30,000 and defining the outcome as $E[1(D_i \geq d) | Z_i = 1] - E[1(D_i \geq d) | Z_i = 0]$. Panel (c) reports the dynamic first-stage estimates of household income components around the first program applications. For each year relative to the first application, Equation (16) is estimated separately using a sharp RDD, following the baseline technical specification, where the outcome is alternatively defined as yearly adult labor income, yearly child labor income, or yearly transfers received from PANES/AFAM-PE. Children are defined as household members who are sons or daughters of the household head, the spouse, or both, while adults refer to any other household members, regardless of age. The figure plots the resulting local discontinuities at the eligibility threshold (τ_{SRD}), expressed in 2008 USD (1000s). Panel (d) provides an illustration of a continuity test of Z_i^{1st} at the eligibility threshold, as proposed by Cattaneo et al. (2018). Parameter selection is based on the default options in the `rdensity` Stata command, and the p-value of the continuity test is reported in the upper-left corner. In all cases, the sample used corresponds to the *main sample* as defined in Section 4, excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Whenever shown, confidence intervals correspond to the 95% level, and inference is based on robust standard errors clustered at the household level.

Figure 2: Labor Market Outcomes - Women



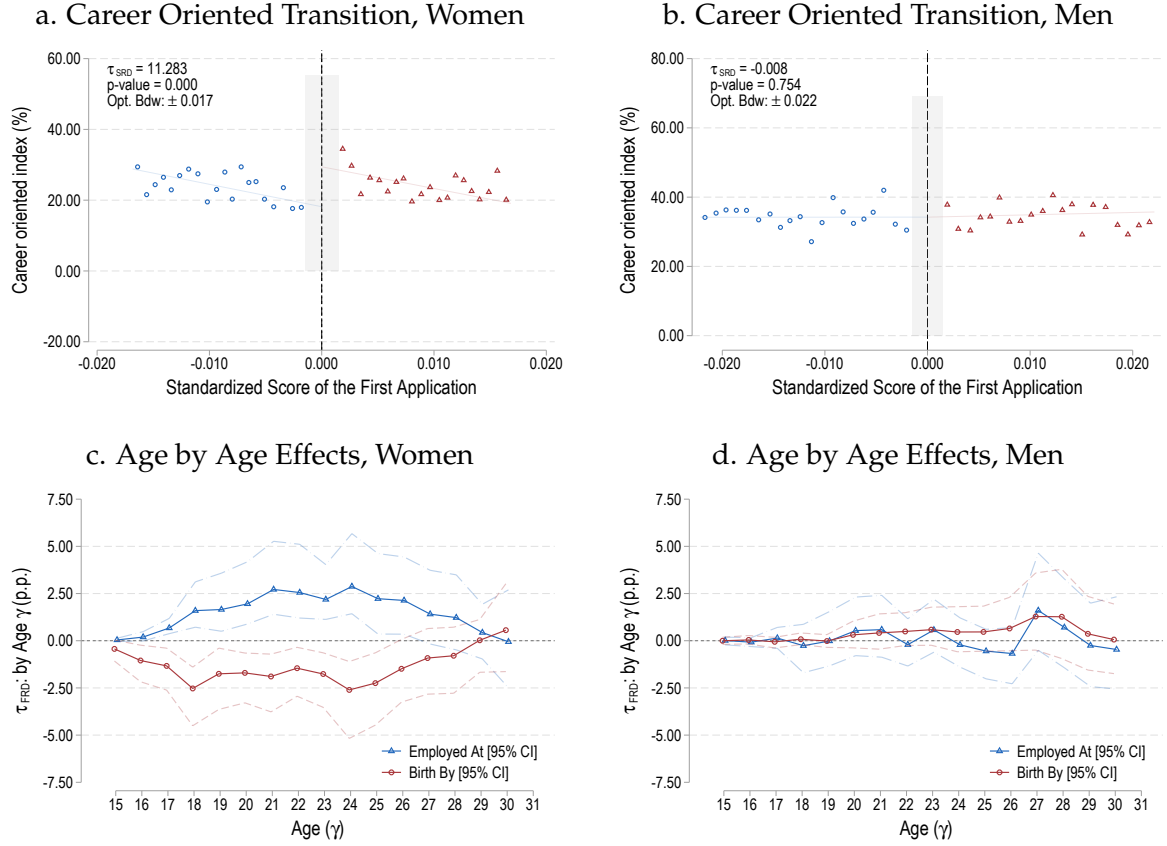
Notes: This figure reports a series of reduced-form RDD estimates for *women* in the *main sample*, excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Each panel illustrates the outcome of interest as a function of the standardized poverty score at first application (Z_i^{1st}). Negative values of Z_i^{1st} indicate that the application does not meet the eligibility requirements, while positive values correspond to eligible applications. Each dot represents the bin-level average of the corresponding outcome of interest; after adjusting for the set of covariates $\mathbf{X}$ and $\mathbf{\Lambda}$ described in Section 4.1 to maintain consistency across specifications. Following Calónico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Outcomes are grouped into 20 quantile-spaced bins on each side of the threshold (i.e., about four times the optimal number of bins), following guidance on visual inference in RDD from Korting et al. (2023). In addition, the figure reports the point estimate of the local difference in the outcome of interest at the threshold (τ_{SRD}), based on Equation (17), together with the selected bandwidths and the continuity test p-value, shown in the upper-left corner. Panels (a) and (b) report effects on labor market outcomes measured in the last year observed, namely months worked and total labor earnings between August 2022 and July 2023. During this period, individuals in the sample are on average 28 years old; see Figure D.2 for additional descriptive statistics. Panels (c) and (d) report effects on cumulative outcomes, defined as the sum of months worked and total labor earnings accumulated over the entire observation period. Income/earnings variables, are expressed in 1000s of USD and are winsorized at the 95th percentile. Inference is based on robust standard errors clustered at the household level. Full estimates are reported in Table 2.

Figure 3: Labor Market Outcomes - Men



Notes: This figure reports a series of reduced-form RDD estimates for *men* in the *main sample* as defined in Section 4, excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Each panel illustrates the outcome of interest as a function of the standardized poverty score at first application (Z_i^{1st}). Negative values of Z_i^{1st} indicate that the application does not meet the eligibility requirements, while positive values correspond to eligible applications. Each dot represents the bin-level average of the corresponding outcome of interest; after adjusting for the set of covariates $\mathbf{X}$ and $\mathbf{\Lambda}$ described in Section 4.1 to maintain consistency across specifications. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Outcomes are grouped into 20 quantile-spaced bins on each side of the threshold (i.e., about four times the optimal number of bins), following guidance on visual inference in RDD from Korting et al. (2023). In addition, the figure reports the point estimate of the local difference in the outcome of interest at the threshold (τ_{SRD}), based on Equation (17), together with the selected bandwidths and the continuity test p-value, shown in the upper-left corner. Panels (a) and (b) report effects on labor market outcomes measured in the last year observed, namely months worked and total labor earnings between August 2022 and July 2023. During this period, individuals in the sample are on average 28 years old; see Figure D.2 for additional descriptive statistics. Panels (c) and (d) report effects on cumulative outcomes, defined as the sum of months worked and total labor earnings accumulated over the entire observation period. Income/earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Inference is based on robust standard errors clustered at the household level. Full estimates are reported in Table 2.

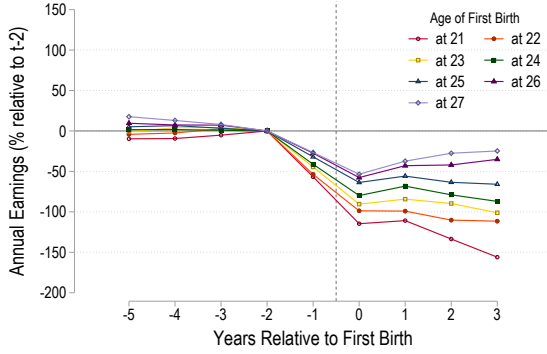
Figure 4: Changes in Transition to Adulthood and Dynamic Effects



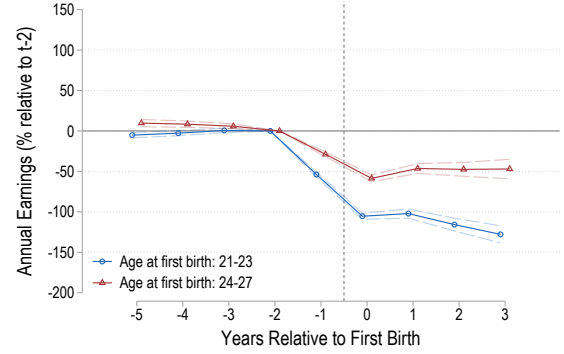
Notes: This Figure reports reduced-form and dynamic 2SLS estimates on career orientation, employment, and fertility outcomes. Panels (a) and (b) replicate the reduced-form RDD analysis for women and men, respectively, using the career-oriented index as the outcome of interest. This is defined as a binary variable (0, 100) that equals 100 if the individual follows a career-oriented transition to adulthood, and 0 otherwise. An individual is classified as career-oriented if two conditions hold: (i) they did not have a child before age 19, and (ii) they either held their first relatively stable job before age 19, defined as an employment spell of at least four consecutive months, or enrolled in university. The analysis is based on the *main sample* as defined in Section 4, excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In each case, the figure illustrates the outcome of interest as a function of the standardized poverty score at first application (Z_i^{1st}). Negative values of Z_i^{1st} indicate that the application does not meet the eligibility requirements, while positive values correspond to eligible applications. Each dot represents the bin-level average of the corresponding outcome of interest; after adjusting for the set of covariates $\mathbf{X}$ and $\mathbf{\Lambda}$ described in Section 4.1 to maintain consistency across specifications. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Outcomes are grouped into 20 quantile-spaced bins on each side of the threshold (i.e., about four times the optimal number of bins), following guidance on visual inference in RDD from Korting et al. (2023). In addition, the figure reports the point estimate of the local difference in the outcome of interest at the threshold (τ_{SRD}), based on Equation (17), together with the selected bandwidths and the continuity test p-value, shown in the upper-left corner. Full estimates are reported in Table 3. Panels (c) and (d) report dynamic 2SLS estimates of employment and fertility outcomes for women and men, respectively, as a function of age. The vertical axis reports the 2SLS estimate of the outcome measured at age γ , while the horizontal axis denotes age γ over the range 15 to 30. Each estimate corresponds to the baseline 2SLS specification in Equation (15) estimated on the *main sample*, excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold, and restricting the sample to individuals who are at least γ years old when last observed. For ages $\gamma < 18$, the endogenous variable is defined as the total amount of program transfers collected prior to age γ . Employment outcomes are defined as a binary variable (0, 100) that equals 100 if the individual is employed at age γ , measured as having at least four consecutive months of employment at that age, and 0 otherwise. Fertility outcomes are defined as a binary variable (0, 100) that equals 100 if the individual has given birth by age γ , and 0 otherwise. Whenever shown, confidence intervals correspond to the 95 percent level, and inference is based on robust standard errors clustered at the household level. Full estimates for Panels (c) and (d) are reported in Appendix F.

Figure 5: Child Penalty by Age of First Birth

a. Income Dynamics by Age of First Birth

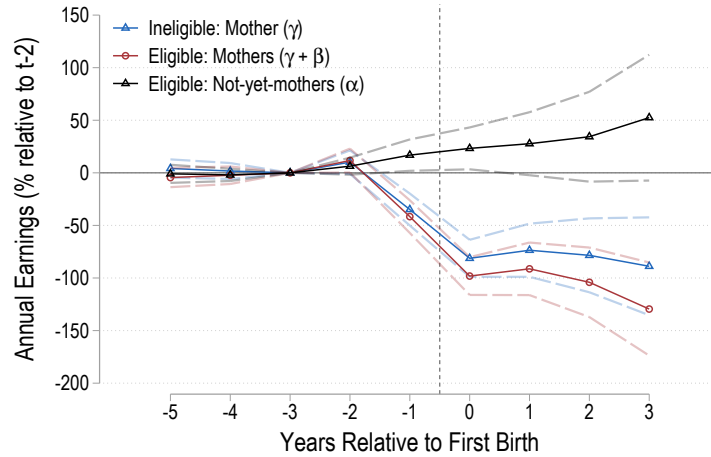


b. Income Dynamics by Age of First Birth, Pooled



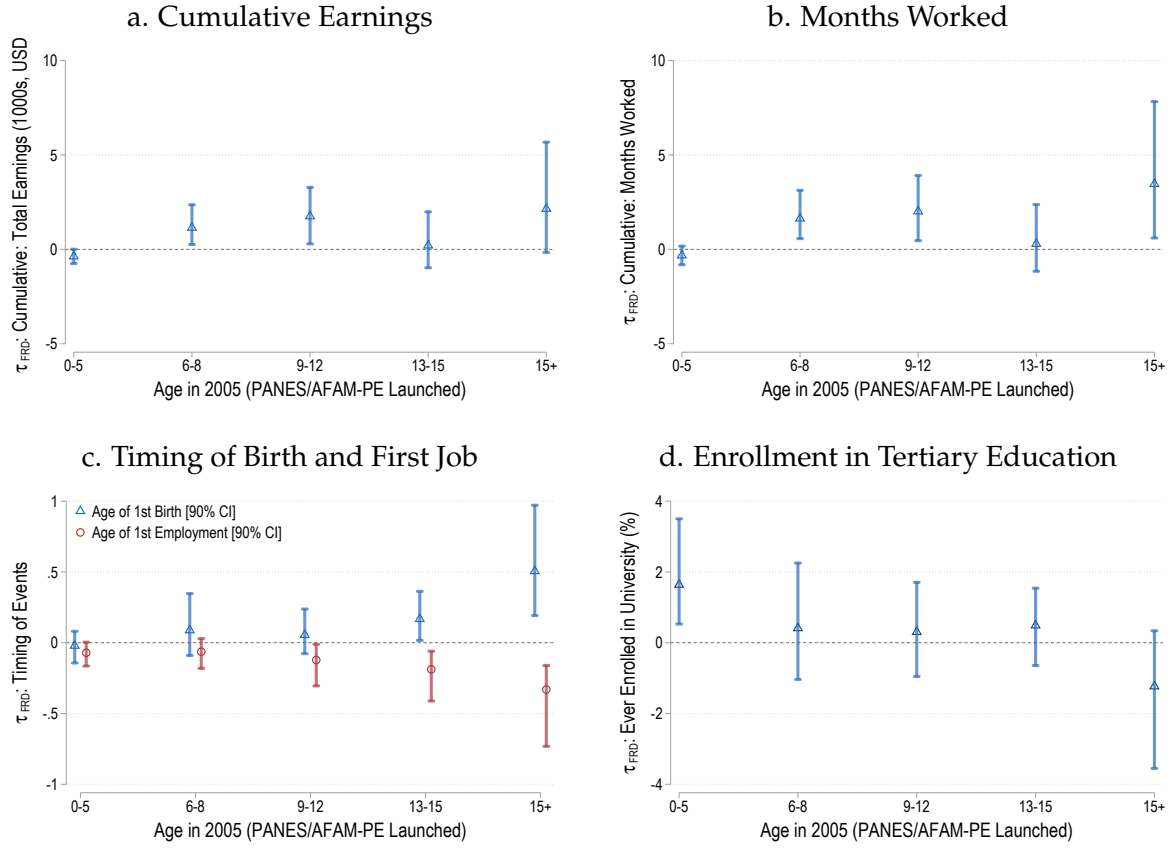
Notes: This Figure reports stacked difference-in-differences estimates of earnings dynamics around childbirth for women as explained in Section 5.3. Estimates are based on Equation (18), and the sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27 so that each age-at-first-birth sub-event (s) is observed over the full pre- and post-birth window. Each panel shows estimated coefficients $\beta_{s,l}$ as a function of years relative to first birth (l), where the horizontal axis denotes event time and the vertical axis reports the estimated effect on earnings. In both panels, the outcome of interest is annual labor earnings, expressed as a percentage of the within-stack average earnings two years before birth ($t = -2$), which is the omitted reference period. Panel (a) reports separate estimates by age at first birth for women who give birth between ages 21 and 27. Panel (b) reports analogous estimates for aggregated age-at-first-birth groups, pooling ages 21-23 and 24-27 to increase statistical precision. Estimates are obtained using weights constructed to recover a weighted average treatment effect across age-at-first-birth sub-events, with weights proportional to cohort sample shares (Wing et al., 2024; Sun and Abraham, 2021). Whenever shown, confidence intervals correspond to the 95% level, and inference is based on robust standard errors clustered at the individual level. Further technical details on the stacked DiD construction, as well as full estimates, are provided in Appendix H.

Figure 6: Dynamics of Earnings Around Year of First Birth



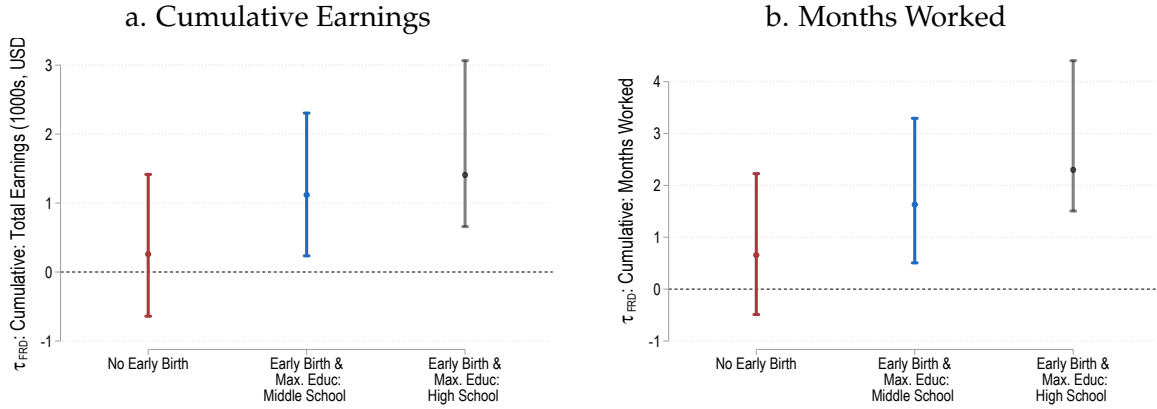
Notes: This Figure reports stacked difference-in-differences RDD estimates of earnings dynamics around childbirth for women, as explained in Section 5.3. Estimates are based on Equation (19). The sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27 so that each age-at-first-birth sub-event (s) is observed over the full pre- and post-birth window. Because of the RDD component of the specification, the sample is further restricted to observations within 5 p.p. of the eligibility threshold and excludes individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). The figure displays three series of coefficients as a function of years relative to first birth (l): the child penalty for ineligible mothers (γ_l), the child penalty for eligible mothers ($\gamma_l + \beta_l$), and the eligibility effect among not-yet-mothers (α_l). The horizontal axis denotes event time relative to first birth, and the vertical axis reports the estimated effect on earnings. The outcome of interest is annual labor earnings, expressed as a percentage of the within-stack average earnings two years before birth ($t = -2$), which is the omitted reference period. Estimates are obtained using weights constructed to recover a weighted average treatment effect across age-at-first-birth sub-events, with weights proportional to cohort sample shares (Wing et al., 2024; Sun and Abraham, 2021). Whenever shown, confidence intervals correspond to the 95% level, and inference is based on robust standard errors clustered at the individual level. Further technical details on the stacked DiD RDD construction, as well as full estimates, are provided in Appendix H.

Figure 7: Heterogeneous Effects by Age of Exposure



Notes: This Figure reports 2SLS estimates on a series of outcomes for women in the *main sample*, as defined in Section 4, excluding those with standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Each panel reports estimates separately for five cohorts defined by age at the rollout of *PANES/AFAM-PE*: 0-5, 6-8, 9-12, 13-15, and 15+, represented in the horizontal axis. The vertical axis reports the fuzzy RDD treatment effect (τ_{FRD}) based on Equation (15). Panels (a) and (b) report effects on cumulative outcomes, defined as the sum of months worked and total labor earnings accumulated over the entire observation period. Income/earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Panel (c) reports analogous estimates for age-at-transition outcomes: age of first birth, and age of first employment spell. Panel (d) reports estimates for university enrollment, defined as a binary variable (0, 100) that equals 100 if the individual ever enrolled in university, and 0 otherwise. Confidence intervals correspond to the 95% level, and inference is based on robust standard errors clustered at the household level. Full estimates are reported in Appendix G.

Figure 8: Effects by Having Early Birth and Education Level



Notes: This Figure reports 2SLS estimates on cumulative labor market outcomes for women in the *main sample*, as defined in Section 4, excluding those with standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Each panel reports estimates separately for three groups represented on the horizontal axis: (i) individuals who had a child before age 19, (ii) individuals without an early birth who did not enroll beyond lower secondary education, and (iii) individuals without an early birth who enrolled in upper secondary or higher education. The vertical axis reports the fuzzy RDD treatment effect (τ_{FRD}) based on Equation (15). Panels (a) and (b) report effects on cumulative earnings and months worked, respectively, defined as the sum accumulated over the entire observation period. Income/earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Confidence intervals correspond to the 95% level, and inference is based on robust standard errors clustered at the household level. Full estimates are reported in Appendix G.

Table 1: Continuity at Baseline

	Ineligible Intercept	Eligible Intercept	Difference (2) - (1)	p-value Robust	Anderson q-value
	(1)	(2)	(3)	(4)	(5)
Predicted Eligibility	0.66	0.66	-0.002	0.740	1.000
HH - Number of people	3.98	3.94	-0.047	0.551	1.000
HH - Single Parent	57.37	54.28	-3.091	0.121	0.567
HH - Mother's Age when First born	22.52	22.56	0.041	0.778	1.000
HH - Avg. Age	19.39	21.00	1.614	0.000	0.001
HH - Baseline App. Before Sep.2005	5.63	7.22	1.589	0.756	1.000
HHH - Employed	63.12	64.38	1.264	0.373	1.000
HHH - Years of Educ.	7.18	7.03	-0.148	0.118	0.567
HHH - Self-reported Labor Income	0.15	0.15	-0.001	0.759	1.000
Female	49.70	48.59	-1.113	0.195	0.645
Number of applications	2.71	2.79	0.082	0.102	0.567
Age at 1st. Application	4.67	4.67	0.000	0.797	1.000
Age at 31 Dec. 2021	19.50	19.50	-0.003	0.761	1.000

Notes: This table reports estimates on the continuity of baseline covariates at the eligibility threshold for individuals in the *main sample*, as defined in Section 4, excluding those with standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Estimates are based on the reduced form specification included in Equation (17) including all fixed effects but no additional covariates. Each row represents a different dependent variable. Importantly, row (1) presents a summary test where the outcome, i.e., predicted eligibility, is the predicted probability of being just above the eligibility threshold based on all the other baseline characteristics included in the table. Column (1) depicts the intercept for the local linear regression fitted in the ineligible side of the centered threshold (i.e., $z < 0$), while column (2) does the same for the local linear regression fitted in the eligible side of the threshold. Column (3) is simply the difference between columns (1) and (2). Column (4) reports the robust p-values for the continuity tests. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. Inference is based on robust standard errors clustered at the household level.

Table 2: Effects on Labor Market Outcomes

	Women				Men			
	Last Year		Cumulative		Last Year		Cumulative	
	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.136*	0.169**	2.412***	1.570***	0.156**	0.146*	0.594	0.160
	(0.079)	(0.076)	(0.609)	(0.484)	(0.070)	(0.077)	(0.533)	(0.507)
Robust p -value	0.085	0.032	0.000	0.002	0.030	0.066	0.207	0.643
Mean Baseline Outcome	4.93	3.72	37.35	24.20	5.22	4.53	47.88	36.07
Effect Size (%)	2.76%	4.55%	6.46%	6.49%	2.99%	3.23%	1.24%	0.44%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.460*	0.571**	8.232***	5.348***	0.516**	0.486*	1.965	0.528
	(0.264)	(0.252)	(1.953)	(1.588)	(0.226)	(0.251)	(1.750)	(1.673)
Robust p -value	0.080	0.028	0.000	0.001	0.026	0.061	0.200	0.640
Mean Baseline Outcome	4.93	3.72	37.35	24.20	5.22	4.53	47.88	36.07
Effect Size (%)	9.32%	15.35%	22.04%	22.09%	9.88%	10.73%	4.10%	1.46%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.380***	3.369***	3.413***	3.406***	3.306***	3.316***	3.306***	3.306***
	(0.293)	(0.290)	(0.308)	(0.302)	(0.240)	(0.251)	(0.240)	(0.240)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.60	7.59	7.66	7.63	7.47	7.43	7.49	7.48
Effect Size (%)	44.49%	44.38%	44.53%	44.65%	44.23%	44.63%	44.15%	44.21%
Selection of Bandwidth:								
Opt. Bandwidth	[0.018]	[0.018]	[0.016]	[0.017]	[0.020]	[0.019]	[0.020]	[0.020]
Effective Obs.	8,371	8,489	7,848	8,032	10,145	9,443	10,167	10,141

Notes: This table reports estimates of the effects of additional childhood income support on labor market outcomes. Columns (1) through (4) correspond to women. Column (1) reports the number of months employed in the last year observed (i.e., August 2022–July 2023), while column (2) reports total labor earnings in the last year. Columns (3) and (4) report analogous outcomes for cumulative months worked and cumulative earnings over the entire observation period. Income/earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Columns (5) through (8) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table 3: Summary of Effects on Transitions to Adulthood

	Women				Men			
	Age of First Birth (1)	Ever Enrolled in University (2)	Age of First Employment (3)	Career-oriented Index (4)	Age of First Birth (5)	Ever Enrolled in University (6)	Age of First Employment (7)	Career-oriented Index (8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.151*** (0.046)	0.959** (0.484)	-0.247*** (0.051)	3.329*** (0.723)	-0.237*** (0.082)	-0.004 (0.208)	-0.016 (0.043)	-0.002 (0.587)
Robust <i>p</i> -value	0.001	0.044	0.000	0.000	0.008	0.810	0.716	0.754
Mean Baseline Outcome	20.00	11.12	20.74	23.80	22.91	4.90	19.61	34.37
Effect Size (%)	0.75%	8.62%	-1.19%	13.99%	-1.04%	-0.08%	-0.08%	-0.01%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.500*** (0.148)	3.244** (1.597)	-0.816*** (0.154)	11.283*** (2.178)	-0.724*** (0.243)	-0.012 (0.688)	-0.049 (0.133)	-0.008 (1.945)
Robust <i>p</i> -value	0.001	0.040	0.000	0.000	0.006	0.810	0.718	0.754
Mean Baseline Outcome	20.00	11.12	20.74	23.80	22.91	4.90	19.61	34.37
Effect Size (%)	2.50%	29.16%	-3.93%	47.42%	-3.16%	-0.25%	-0.25%	-0.02%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.322*** (0.230)	3.382*** (0.306)	3.301*** (0.309)	3.389*** (0.311)	3.052*** (0.351)	3.306*** (0.177)	3.076*** (0.238)	3.315*** (0.230)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	6.51	7.52	6.50	7.55	5.22	7.19	6.66	7.33
Effect Size (%)	51.05%	44.98%	50.81%	44.88%	58.47%	45.97%	46.16%	45.24%
Selection of Bandwidth:								
Opt. Bandwidth	[0.031]	[0.017]	[0.020]	[0.017]	[0.024]	[0.033]	[0.021]	[0.022]
Effective Obs.	8,637	8,320	6,622	8,159	2,971	17,749	8,416	11,658

Notes: This table reports estimates of the effects of additional childhood income support on transition-to-adulthood outcomes. Columns (1) through (4) correspond to women. Column (1) reports age at first birth, column (2) reports the probability of ever being enrolled in university as a binary variable (0, 100), and column (3) reports age at first job, which is defined as the age at which the individual experiences a spell of at least four consecutive months of employment. Columns (1) and (3) are conditional on being a parent and on ever being employed, respectively; additional results on extensive-margin responses along these two dimensions are reported in Appendix G. Column (4) reports estimates for the career-oriented index. This index is defined as a binary variable (0, 100) that equals 100 if the individual follows a career-oriented transition to adulthood, and 0 otherwise. An individual is classified as career-oriented if two conditions hold: (i) they did not have a child before age 19, and (ii) they either held their first relatively stable job before age 19, defined as an employment spell of at least four consecutive months, or enrolled in university. Columns (5) through (8) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table 4: Effects on Labor Market Mobility and Stability - Women

	Mobility History					Stability in 2023m7		
	Number of Firms (1)	Stayed Same Firm (2)	Low Mobility (3)	Moderate Mobility (4)	High Mobility (5)	Tenure in current job (6)	Log. Tenure in current job (7)	Tenure +2 Year in current job (8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.002 (0.032)	-1.255** (0.558)	-1.502** (0.826)	1.747** (0.824)	-0.164 (0.785)	0.863 (0.579)	0.035** (0.017)	2.855*** (1.098)
Robust p -value	0.896	0.029	0.039	0.024	0.893	0.112	0.024	0.005
Mean Baseline Outcome	2.69	19.75	38.38	28.35	33.37	38.68	3.20	44.37
Effect Size (%)	0.06%	-6.35%	-3.91%	6.16%	-0.49%	2.23%	1.09%	6.44%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.005 (0.107)	-4.142** (1.828)	-4.955** (2.683)	5.918** (2.744)	-0.543 (2.601)	2.750 (1.838)	0.111** (0.053)	8.851*** (3.269)
Robust p -value	0.896	0.027	0.037	0.022	0.895	0.102	0.021	0.004
Mean Baseline Outcome	2.69	19.75	38.38	28.35	33.37	38.68	3.20	44.37
Effect Size (%)	0.19%	-20.98%	-12.91%	20.88%	-1.63%	7.11%	3.46%	19.95%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.323*** (0.247)	3.301*** (0.245)	3.300*** (0.310)	3.388*** (0.337)	3.310*** (0.314)	3.186*** (0.247)	3.179*** (0.267)	3.100*** (0.348)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.64	6.37	6.33	6.38	6.31	5.98	6.02	6.51
Effect Size (%)	43.48%	51.82%	52.15%	53.14%	52.44%	53.25%	52.81%	47.64%
Selection of Bandwidth:								
Opt. Bandwidth	[0.022]	[0.026]	[0.019]	[0.017]	[0.019]	[0.039]	[0.034]	[0.022]
Effective Obs.	10,888	9,036	6,553	5,860	6,446	6,718	5,859	4,516

Notes: This table reports estimates of the effects of additional childhood income support on labor market mobility and job stability outcomes for women. Columns (1) through (5) report measures of labor market mobility over the full observation period. Column (1) reports the number of different firms in which the individual held her main position. Column (2) reports the probability of remaining in the same firm when last observed. Columns (3), (4), and (5) report binary indicators of low, moderate, and high mobility, respectively. Low mobility corresponds to having one or two main employers over the entire period, moderate mobility to having three or four employers, and high mobility to having five or more. Columns (6) through (8) report measures of job stability conditional on being employed in July 2023. Column (6) reports tenure in the current job, column (7) reports log tenure in the current job, and column (8) reports a binary indicator equal to 100 if tenure in the current job is at least two years, which corresponds approximately to the median tenure in the data. Estimates are based on women in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calónico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calónico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table 5: Effects on Labor Market Outcomes by Mother vs Non-Mothers

	Non-Mothers				Mothers			
	Ever Enrolled in University (1)	Age of First Employment (2)	Cumulative: Months Employed (3)	Cumulative: Earnings (4)	Ever Enrolled in University (5)	Age of First Employment (6)	Cumulative: Months Employed (7)	Cumulative: Earnings (8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	1.569* (0.861)	-0.230** (0.070)	2.568*** (0.803)	1.733*** (0.648)	-0.122 (0.261)	-0.227*** (0.055)	1.775*** (0.609)	1.096** (0.467)
Robust p -value	0.052	0.000	0.001	0.005	0.508	0.000	0.004	0.020
Mean Baseline Outcome	19.97	20.30	34.80	24.30	4.03	21.00	39.63	24.48
Effect Size (%)	7.86%	-1.13%	7.38%	7.13%	-3.04%	-1.08%	4.48%	4.48%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	5.287** (2.788)	-0.766*** (0.199)	8.576*** (2.421)	5.760*** (2.026)	-0.395 (0.842)	-0.751*** (0.175)	5.923*** (1.985)	3.611** (1.517)
Robust p -value	0.049	0.000	0.000	0.003	0.498	0.000	0.003	0.015
Mean Baseline Outcome	19.97	20.30	34.80	24.30	4.03	21.00	39.63	24.48
Effect Size (%)	26.47%	-3.77%	24.64%	23.70%	-9.79%	-3.58%	14.95%	14.75%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.369*** (0.457)	3.335*** (0.512)	3.339*** (0.466)	3.324*** (0.457)	3.225*** (0.198)	3.314*** (0.243)	3.338*** (0.232)	3.296*** (0.223)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	8.59	7.82	8.87	8.88	6.41	5.30	6.54	6.48
Effect Size (%)	39.20%	42.65%	37.65%	37.44%	50.29%	62.51%	51.00%	50.87%
Selection of Bandwidth:								
Opt. Bandwidth	[0.019]	[0.020]	[0.019]	[0.019]	[0.037]	[0.030]	[0.029]	[0.030]
Effective Obs.	4,210	2,950	3,986	4,091	10,254	5,863	7,873	8,422

Notes: This table reports estimates of the effects of additional childhood income support on education and labor market outcomes by motherhood status. Columns (1) through (4) correspond to women who have not had children by the end of the observation period (non-mothers), while columns (5) through (8) correspond to women who are mothers. Column (1) reports the probability of ever being enrolled in university, defined as a binary variable (0, 100). Column (2) reports age at first employment and is conditional on ever being employed. Columns (3) and (4) report cumulative labor market outcomes over the entire observation period, namely cumulative months employed and cumulative labor earnings, respectively. Income/earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Columns (5) through (8) present analogous outcomes for mothers. Estimates are conducted separately for non-mothers and mothers, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table 6: Summary of Effects on Secondary Education Outcomes

	Women				Men			
	Ever Enrolled in Secondary (1)	Years Enrolled in Secondary (2)	Ever Enrolled in 12th grade (3)	Max. Grade Enrolled (4)	Ever Enrolled in Secondary (5)	Years Enrolled in Secondary (6)	Ever Enrolled in 12th grade (7)	Max. Grade Enrolled (8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	-0.037 (0.555)	0.005 (0.049)	1.951*** (0.758)	0.068** (0.029)	0.277 (0.656)	0.051 (0.032)	0.074 (0.468)	0.047* (0.026)
Robust p -value	0.874	0.998	0.009	0.025	0.881	0.204	0.916	0.090
Mean Baseline Outcome	79.94	3.98	28.94	4.17	64.22	2.63	11.44	3.35
Effect Size (%)	-0.05%	0.13%	6.74%	1.64%	0.43%	1.92%	0.65%	1.39%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	-0.124 (1.868)	0.017 (0.164)	6.609*** (2.475)	0.238** (0.097)	0.916 (2.174)	0.168 (0.108)	0.246 (1.548)	0.152* (0.083)
Robust p -value	0.875	0.997	0.007	0.021	0.879	0.201	0.917	0.085
Mean Baseline Outcome	79.94	3.98	28.94	4.17	64.22	2.63	11.44	3.35
Effect Size (%)	-0.16%	0.44%	22.84%	5.71%	1.43%	6.40%	2.15%	4.54%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.367*** (0.297)	3.379*** (0.328)	3.387*** (0.322)	3.492*** (0.345)	3.314*** (0.259)	3.334*** (0.217)	3.310*** (0.257)	3.258*** (0.279)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.50	7.59	7.59	7.86	7.29	7.35	7.32	7.98
Effect Size (%)	44.87%	44.51%	44.65%	44.42%	45.49%	45.32%	45.23%	40.82%
Selection of Bandwidth:								
Opt. Bandwidth	[0.018]	[0.016]	[0.016]	[0.017]	[0.019]	[0.024]	[0.019]	[0.024]
Effective Obs.	8,690	7,595	7,762	6,630	9,618	12,754	9,748	8,252

Notes: This table reports estimates of the effects of additional childhood income support on secondary education outcomes. Columns (1) through (4) correspond to women. Column (1) reports the probability of ever being enrolled in secondary education, defined as a binary variable (0, 100). Column (2) reports the total number of years enrolled in secondary education. Column (3) reports the probability of ever enrolling in 12th grade, defined as a binary variable (0, 100). Column (4) reports the maximum grade attained. Columns (5) through (8) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table 7: Mediation Analysis

	Dep. Var.: Cumulative: Total Earnings (1000s, USD)							
	All Women				Women Who Gave Birth			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	1.570*** (0.484)	1.266*** (0.444)	1.419*** (0.471)	1.226*** (0.441)	1.096** (0.467)	0.663 (0.418)	0.897** (0.417)	0.626* (0.394)
Robust p -value	0.002	0.006	0.003	0.007	0.020	0.101	0.026	0.090
Mean Baseline Outcome	24.20	24.08	24.14	24.16	24.48	24.55	24.53	24.58
Effect Size (%)	6.49%	5.26%	5.88%	5.07%	4.48%	2.70%	3.65%	2.55%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	5.348*** (1.588)	4.355*** (1.497)	4.871*** (1.573)	4.281*** (1.514)	3.611** (1.517)	2.168* (1.357)	2.912** (1.342)	2.038* (1.277)
Robust p -value	0.001	0.005	0.002	0.006	0.015	0.089	0.021	0.080
Mean Baseline Outcome	24.20	24.08	24.14	24.16	24.48	24.55	24.53	24.58
Effect Size (%)	22.09%	18.09%	20.18%	17.72%	14.75%	8.83%	11.87%	8.29%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.406*** (0.302)	3.441*** (0.287)	3.432*** (0.314)	3.493*** (0.302)	3.296*** (0.223)	3.269*** (0.208)	3.248*** (0.206)	3.256*** (0.201)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.63	7.57	7.66	7.64	6.48	6.46	6.46	6.46
Effect Size (%)	44.65%	45.44%	44.81%	45.70%	50.87%	50.60%	50.24%	50.42%
Selection of Bandwidth:								
Opt. Bandwidth	[0.017]	[0.018]	[0.016]	[0.017]	[0.030]	[0.034]	[0.035]	[0.036]
Effective Obs.	8,032	8,564	7,601	7,975	8,422	9,472	9,582	9,973
Mediators:								
Early Birth	No	Yes	No	Yes	No	No	No	No
Age at 1st Birth	No	No	No	No	No	Yes	No	Yes
High Educ.	No	No	Yes	Yes	No	No	Yes	Yes

Notes: This table reports estimates of the effects of additional childhood income support on cumulative labor earnings. The outcome of interest is cumulative labor earnings accumulated over the entire observation period, expressed in thousands of USD and winsorized at the 95th percentile. Columns (1) through (4) correspond to all women, while columns (5) through (8) correspond to women who gave birth during the observation period. Column (1) reports estimates from the baseline specification and is identical to column (4) in Table 2. Columns (2) through (4) sequentially augment the baseline specification by including mediator variables. Column (2) includes an indicator for early childbirth, defined as having the first birth at or before age 19. Column (3) includes an indicator for high educational attainment, defined as ever being enrolled in upper secondary education (grades 10, 11, or 12). Column (4) includes both mediators simultaneously. Columns (5) through (8) follow an analogous structure for mothers. Column (5) reports the baseline specification for mothers and is identical to column (8) in Table 5. Column (6) includes age at first birth as a mediator. Column (7) includes the indicator for high educational attainment, and column (8) includes both mediators jointly. Estimates are conducted separately for all women and women who gave birth, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table 8: Welfare Participation as Adults

	Women					Men				
	Applied as Adult (1)	Age 1st. App. as Adult (2)	Accepted as Adult (3)	Payments as Adult (4)	Poverty Score as Adult (5)	Applied as Adult (6)	Age 1st. App. as Adult (7)	Accepted as Adult (8)	Payments as Adult (9)	Poverty Score as Adult (10)
a. Fuzzy RDD Estimate (τ_{FRD})										
Amount Collected (1000s, USD)	-0.677 (0.750)	0.129* (0.062)	-0.784 (0.728)	-1.227* (0.566)	-0.011*** (0.003)	0.224 (0.488)	-0.072 (0.080)	0.057 (0.463)	0.135 (0.332)	-0.002 (0.004)
Robust <i>p</i> -value	0.465	0.085	0.358	0.059	0.005	0.418	0.383	0.572	0.515	0.719
Mean Baseline Outcome	35.51	21.80	32.79	21.91	0.23	17.41	23.35	16.30	9.45	0.29
Effect Size (%)	-1.90%	0.59%	-2.39%	-5.60%	-4.64%	1.29%	-0.31%	0.35%	1.43%	-0.71%
b. Sharp RDD Estimate (τ_{SRD})										
Elig. 1st. App.	-2.289 (2.531)	0.415* (0.197)	-2.653 (2.453)	-4.153* (1.873)	-0.034*** (0.011)	0.741 (1.614)	-0.235 (0.260)	0.189 (1.526)	0.445 (1.094)	-0.007 (0.013)
Robust <i>p</i> -value	0.468	0.070	0.360	0.056	0.002	0.416	0.373	0.571	0.512	0.701
Mean Baseline Outcome	35.51	21.80	32.79	21.91	0.23	17.41	23.35	16.30	9.45	0.29
Effect Size (%)	-6.45%	1.91%	-8.09%	-18.95%	-14.98%	4.26%	-1.01%	1.16%	4.71%	-2.33%
c. First Stage (τ_{SRD})										
Elig. 1st. App.	3.384*** (0.327)	3.224*** (0.268)	3.384*** (0.328)	3.384*** (0.328)	3.230*** (0.269)	3.310*** (0.261)	3.248*** (0.316)	3.297*** (0.256)	3.299*** (0.257)	3.283*** (0.330)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.56	6.78	7.57	7.57	6.78	7.27	5.52	7.25	7.25	5.54
Effect Size (%)	44.78%	47.53%	44.71%	44.71%	47.68%	45.55%	58.85%	45.51%	45.51%	59.31%
Selection of Bandwidth:										
Opt. Bandwidth	[0.015]	[0.035]	[0.015]	[0.015]	[0.035]	[0.018]	[0.037]	[0.018]	[0.018]	[0.034]
Effective Obs.	7,289	6,145	7,244	7,262	6,083	9,232	3,361	9,556	9,509	3,153

Notes: This table reports estimates of the effects of additional childhood income support on welfare participation outcomes in adulthood. Importantly, an individual is identified as applying as an adult if they submit an application form under a different household identifier and are listed as the household head or as the spouse or partner of the household head. Columns (1) through (5) correspond to women. Column (1) reports the probability of applying for welfare benefits (*PANES/AFAM-PE*) as an adult, defined as a binary variable (0, 100). Column (2) reports age at first application as an adult and is conditional on having applied. Column (3) reports the probability of being accepted as an adult beneficiary, defined as a binary variable (0, 100). Column (4) reports the total amount of payments received as an adult. Column (5) reports the adult poverty score at application and is conditional on having applied. Columns (6) through (10) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following [Calonico et al. \(2019\)](#), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table ([Calonico et al., 2014](#)). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

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Online Appendix

Growing Up Over the Social Safety Net: The Effects of a Cash Transfer Program on the Transition to Adulthood

Matías Giacobasso

January 16, 2026

A Further Details on the Institutional Background

A.1 Uruguay's Background and Comparison to Other Countries

This section compares Uruguay's socioeconomic conditions with those from a group of Latin American and OECD countries in 2005, the year in which *PANES/AFAM-PE* was introduced.

Table A.1 shows that, relative to other Latin American countries, Uruguay faced relatively favorable macroeconomic and institutional indicators. GDP per capita in PPP terms was \$12,296 in Uruguay, comparable to Chile (\$12,550) and Argentina (\$13,465), and higher than in Brazil (\$11,081), Colombia (\$8,432), Mexico (\$13,260), and Costa Rica (\$9,899). In terms of human development, Uruguay's HDI was 0.778 (rank 53), ranking below Chile (0.804, rank 46) and Argentina (0.812, rank 44), but above most other Latin American countries, including Brazil (0.718, rank 80), Colombia (0.711, rank 84), Costa Rica (0.748, rank 65), and Mexico (0.736, rank 72). Uruguay also exhibited relatively high tax revenues as a share of GDP (22.9%), ranking behind Brazil (32.7%) and close to Argentina (24.5%), but above Chile (20.8%), Colombia (18.3%), Costa Rica (21.8%), and Mexico (10.9%). This places Uruguay among the Latin American countries with relatively high state capacity and a strong public sector presence.

Despite these favorable macroeconomic and fiscal indicators, Uruguay lagged substantially behind OECD countries along dimensions closely related to human capital accumulation and demographic outcomes. Table A.1 reports that the lower secondary education completion rate in Uruguay was 59.3%, comparable to Argentina (56.4%) and higher than in Mexico (47.7%), Brazil (43.1%), Colombia (41.0%), and Costa Rica (39.9%), but far below rates observed in OECD countries such as Sweden (89.1%), the United States (93.7%), Italy (68.8%), and Spain (62.5%). A similar pattern emerges for adolescent fertility: Uruguay's adolescent fertility rate was 60.3 births per 1,000 women aged 15–19, lower than in Colombia (88.1) and Mexico (72.8), but higher than in Chile (50.8), and markedly above rates in Spain (11.5), Sweden (5.7), and the United States (39.5).

A.2 PANES/AFAM-PE: Design and Implementation

Uruguay has one of the oldest and most developed social protection systems in Latin America. Key components such as pensions, maternity leave, sickness and disability insurance, and unemployment benefits were introduced relatively early in the 20th century. Family allowances, for instance, were introduced in 1943. However, despite their early introduction, these benefits were, until very recently, largely restricted to formal, registered workers.

PANES was introduced in April 2005 by a new center-left government (*Frente Amplio*) in response to the economic crisis of the early 2000s. Its main goal was to extend family income support to informal, unregistered workers. In 2007, the program was expanded and rebranded as AFAM-PE. In this paper, I treat PANES and its AFAM-PE expansion as a single program, hereafter *PANES/AFAM-PE*, as they share the same core objectives and a very similar design.

The program was designed with two main objectives. In the short run, it aimed to mitigate the sharp increase in poverty caused by the economic crisis of 2001–2002. In 2005, the overall poverty rate in urban areas was 36.6%. Child poverty was even more severe, reaching 61.3% among children aged 0–5, 58.0% among children aged 6–12, and 49.3% among children

aged 13–17. In the longer run, the program aimed to improve conditions for human capital accumulation and social mobility by conditioning cash transfers on education and health requirements. In this sense, the transfers were intended to help households move out of poverty while at the same time encouraging investments in children’s human capital.

The fiscal cost of the program is estimated at around 0.4% of GDP, which is comparable to large-scale programs such as PROGRESA-Oportunidades in Mexico and Bolsa Família in Brazil, and not far from public spending on family benefits in the United States (0.67% of GDP).⁴⁴ The program was widely publicized and rapidly became the most generous anti-poverty program in the country’s history. It remains in place today. I next describe its main features.

PANES: Plan de Asistencia Nacional a la Emergencia Social

The main component of *PANES* was a cash transfer targeted at the poorest 150,000 households in the country. The base amount was USD 133, expressed in January 2008 PPP terms.⁴⁵ In addition, the program provided a supplementary transfer between USD 29 and USD 78 to households with underage children, which were about 70% of the participant households. The base transfer alone corresponds to about 63.9% of self-reported household income at the time of application. When supplementary payments are added, this share increases to roughly 78.1%. These figures should nonetheless be interpreted with caution, as households may have had incentives to underreport income to the survey enumerators. As an alternative benchmark, in 2005 the monthly transfer received by a household with four or more children was equivalent to one minimum wage.

While the most important component of *PANES* was the cash transfer, the program also included several smaller components, such as temporary public employment programs, education and job training, and other minor interventions, including access to public utilities, building materials, and free dental and eye health care. Although 96.7% of participating households received the cash transfer, fewer than 20% took part in the remaining components. Therefore, *PANES* can be interpreted mainly as a cash transfer program, even though for a small share of households it may have provided a broader set of benefits.⁴⁶

A total of 187,727 households applied to *PANES*, corresponding to 679,077 individuals. This represents about 17% of all households in Uruguay and roughly 20% of the total population. Eligibility for the program was determined using two criteria. First, applicant households were required to have a per-capita income below USD 131, a condition that affected only around 10% of applications. Household per-capita income was computed as the sum of individual incomes divided by the number of household members. Individual income was defined as the maximum between self-reported income at the time of the household interview and income registered with the Social Security Agency.

The second eligibility criterion was based on a proxy-means test. After applying to the program, each household was assigned a poverty score z . This score was constructed using

⁴⁴<https://data.oecd.org/socialexp/family-benefits-public-spending.htm>

⁴⁵In local currency, this corresponded to UYU 1,360. In what follows, all income variables are converted to 2008 PPP using CPI and PPP conversion factors.

⁴⁶See [Manacorda et al. \(2011\)](#) for more details on the program.

information collected during an in-person household interview conducted by program officials. It represents the predicted probability that the household's per-capita income falls below a critical income level. The variables used to compute the score were:

- Indicator for public-sector employees in the household
- Indicator for pensioners
- Average years of education among individuals aged 18 and above
- Number of household members
- Indicator for children aged 0–5, 6–12, and 13–17
- Indicator for private health insurance coverage
- Residential overcrowding
- Toilet facilities
- Wealth index based on household durables

Households with a poverty score above a region-specific threshold were deemed eligible for the program, while those below the threshold were considered ineligible.⁴⁷ The proxy-means testing methodology and the region-specific eligibility thresholds were designed by researchers at the country's largest public university (*Universidad de la Republica*). Importantly, neither the income threshold nor the poverty score threshold, nor the variables used to calculate it, were disclosed to applicants, and households were not informed of their poverty score.

Once accepted, participant households were required to satisfy school attendance, regular health check-ups, and per-capita income requirements. However, these conditions were not enforced in practice due to administrative constraints and lack of enforcement capacity until June 2013. Moreover, there is no evidence that participants were removed from the program due to non-compliance with the established requirements. Further details on the model used to calculate the poverty score, as well as additional information on program implementation, can be found in ([Manacorda et al., 2011](#); [Amarante et al., 2016](#)).

AFAM-PE: Asignaciones Familiares - Plan de Equidad

On January 1, 2008, *PANES* was expanded and rebranded as *AFAM-PE*. While *PANES* was conceived as a temporary program, *AFAM-PE* extended its benefits to a larger share of the population and was permanently established as a central component of the social safety net. The program's main components, namely eligibility criteria and the type of benefits and conditionalities, remained largely unchanged, and the transition between the two phases was straightforward. Most *PANES* participants were automatically enrolled in *AFAM-PE*. In addition, households rejected during the first phase were automatically enrolled in the second phase if they met the new, more lenient eligibility requirements (i.e., a lower eligibility threshold).

By December 2023, the total number of applications had reached 796,131, corresponding to about 1,599,556 different individuals. This represents a substantial increase relative to the population covered by *PANES*, both because the program expanded its coverage and because it remained in place for a longer period. There were three main differences between *PANES*

⁴⁷Regions are defined as follows: Montevideo (capital city); North (Artigas, Salto, and Rivera); Center-North (Paysandú, Río Negro, Tacuarembó, Durazno, Treinta y Tres, and Cerro Largo); Center-South (Soriano, Florida, Flores, Lavalleja, and Rocha); and South (Colonia, San José, Canelones, and Maldonado).

and *AFAM-PE*. First, *AFAM-PE* introduced the presence of underage children in the household as an eligibility requirement, while *PANES* imposed no such restriction. Second, the eligibility threshold became more lenient. Third, the formula used to determine the transfer amount was modified. Under the new structure, households received a baseline payment of USD 57 per child aged 0–17, subject to an equivalence scale of 0.6. In addition to the base payment, households received an extra USD 24 per child aged 12–17 enrolled in secondary education, also subject to the same equivalence scale.

Conditionalities for remaining in the program were also not enforced during the first years of implementation. However, in June 2013 the government began to require households to comply with program requirements. For example, in June 2013 more than 30,000 children were removed from the program due to non-compliance with education enrollment requirements. In subsequent years, enforcement depended strongly on the administration in charge and was relatively intermittent.

Table A.1: Uruguay’s Background and Comparison to Other Countries (2018)

Country	GDP PPP	HDI	HDI Rank	Tax Revenues (% gdp)	Completed Lower Secondary	Adolescent Fertility (per 1000s)	Unemployment rate
Argentina	13,465	0.812	44	24.50	56.38	63.55	11.51
Brazil	11,081	0.718	80	32.70	43.10	75.97	10.55
Chile	12,550	0.804	46	20.80	76.00	50.78	9.34
Colombia	8,432	0.711	84	18.30	40.99	88.12	11.06
Costa Rica	9,899	0.748	65	21.80	39.90	67.14	6.75
Italy	30,138	0.876	23	39.10	68.76	6.77	7.73
Mexico	13,260	0.736	72	10.90	47.68	72.77	3.56
OECD (Avg.)	29,854			32.60		32.68	6.83
Spain	27,630	0.857	29	35.20	62.52	11.50	9.15
Sweden	34,198	0.911	8	47.40	89.14	5.66	7.81
United States	44,123	0.907	13	26.10	93.70	39.47	5.08
Uruguay	12,296	0.778	53	22.90	59.26	60.26	12.01

Notes: GDP per capita (PPP, current international dollars) is from the World Bank’s World Development Indicators (International Comparison Program). Human Development Index (HDI) values and HDI ranks are from the United Nations Development Programme (UNDP), Human Development Report 2025. Tax revenues (percent of GDP) are from OECD Global Revenue Statistics. Lower secondary completion rates (population aged 25 and over) are from the UNESCO Institute for Statistics. Adolescent fertility rates (births per 1,000 women aged 15–19) are from the United Nations Population Division, World Population Prospects. Unemployment rates are modeled ILO estimates from the International Labour Organization (ILOSTAT). All data correspond to 2005, except for lower secondary education completion rates, which are from 2004 for Chile and from 2003 for Argentina and Uruguay.

B Further Details on the Conceptual Framework

In this section, I present a simple model of early-life income, career investment, and fertility timing that helps organize the main mechanisms through which additional income during childhood may affect women's life trajectories. The model is, by design, stylized, but sufficiently flexible to accommodate several extensions and more specific mechanisms. It can be thought of an extension of the career–fertility timing model presented in [Doepke et al. \(2023\)](#), which itself draws on [Caucutt et al. \(2002\)](#).

[Doepke et al. \(2023\)](#) provides a stylized framework to think about the key trade-offs women face when making career investment and family formation decisions. The key idea is that the opportunity cost of having children at young ages goes beyond lost wages at that stage and includes missed career investment opportunities. When returns to career investments are high, women may choose to postpone fertility. However, a key feature of the model is that delaying childbearing is itself risky, as pregnancies at later ages may be more costly or may not occur at all. In particular, fertility decisions in adulthood are influenced by rising biological and psychological costs, as well as higher pregnancy risks at later ages ([Schmidt et al., 2012](#); [Gustafsson, 2001](#)). In this framework, women choose comparing the expected costs and benefits of each alternative. The model predicts sorting into three groups: women who remain childless, women who have children early, and women who delay childbearing.

The model in this section extends the framework in [Doepke et al. \(2023\)](#) by adding an additional period to women's life cycle: childhood. The goal of this extension is to model explicitly how women may face different incentives during their transition to adulthood (period 1 in [Doepke et al. 2023](#)) depending on earlier life choices and circumstances related to education and early fertility due to risky behavior. The model preserves the main structure of periods 1 and 2 in [Doepke et al. \(2023\)](#), while adding a mechanism that links childhood conditions to entry wages at the beginning of adulthood. I then examine how an income shock during childhood can shape this transition and lead women to different career paths. The basic intuition is that childhood income affects adulthood decisions both by shaping human capital investments during childhood and by altering exposure to early fertility risk, which in turn changes the incentives for career investment during the transition to adulthood.

Period 0: Childhood and Teenage Years

This section introduces an initial period to the framework in [Doepke et al. \(2023\)](#). Period 0 represents childhood and teenage years, when decisions are made within the household. For simplicity, I treat this period as a separate period that only matters to set the initial conditions at the beginning of period 1, when independence actually starts. In particular, childhood conditions affect adulthood outcomes through (i) schooling choices and (ii) the realization of an early fertility shock. Therefore, at this point, I do not model the household as solving a full intergenerational optimization problem.

Preferences follow the same separable structure as in [Doepke et al. \(2023\)](#). The household chooses childhood consumption c_0 and schooling investment s_0 given family income y :

$$u_0(c_0, s_0, n_0) = \log(c_0) + \delta \log(s_0) + \eta n_0, \quad (\text{B.1})$$

where $\delta > 0$ implies that schooling is a normal good and the indicator $n_0 \in \{0, 1\}$ represents the realization of an unintended early fertility shock during childhood. It is important to note that several studies explicitly model education or human capital investment as a normal good (e.g., [Todd and Wolpin 2006, 2008](#); [Keane and Wolpin 2010](#)). It is beyond the scope of this paper to discuss the non-pecuniary benefits of schooling or whether it should be considered a normal consumption good. [Oreopoulos \(2011\)](#) and [MacLeod and Urquiola \(2019\)](#) provide detailed reviews of this discussion.

Schooling investment has a monetary cost. In the absence of an early fertility shock, each unit of schooling costs p . If an early fertility shock occurs, the marginal cost of schooling increases by a factor $(1 + \varphi n_0)$, where $\varphi > 0$ is specific to period 0. Intuitively φ can be thought of as a general variable that captures tighter time and resource constraints faced by affected households that have financial implications. These higher costs may reflect additional out-of-pocket childcare expenditures, transportation or supervision costs associated with attending school while being a parent, or the lost wages of other household members who provide childcare support ([Klepinger et al., 1999](#)).⁴⁸

The budget constraint can be written as:

$$c_0 + p(1 + \varphi n_0)s_0 = y, \quad \varphi > 0. \quad (\text{B.2})$$

This implicitly assumes that the household observes the early fertility shock before choosing consumption and schooling, so choices are state contingent.

The early fertility shock is not a choice variable in period 0. Instead,

$$\Pr(n_0 = 1 \mid y) = r(y), \quad r'(y) < 0, \quad (\text{B.3})$$

so higher household income reduces exposure to early fertility risk. The idea behind making r depend on y is that family income during childhood shapes the environment in which adolescents make decisions and are exposed to risk. Higher-income households may have better access to contraception and reproductive health services, face fewer financial barriers to contraceptive adoption ([Bailey et al., 2023](#); [Kearney and Levine, 2009](#); [Bailey, 2006](#)), provide greater parental supervision, or offer home and school environments that reduce engagement in risky behaviors. In addition, higher income may raise expected returns to schooling and future labor market participation, increasing the opportunity cost of an unintended early pregnancy through human capital channels ([Black et al., 2008](#)). More broadly, this formulation is consistent with evidence that economic conditions and future opportunities play a central role in shaping teenage fertility, beyond preferences alone ([Kearney and Levine, 2012, 2014](#)).

Given Equations (B.1)–(B.3), period-0 determines childhood schooling investment s_0 and whether individuals enter adulthood having experienced an early fertility shock. The remainder of the model takes these as predetermined initial conditions at the beginning of period

⁴⁸An alternative formulation would be to include a direct disutility of schooling effort in the utility function. However, as emphasized by [Keane and Wolpin \(2010\)](#), monetary costs associated with particular choices are generally not distinguishable from psychic or effort costs when they are unobserved, making the distinction largely arbitrary. I therefore model the effects of early fertility through the budget constraint, which provides a transparent representation of how early-life shocks raise the marginal cost of schooling without affecting the qualitative implications of the model.

1.

Given n_0 , the household chooses (c_0, s_0) to maximize (B.1) subject to the budget constraint

$$c_0 + p(1 + \varphi n_0)s_0 = y, \quad (\text{B.4})$$

where $\varphi > 0$ captures the increase in the marginal cost of schooling when an early fertility shock is realized. Substituting $c_0 = y - p(1 + \varphi n_0)s_0$ into (B.1), the problem can be written as

$$\max_{s_0 > 0} \log(y - p(1 + \varphi n_0)s_0) + \delta \log(s_0) + \eta n_0. \quad (\text{B.5})$$

The first-order condition is

$$-\frac{p(1 + \varphi n_0)}{y - p(1 + \varphi n_0)s_0} + \frac{\delta}{s_0} = 0. \quad (\text{B.6})$$

Solving (B.6) yields the optimal schooling investment:

$$s_0^*(y, n_0) = \frac{\delta}{1 + \delta} \cdot \frac{y}{p(1 + \varphi n_0)}. \quad (\text{B.7})$$

Therefore, conditional on the realization of the early fertility shock, schooling investment is increasing in household income and decreasing in the effective schooling cost. In particular,

$$s_0^*(y, 1) = \frac{1}{1 + \varphi} s_0^*(y, 0). \quad (\text{B.8})$$

Taking expectations over n_0 conditional on y ,

$$\mathbb{E}[s_0 \mid y] = (1 - r(y)) s_0^*(y, 0) + r(y) s_0^*(y, 1) = \frac{\delta}{1 + \delta} \frac{y}{p} \left[1 - \frac{\varphi}{1 + \varphi} r(y) \right]. \quad (\text{B.9})$$

Since $r'(y) < 0$, higher income increases schooling both directly (through y) and indirectly (through reduced exposure to the high-cost state).

Period 1: Transition to adulthood

Aside from period 0 decisions, and their consequences for individuals incentives in period 1, the rest of the model follows as in Doepke et al. (2023). The only difference relative to their baseline framework is that entry into period 1 is characterized by initial conditions determined in period 0: childhood schooling investment s_0 and the realization of an early fertility shock n_0 , both of which depend on childhood family income. If period 0 is defined as childhood or teenage years, one could think of Period 1 as corresponding to the transition to adulthood.

At the beginning of period 1, women face a baseline wage w_f that reflects childhood conditions,

$$w_f = w_f(s_0), \quad w'_f(s_0) > 0, \quad (\text{B.10})$$

so that higher schooling investment during childhood increases entry wages in early adulthood.

The early fertility shock realized in period 0 also affects the woman's fertility status at the start of period 1. If $n_0 = 1$, the woman enters period 1 having already experienced an early

birth, so fertility timing is predetermined and no longer a choice in this period. If $n_0 = 0$, the woman may choose whether to have a child early in period 1, as in [Doepke et al. \(2023\)](#). Hence, realized early fertility constrains subsequent fertility timing decisions. We also follow the baseline assumptions related to women's main fertility decision and impose that the woman can have at most one child; hence if $n_1 = 1$ then $n_2 = 0$ and vice versa and that mothers derive utility from their children in the same way regardless the period they are born.

In period 1, the woman allocates her unit time endowment between, career investment and work. Let $e \in [0, 1]$ denote the fraction of time invested in career-related human capital, and let $n_1 \in \{0, 1\}$ denote the realization of early fertility in period 1. In the model, career investment e should be interpreted broadly as any use of time during the transition to adulthood that raises future wages but is not fully remunerated at the current stage. This includes formal training and education (e.g. attending college), but also on-the-job learning, job search for better matches, accepting lower current earnings in exchange for future career opportunities, or firms demand for various amenities that are not entirely compatible with having children and are required to improve prospects of career progression such as the number of hours to be worked and also the particular hours worked, being "on call," providing "face time," being around for clients, group meetings, among others ([Goldin, 2014](#)). The key concept that e aims to capture is that these activities involve short-run income or time costs while increasing productivity and wages later in life. Having a child requires a fraction $\phi \in (0, 1)$ of time in the period in which the child is present, as in [Doepke et al. \(2023\)](#). Period-1 consumption equals labor earnings,

$$c_1 = w_f(s_0)(1 - e - \phi n_1). \quad (\text{B.11})$$

Period 2: Adulthood

In period 2, the woman earns returns from career investment made in period 1. Career investment raises future wages through a human-capital accumulation technology that follows [Doepke et al. \(2023\)](#), with one modification. I allow the curvature of returns to career investment to depend on childhood schooling,

$$h(e; s_0) = \kappa e^{\gamma(s_0)}, \quad \kappa > 0, \quad \gamma'(s_0) > 0, \quad (\text{B.12})$$

so that higher schooling investment in childhood increases the marginal return to career investment during the transition to adulthood. Since childhood schooling is itself increasing in family income, $s_0 = s(y)$ with $s'(y) > 0$, this specification introduces a dynamic complementarity between early-life human capital and career investment decisions in early adulthood ([Cunha et al., 2010](#); [Cunha and Heckman, 2007](#); [Heckman, 2006](#)). Since $s_0 = s(y)$, childhood family income affects period-2 wages through this channel.

Period-2 wages are therefore given by

$$w_2 = w_f(s_0) h(e; s_0) = w_f(s_0) \kappa e^{\gamma(s_0)}. \quad (\text{B.13})$$

The woman may also choose to have a child in period 2. Let $n_2 \in \{0, 1\}$ denote the late fertility choice. If she chooses $n_2 = 1$, a birth occurs with probability $\pi \in (0, 1)$; with probability

$1 - \pi$, she remains childless due to infertility risk. As in period 1, having a child requires a fraction $\phi \in (0, 1)$ of time in the period in which the child is present.

Abstracting from savings, and conditional on the realization of n_2 , period-2 consumption equals labor earnings,

$$c_2 = w_f(s_0) h(e; s_0) (1 - \phi n_2) = w_f(s_0) \kappa e^{\gamma(s_0)} (1 - \phi n_2). \quad (\text{B.14})$$

When $n_2 = 1$, it is convenient to distinguish consumption in the no-birth state,

$$c_{2,0} = w_f(s_0) \kappa e^{\gamma(s_0)},$$

from consumption in the birth state,

$$c_{2,1} = w_f(s_0) \kappa e^{\gamma(s_0)} (1 - \phi).$$

Intertemporal preferences (periods 1 and 2)

Preferences follow [Doepke et al. \(2023\)](#). Lifetime utility over periods 1 and 2 is given by

$$U = \log(c_1) + \log(c_2) + v(n_1 + n_2), \quad (\text{B.15})$$

where v denotes the utility value of a child, which may vary across women. Because late fertility is risky, expected lifetime utility conditional on the fertility plan (n_1, n_2) and career investment e is

$$\mathbb{E}[U \mid n_1, n_2, e] = \log(w_f(s_0)(1 - e - \phi n_1)) + (1 - \pi n_2) \log(c_{2,0}) + \pi n_2 \log(c_{2,1}) + v n_1 + \pi v n_2, \quad (\text{B.16})$$

where

$$c_{2,0} = w_f(s_0) \kappa e^{\gamma(s_0)}, \quad c_{2,1} = w_f(s_0) \kappa e^{\gamma(s_0)} (1 - \phi).$$

Since childhood schooling s_0 is increasing in family income, $s_0 = s(y)$, childhood income affects expected lifetime utility through both baseline wages and the return to career investment.

Career investment in period 1

Given the fertility plan (n_1, n_2) , the woman chooses career investment e in period 1 to maximize [\(B.16\)](#). Consumption in periods 1 and 2 is given by

$$c_1 = w_f(s_0)(1 - e - \phi n_1), \quad c_{2,0} = w_f(s_0) \kappa e^{\gamma(s_0)}, \quad c_{2,1} = w_f(s_0) \kappa e^{\gamma(s_0)} (1 - \phi). \quad (\text{B.17})$$

Substituting [\(B.17\)](#) into [\(B.16\)](#), the first-order condition for an interior solution is

$$-\frac{1}{1 - e - \phi n_1} + \frac{\gamma(s_0)}{e} = 0, \quad (\text{B.18})$$

where $\gamma(s_0)$ denotes the curvature of returns to career investment and satisfies $\gamma'(s_0) > 0$.

Solving the first-order condition yields the optimal career investment rule

$$e^*(s_0, n_1) = \frac{\gamma(s_0)}{1 + \gamma(s_0)} (1 - \phi n_1), \quad (\text{B.19})$$

where childhood schooling $s_0 = s(y, n_0)$ is increasing in family income and decreasing in period 0 births. Note that this is the exact same career investment rule derived by [Doepke et al. \(2023\)](#), with the difference that γ and n_1 are now affected by decisions and circumstances from childhood. Hence, higher childhood income raises optimal career investment both by increasing the return to investment and by reducing exposure to early fertility shocks through n_1 .

Values of fertility plans

Let U_{00} , U_{10} , and U_{01} denote expected lifetime utility under the three fertility plans $(n_1, n_2) = (0, 0)$ (no children), $(1, 0)$ (early child), and $(0, 1)$ (late child). Evaluating (B.16) at the optimal career investment choice $e^*(n_1, y)$ yields:

$$U_{00} = \log\left(\frac{w_f(s_0)}{1 + \gamma(s_0)}\right) + \log\left(w_f(s_0) \kappa \left(\frac{\gamma(s_0)}{1 + \gamma(s_0)}\right)^{\gamma(s_0)}\right), \quad (\text{B.20})$$

$$U_{10} = U_{00} + (1 + \gamma(s_0)) \log(1 - \phi) + v, \quad (\text{B.21})$$

$$U_{01} = U_{00} + \pi \log(1 - \phi) + \pi v. \quad (\text{B.22})$$

Again, since childhood schooling $s_0 = s(y)$ is increasing in family income, childhood income affects the relative attractiveness of fertility plans through both baseline wages and the curvature of returns to career investment. In particular, higher s_0 raises $\gamma(s_0)$, increasing the opportunity cost of early fertility relative to delayed fertility or childlessness.

Type thresholds and fertility timing

Women choose the fertility plan that maximizes expected lifetime utility. The model implies two thresholds in the utility value of children, v .

The woman prefers late fertility to remaining childless if $U_{01} \geq U_{00}$, which holds if and only if

$$v \geq \bar{v}_1 \equiv -\log(1 - \phi). \quad (\text{B.23})$$

This threshold is identical to [Doepke et al. \(2023\)](#) and is independent of childhood conditions.

The woman prefers early fertility to late fertility if $U_{10} \geq U_{01}$, which holds if and only if

$$v \geq \bar{v}_2(s_0) \equiv \frac{(1 + \gamma(s_0)) - \pi}{1 - \pi} [-\log(1 - \phi)]. \quad (\text{B.24})$$

Since $\gamma'(s_0) > 0$ and childhood schooling is increasing in family income, $s_0 = s_0(y, n_0)$, the threshold $\bar{v}_2$ is increasing in childhood income. Higher childhood income therefore raises the utility value required for early fertility to be optimal, shifting women toward delayed fertility.

Note that for any $\pi \in (0, 1)$, $\bar{v}_2(s_0) > \bar{v}_1$, so the condition $U_{10} \geq U_{00}$ is automatically satisfied whenever $U_{10} \geq U_{01}$ and $U_{01} \geq U_{00}$. Hence, no additional threshold is required.

Combining these conditions, the optimal fertility plan is characterized by

$$(n_1, n_2) = \begin{cases} (0, 0) & \text{if } v < \bar{v}_1, \\ (0, 1) & \text{if } \bar{v}_1 \leq v < \bar{v}_2(s_0), \\ (1, 0) & \text{if } v \geq \bar{v}_2(s_0). \end{cases} \quad (\text{B.25})$$

The model implies two cutoff values in the utility from children, v , that characterize fertility timing decisions. Figure B.1 provides a graphical representation of these regions along the support of v .

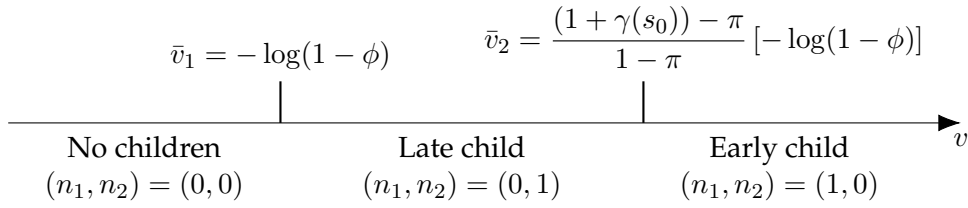


Figure B.1: Type thresholds in v and fertility timing.

Relative to [Doepke et al. \(2023\)](#), the structure of fertility timing decisions is unchanged. The only departure is that the curvature of returns to career investment, γ , is allowed to depend on childhood schooling, so that the early–late fertility threshold shifts with childhood income.

C Further Details about Data Construction

PANES/AFAM-PE records

Application and participation records contain application-form information from both successful and unsuccessful applications to PANES/AFAM-PE between April 2005 and December 2023. The information in these forms was collected through a detailed socio-demographic survey administered by program officials to applicant households. This is the data used to compute the poverty score that determines whether a household is eligible to participate in the program. The following table describes the raw variables included in these administrative records.

Description of Information Contained in Participation Records

Type	Variable
Application forms	Application number
	Resolution (accepted/rejected)
	Application date
	Self-reported income for each household member
	Poverty score (computed by the Social Security Agency)
	Monthly payment status and amount
Household Characteristics	Application Number
	Department
	Housing characteristics and quality
	Ownership status and property value
	Access to public services and utilities
Individual Characteristics	Appliances (microwave, fridge, car, computer, router, etc.)
	Application and masked national ID number
	Birth date
	Gender
	Education (current level and attendance)
	Activity and occupation status
Household Roster	Income
	Application and Masked ID numbers
	Relation with household head

Original *PANES* application records contain information of 187,727 application forms. Of these, 102,436 were accepted applications and 85,291 were rejected. In original *AFAM-PE* records, the total number of application forms is 796,131. This also includes households that were transferred automatically from *PANES* to *AFAM-PE*. Of the 796,131 *AFAM-PE* application forms, 585,052 (73.5%) were accepted and 211,079 (26.5%) were rejected. *AFAM-PE* individual level data contains information of about 1.6 million individuals.

Some individuals and application forms were removed from the data during the cleaning and preparation process. First, 6,150 application forms (0.62%) were removed due to missing information on household members, including missing individual ID numbers or cases where the forms could not be merged with the individual-level data. Then, 36 application forms were excluded because they had missing application dates, 472 because they lacked information on the poverty score, and 2,259 because they did not report the department in which they

were submitted. Finally, there are several cases where multiple application forms for the same household are almost identical, including having the same application date, but differ in a few specific variables. In total, 7,840 forms are duplicated entries that differ only in the application form number, 1,030 differ only in the reason for rejection, and 4,924 report different poverty scores on the same application date. When the only difference is the application form number, I keep one form at random. When otherwise-identical forms differ only in the rejection reason, I collapse the reasons. For cases with multiple scores on the same day, I keep the form with the lowest score. The resulting number of application forms is 961,153, and the corresponding number of unique individuals is 1,711,132.

Birth Records

The birth certificate records come from the Ministry of Health and include the universe of births in the country (851,232) between 2003 and 2021. The raw dataset includes information on the birth date, the type of institution where the child was born (public, private, or other), the age of the mother at the time of birth, birth weight, and gestation weeks. The number of mothers in the dataset is 531,695. Of these, 57.3% gave birth to a single child during this period, 30.2% gave birth to two children, 9.0% to three children, and the remaining 3.5% to four or more children.

Starting in 2007, the Ministry of Health began transitioning birth certificates from paper to electronic format, which generated changes in the structure of the underlying databases. For this reason, the datasets can be organized into three periods: 2003–2007 (paper format), 2008–2010 (coexistence of paper and electronic records), and 2011 onward (fully electronic records, with the paper format aligned to the electronic structure). This means that while the key variables (such as the child’s date of birth, the mother’s ID number, birth weight, place of birth, and type of birth) are available throughout the entire period, other variables, mostly those related to the father and mother’s pre-natal visits, are only available once the electronic records begin. In addition, there are changes over time in how marital and cohabitation status were reported.

Education records

The secondary education data come from administrative records from the National Administration of Public Education (ANEP) and cover lower and upper secondary education (grades 7–12) from 2004 to 2024. These records include information on enrollment, achievement, performance, and, when available (2015 and later), attendance. Coverage is nearly universal for public secondary schools, although the current version of the dataset does not yet include vocational education (UTU) or private schools. While vocational schools may be relevant for this lower-income population, private schools are not. Hence, estimates using these data should be interpreted as a lower bound for potential effects across the full secondary education system. For grades 7–12, enrollment and achievement measures are consistently available throughout the entire period, while attendance is reported intermittently for lower secondary before 2016 and only reliably for upper secondary from 2022 onward.

In total, the raw secondary education dataset includes 4,707,472 student-year observations for grades 7–12 between 2004 and 2024, corresponding to 1,138,501 unique students. Annual

enrollment ranges from about 221,565 to 263,512 students per cohort. The distribution across grades in 2005, the year when *PANES/AFAM-PE* was rolled out was: approximately 19.5% of observations correspond to grade 7, 17.1% to grade 8, 16.6% percent to grade 9, 15.6% to grade 10, 18.1% to grade 11, and 13.1% percent to grade 12.

The raw data exhibit some heterogeneity in evaluation systems depending on the grade and study plan. In most cases, grades 7–10 follow a grade-level approval system, and the final qualification is available conditional on passing the grade. However, some study plans rely on course-by-course approval, and grades 11–12 are universally evaluated by subject without an aggregate grade.

Most students show up in records only once per academic year, although a small share have multiple inscriptions within the same year due to course-by-course evaluation structures or multiple inscriptions in different schools. Among students in grades 7–10, approximately 84.6% percent are evaluated under the grade-level approval system, while the remaining 15.4% percent follow course-by-course approval. For grades 11–12, all students are evaluated by subject.

To proxy for achievement outcomes that are comparable across evaluation systems, I use two measures that are well defined for all students in the sample: the maximum grade ever enrolled and an indicator for ever enrolling in 12th grade. These variables capture students' progression through the secondary education system and are consistently available across the full period. It is important to note that Uruguay does not count with a centralized record on secondary education completion, which would be the natural outcome to measure secondary education achievement.

Tertiary education data come from the *Universidad de la República*. In this case, the information provided includes enrollment records for the universe of students who ever enrolled in any major between 2005 and 2020. The only information currently available is whether the student was enrolled; no additional details on major, academic progress, performance, or completion status are available at this stage.

Labor market records

Labor market outcomes come from employer–employee matched administrative records from the Ministry of Labor and Social Security (MTSS). These data cover the universe of formal employment in Uruguay from January 2005 to July 2023 and include all registered workers (private and public), as well as registered self-employed, with at least one month of contributions to the social security system. The records provide monthly job-level information such as start and end dates, contract type, industry and firm characteristics, region, days worked, and wages, together with the date and reason for each separation (e.g., layoff, contract expiration, retirement). Although the data capture only formal employment, Uruguay's informal sector is comparatively small (about 17–20 percent of total employment).

In total, the dataset contains more than 269 million job–month observations corresponding to 2,688,860 unique workers during the 2005–2023 period. The month with the highest number of registered contracts is December 2022, with 1,365,509 jobs, while the lowest point occurs in January 2005, with 880,693. The data reflect a large expansion in formal employment between

2005 and 2015, during which registered jobs increased from about 880,000 to 1.3 million. This expansion was driven both by overall employment growth and by rising formalization (i.e., shifts from informal to formal work) during a period of sustained economic growth in Uruguay.

Household Identifiers for *PANES* Data

Unlike *AFAM-PE*, *PANES* records contain application form and personal identifiers but do not include a household identification number. This is key information for detecting households that applied multiple times to *PANES/AFAM-PE* and for defining the first application at the household level. A natural way to infer whether two applications correspond to the same household is to compare the personal identifiers listed in each form: if two forms include exactly the same individuals, they can be attributed to the same household. However, because household composition changes over time (e.g., births, separations, or simply household members moving), constructing a consistent household identifier requires a more careful approach.

To link households across the *PANES* and *AFAM-PE* records, I construct harmonized household identifiers using an algorithm that I describe in detail below. The broad goal is to identify cases where a *PANES* household and an *AFAM-PE* household represent the same underlying family unit based on shared members, and then select the best match among all possible candidates. In short, I reconstruct household rosters in each dataset, generate all *PANES–AFAM-PE* household pairs that share at least one member, compute an overlap based matching rate for each pair, and apply a set of rules to classify matches as perfect, imperfect but good enough, or bad. Below I describe each step of this procedure.

1. Construct the *PANES* household roster using the last observation of each household in the *PANES* records.
2. Construct the *AFAM-PE* household roster using the first observation of each household in the *AFAM-PE* records.
3. Create an auxiliary file listing, for each individual ID number, the *PANES* household IDs in which the individual appears.
4. Create an analogous auxiliary file listing the *AFAM-PE* household IDs for each individual.
5. Merge steps 3 and 4 to obtain, for each individual, all *PANES* and *AFAM-PE* household IDs with which the person is ever associated.
6. Identify all *PANES/AFAM-PE* household combinations that are connected through at least one shared individual. This produces the pool of candidate pairs.
 - There are 252,168 such *PANES/AFAM-PE* connections, corresponding to 137,391 unique *PANES* household IDs and 225,955 *AFAM-PE* household IDs.
 - 28.9% of *PANES* household identifiers have connections with just one *AFAM-PE* household identifier, 29.1% match with two, 19.76% match with three, 11.5% match with four, and the remaining 11% match with more than four.

7. Merge the *PANES* household roster (step 1) onto the candidate list based on the *PANES* household ID.
8. Merge the *AFAM-PE* household roster (step 2) onto the candidate list using the *AFAM-PE* household ID. For each pair, identify overlapping household members using ID numbers or, when missing, birth dates.
 - This procedure results in a long dataset linking *PANES* household IDs, *AFAM-PE* household IDs, and individual identifiers, with approximately 1.25 million person–household observations. About 50% of these links are based on exact matches of individual ID numbers, and 54.1% are matched either by ID number or by birth date. These matched observations correspond to individuals who appear in both the *PANES* household roster and at least one candidate *AFAM-PE* household.
9. Compute a matching rate for each household ID pair:
 - (a) Let a be the maximum household size across the two rosters.
 - (b) Let b be the number of overlapping members (by ID or birth date).
 - (c) Define the matching rate as $\frac{b}{a}$
 - (d) Identify perfect (match rate= 1, 54% of the matches) and imperfect matches (match rate< 1, 46%). See table below for the joint distribution.
10. Handle 176 cases where one *PANES* household has multiple perfect matches, which likely reflect *AFAM-PE* code duplication. In such cases, assign the minimum *AFAM-PE* household ID.
11. If a household has both perfect and imperfect matches, retain only the perfect match.
12. Drop clearly invalid matches, defined as household size greater or equal than 3 and matching rate below 0.5 (e.g. household with four members where only one person matches).
13. Classify remaining pairs into “good” matches using the following rules:
 - (a) A matching rate of at least 75% (implying at least three matched members in a four person household).
 - (b) Among pairs with lower matching rates, classify as good if:
 - The household head or partner matches and at least one child matches; or
 - Both head and partner match regardless of children.
14. For *PANES* households with multiple “good” imperfect matches, select the match with the highest matching rate.

Imperfect Matches	Perfect Matches				Total
	0	1	2	3	
0	0	39,823	118	1	39,942
1	32,015	19,870	45	0	51,930
2	16,742	8,496	8	0	25,246
3	8,068	3,421	2	0	11,491
4	3,822	1,309	1	0	5,132
5	1,652	496	0	0	2,148
6	717	194	1	0	912
7	308	73	0	0	381
8	114	15	0	0	129
9	42	5	0	0	47
10	17	2	0	0	19
11	8	0	0	0	8
12	3	0	0	0	3
13	2	0	0	0	2
14	1	0	0	0	1
Total	63,511	73,704	175	1	137,391

In sum, of the 181,559 unique household identifiers in the *PANES* records, 137,391 share at least one individual with an *AFAM-PE* household and 44,168 do not share any members. Among the connected households, 73,878 match exactly with a single *AFAM-PE* household, 44,744 are classified as imperfect matches, and 18,767 are considered bad matches.

Baseline Covariates

Based on the information available in the application form used the first time that a household applied to *PANES/AFAM-PE*, I create two sets of baseline variables that will be used as control variables to increase precision in the estimates and to test balance on observables in the baseline period:

Table C.1: Description of Baseline Covariates

Group	Variable
Household Characteristics	Region fixed effects
	Year of application fixed effects
	Number of household members
	Single parent household
	Adults' age when first born
	Average age of household members
Household Head Characteristics	Application was submitted before September 2005
	Educ. years
	Employment status
	Income reported by household head
Individual Characteristics	Number of application forms
	Year of birth fixed effects
	Age at first application
	Age at December 2021

D Further Descriptive Statistics on Baseline Characteristics and Outcomes

In this appendix, I describe in more detail the characteristics of the samples used in the analysis, focusing on individual and household characteristics reported in the application forms, as well as summary statistics for the main outcomes of interest.

Figure D.1 shows the age distribution of individuals in the main sample at two key points in time. Panel (a) shows individuals' age at the time of their household's first application to *PANES/AFAM-PE*, while Panel (b) focuses on the distribution of age on 31 December 2021. Individuals in the *main sample* have ages at first application that range between 2.8 and 17.8 years old, with an average of 9.6, and a median of 9.84. Overall, the figure shows that there is significant variation in the timing of exposure. Panel (b) shows that individuals are on average 26 years old in December 2021, when fertility outcomes are last observed, and about 26.5 years old in July 2023, when labor market outcomes are last observed. In this case, the range is 19.1 to 34.0.

Table D.1 reports descriptive statistics for the main individual and household characteristics observed in the *PANES/AFAM-PE* application forms. Columns (1) and (2) present these statistics for the universe of applicants, without any restriction. Columns (3) and (4) focus on the *full sample*, which, as defined in Section 3.2, refers to individuals who were younger than 18 years old at the time of their household's first application and at least 19 years old in December 2021. Columns (5) and (6) focus on the *main sample*, which applies further restrictions to the *full sample* related to the years of application (2005–2007) and outlier application behavior. Odd-numbered columns report descriptives for individuals across the whole support of the poverty score, whereas even-numbered columns focus on individuals who are close to the eligibility threshold. For simplicity, the bandwidth used for this table is 0.02, which corresponds to the maximum optimal bandwidth reported in Table 2.

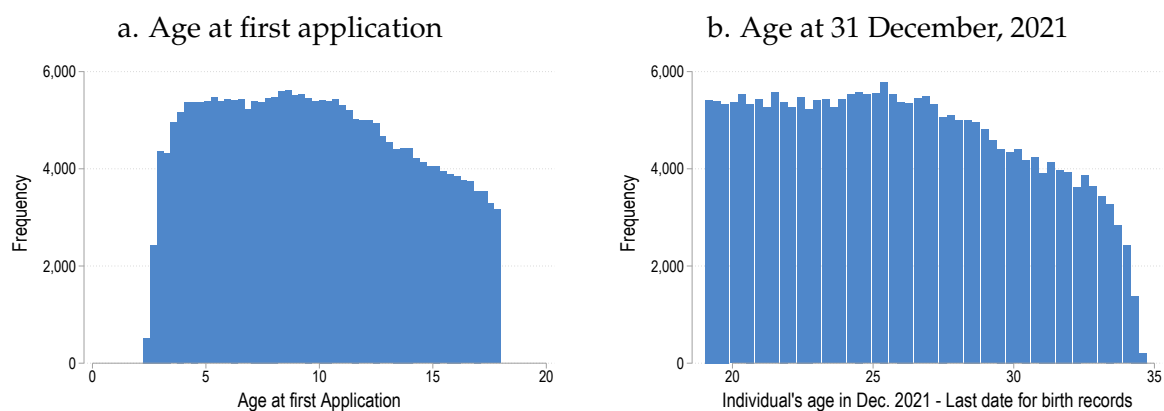
In terms of individual characteristics, individuals in the *main sample* who are close to the eligibility threshold, described in column (6), were on average 10.2 years old at the time of their household's first application to the program and are about 26.3 years old in December 2021. On average, they appear in 3.0 application forms throughout the period. This includes applications in which they were dependent children, as well as potential applications later on as household heads or household head partners in newly formed households. The sample is split roughly evenly between men and women (51.4 percent vs. 48.6 percent). Individuals in this group look similar to those in the full support of the main sample, described in (5), and to individuals in the full sample, described (3) and (4). The main difference is the number of applications, which is higher in the *main sample* because these individuals applied earlier and therefore had a longer window to appear in subsequent applications. Compared to the universe of applicants, which also includes adults and is described in (1) and (2), their age is mechanically lower since the focus here is on children living in applicant households.

When looking at the characteristics of the first application form, individuals in the *main sample* close to the threshold have an average standardized score of roughly 0.0 and an average first-application acceptance rate of 57.3%. Only about 15.5% of these individuals correspond to application forms submitted in the capital city, a share that is considerably lower than the roughly 37% of the population living in the capital. Compared to the universe of applicants or to the *full sample* close to the threshold, individuals in the *main sample* are more likely to be accepted in their first application (57.3% vs. 49.3% and 54.2%, respectively) and less likely to come from the capital city (15.5% vs 23.0% and 19.8%, respectively). By design, individuals close to the threshold have scores clustered around zero and lower acceptance rates, as the overall distribution of the poverty score is heavily skewed toward households above the eligibility cutoff.

Finally, in terms of household-level characteristics, individuals in the *main sample* close to the threshold come from households with an average of 4.26 members, an average member age of 23.1, and 52.9% of them being single-parent households. Looking at household head characteristics, 62.6% of heads report being employed (either formally or informally), and they have on average 6.5 years of education, which is slightly above completion of primary school. The average household head income is USD 130.8, which is substantially below the poverty line (approximately USD 350). Overall, there are no substantial differences in household characteristics when comparing the *main sample* to the *full sample* or to the universe of applicants, except, by construction, in the share of applications submitted before September 2005. Differences between households close to the threshold and those in the full support remain similar across samples.

Overall, the main takeaway is that the *main sample* looks very similar to the *full sample* children along most observable characteristics, including age at application, gender, household size, household head education, and household head labor income. The main differences arise mechanically from the restrictions imposed on the main sample: individuals in this group applied earlier (2005-2007) and therefore appear in more application forms. In addition, households in the *main sample* are slightly less likely to be located in the capital city. Apart from these differences, the *main sample* resembles the broader population of children growing up in applicant households.

Figure D.1: Distribution of Age at 31 December, 2021 and at First Application



Notes: This figure illustrates the age distribution of individuals in the *main sample* at two key moments in their lives. Panel (a) depicts the age distribution at the time of the first application, while Panel (b) shows the age distribution in December 2021, the last moment for which birth certificates are available. As described in Section 4.1, to compute the age at first application, I first identify the earliest application submitted by each household. I then assign to each individual the earliest of these household-level first applications for the households in which they appear as members on the corresponding form.

Table D.1: Descriptive Statistics: Individual Characteristics

	Universe		Full Sample		Main Sample	
	Full Support (1)	Bdw: 0.02 (2)	Full Support (3)	Bdw: 0.02 (4)	Full Support (5)	Bdw: 0.02 (6)
a. Individual Characteristics						
Female (%)	53.17 (49.90)	53.84 (49.85)	49.70 (50.00)	49.62 (50.00)	48.50 (49.98)	48.63 (49.98)
Avg. Number of Applications	2.41 (1.48)	2.47 (1.46)	2.85 (1.56)	2.82 (1.50)	3.24 (1.40)	3.04 (1.38)
Age of 1st Application	20.30 (20.68)	22.95 (21.22)	10.69 (4.13)	10.68 (4.19)	9.84 (4.22)	10.16 (4.26)
Age at 31 Dec. 2021	32.72 (21.05)	36.35 (21.60)	25.49 (4.03)	25.91 (4.16)	26.02 (4.21)	26.31 (4.25)
b. Reference Form						
Std. Score	0.15 (0.23)	0.00 (0.01)	0.17 (0.24)	0.00 (0.01)	0.16 (0.21)	-0.00 (0.01)
App. Accepted (%)	65.92 (47.40)	49.28 (50.00)	71.25 (45.26)	54.22 (49.82)	76.01 (42.70)	57.34 (49.46)
Capital City (%)	34.50 (47.54)	22.95 (42.05)	31.81 (46.57)	19.81 (39.86)	27.06 (44.43)	15.50 (36.19)
c. Household characteristics (ref. form)						
Number of Members	4.10 (1.76)	3.67 (1.64)	4.74 (1.91)	4.17 (1.79)	4.94 (1.99)	4.26 (1.88)
Single Parent (%)	43.84 (49.62)	50.18 (50.00)	45.40 (49.79)	52.07 (49.96)	45.28 (49.78)	52.94 (49.91)
Mother's Age When 1st Born	23.38 (7.52)	24.48 (7.81)	23.01 (7.01)	24.11 (7.31)	22.55 (6.61)	23.93 (7.14)
Avg. age	23.62 (11.39)	26.07 (11.70)	21.80 (7.40)	23.54 (7.93)	20.98 (7.21)	23.13 (8.00)
Baseline App. Before Sep.2005	18.58 (38.89)	23.08 (42.13)	28.31 (45.05)	30.36 (45.98)	41.06 (49.19)	38.75 (48.72)
Household Head: Employed (%)	56.70 (49.55)	59.37 (49.11)	61.65 (48.62)	61.67 (48.62)	64.58 (47.83)	62.64 (48.38)
Household Head: Ed. years	6.91 (2.81)	6.94 (2.88)	6.58 (2.59)	6.79 (2.61)	6.30 (2.35)	6.56 (2.44)
Household Head: income	163.19 (250.29)	155.65 (215.64)	155.28 (212.59)	155.36 (187.65)	121.32 (135.02)	130.81 (131.91)
Observations	1,711,132	128,021	420,383	32,771	248,709	25,035

Notes: This table reports a series of descriptive statistics for the *universe* of PANES/AFAM-PE applicants, individuals in the *full sample*, and individuals in the *main sample*. As defined in Section 3.2, the universe of PANES/AFAM-PE applicants corresponds to all individuals who appear in PANES/AFAM-PE application forms from the start of the program in April 2005 until December 2023. The *full sample* is defined as individuals who were younger than 18 years old when their parents first applied to PANES/AFAM-PE and at least 19 years old by December 2021 (N=420,383). The *main sample* is the sample for which I implement the RDD analysis and corresponds to the full sample after a series of restrictions explained in detail in the main text (N=248,709). Odd-numbered columns include summary statistics for individuals across the full support of the poverty score obtained in the first application (Z^{1st}), while even-numbered columns are based on individuals who are close to the eligibility threshold. For simplicity, I use a fixed threshold of 0.02, which corresponds to the maximum optimal bandwidth used in estimates for the main outcomes reported in Table 2. Panel (a) reports information on a series of characteristics at the individual level. Panel (b) focuses on the characteristics of the reference form, i.e., the application form corresponding to the first application. Finally, panel (c) reports information about the characteristics of the household defined in the first application form.

Table D.2: Descriptive Statistics: Outcomes of Interest

	Full Sample				Main Sample			
	Full Support		Opt. Bdw.		Full Support		Opt. Bdw.	
	Women (1)	Men (2)	Women (3)	Men (4)	Women (5)	Men (6)	Women (7)	Men (8)
a. PANES/AFAM-PE Participation Outcomes, before 18yo								
Total Transfer Collected (1000s, USD)	9.64 (8.13)	9.60 (7.93)	8.02 (7.35)	8.01 (7.23)	12.00 (8.29)	11.71 (8.11)	9.25 (7.49)	9.15 (7.41)
Months in the PANES/AFAM-PE	73.88 (55.17)	73.76 (54.24)	65.64 (53.57)	65.49 (52.96)	88.25 (56.01)	86.27 (55.26)	74.01 (54.36)	72.88 (53.83)
Ever Treated before 18yo (%)	88.21 (32.25)	87.86 (32.66)	84.15 (36.53)	84.17 (36.50)	92.01 (27.11)	91.85 (27.35)	87.08 (33.55)	87.09 (33.53)
b. Labor Market Outcomes								
Last Observed: Employed in the last year	55.59 (49.69)	60.86 (48.81)	58.63 (49.25)	62.75 (48.35)	52.49 (49.94)	58.25 (49.31)	56.09 (49.63)	61.23 (48.73)
Last Observed: Months Worked in the last year	4.69 (5.11)	5.13 (5.11)	5.13 (5.21)	5.41 (5.15)	4.31 (5.01)	4.77 (5.04)	4.84 (5.17)	5.17 (5.11)
Last Observed: Total Earnings (1000s, USD)	3.45 (4.82)	4.33 (5.39)	3.92 (5.14)	4.64 (5.54)	3.09 (4.62)	4.00 (5.28)	3.66 (5.04)	4.43 (5.49)
Last Observed: Total Earnings (1000s, USD), (>0)	6.61 (6.21)	7.80 (7.31)	7.21 (6.56)	8.18 (7.76)	6.25 (6.05)	7.48 (7.02)	7.03 (6.49)	7.94 (7.25)
Last Observed: Tenure in current job	34.44 (33.18)	38.68 (37.07)	37.90 (35.73)	40.93 (38.61)	35.62 (35.07)	40.04 (39.19)	38.91 (37.09)	42.36 (40.38)
Cumulative: Ever Employed (%)	67.80 (46.72)	74.77 (43.43)	71.37 (45.21)	77.24 (41.93)	66.00 (47.37)	74.02 (43.85)	69.97 (45.84)	76.95 (42.12)
Cumulative: Months Worked	32.84 (39.33)	41.24 (43.49)	37.41 (42.12)	45.52 (45.94)	32.11 (40.19)	41.88 (45.07)	37.03 (42.96)	46.41 (47.28)
Cumulative: Total Earnings (1000s, USD)	21.12 (30.59)	30.88 (39.64)	24.71 (33.40)	34.50 (42.03)	20.03 (30.39)	30.64 (40.16)	24.03 (33.45)	34.72 (42.61)
Cumulative: Number of Different Employers	2.54 (2.72)	3.41 (3.21)	2.70 (2.75)	3.58 (3.23)	2.48 (2.73)	3.56 (3.33)	2.66 (2.76)	3.71 (3.32)
c. Transition Outcomes								
Market Oriented (%)	25.17 (43.40)	33.90 (47.34)	27.74 (44.77)	35.90 (47.97)	20.17 (40.13)	31.13 (46.30)	23.55 (42.43)	33.93 (47.35)
Age at 1st Birth	19.65 (3.17)	22.34 (3.32)	20.02 (3.39)	22.65 (3.41)	19.56 (3.22)	22.50 (3.39)	19.98 (3.42)	22.75 (3.45)
Birth Before 19 (%)	21.16 (40.85)	2.12 (14.40)	18.75 (39.03)	2.04 (14.12)	25.00 (43.30)	2.32 (15.06)	21.13 (40.82)	2.19 (14.65)
Age at 1st Employment	20.42 (2.77)	19.56 (2.32)	20.57 (2.85)	19.57 (2.38)	20.64 (2.92)	19.66 (2.44)	20.70 (2.93)	19.64 (2.48)
Job Before 19 (%)	18.73 (39.02)	30.47 (46.03)	18.71 (39.00)	31.89 (46.61)	16.97 (37.54)	29.47 (45.59)	17.35 (37.87)	31.41 (46.42)
Enrolled in University (%)	11.60 (32.02)	5.61 (23.02)	14.43 (35.14)	6.40 (24.47)	7.69 (26.65)	3.31 (17.90)	10.96 (31.24)	4.52 (20.77)
Had a Birth (%)	52.16 (49.95)	19.66 (39.74)	50.11 (50.00)	20.99 (40.73)	58.91 (49.20)	22.37 (41.67)	55.25 (49.73)	23.39 (42.33)
Number of Births	0.87 (1.05)	0.25 (0.57)	0.82 (1.02)	0.27 (0.59)	1.02 (1.11)	0.29 (0.61)	0.92 (1.05)	0.31 (0.62)
d. Secondary Education Outcomes								
Ever Enrolled in Secondary School (%)	78.43 (41.13)	65.19 (47.64)	80.79 (39.39)	67.21 (46.95)	77.10 (42.02)	61.56 (48.64)	80.00 (40.00)	64.74 (47.78)
Years Enrolled in Secondary School	3.69 (3.00)	2.63 (2.74)	3.97 (3.03)	2.79 (2.80)	3.62 (3.04)	2.40 (2.68)	3.97 (3.09)	2.65 (2.78)
Ever Enrolled in Grade 12 (%)	27.71 (44.76)	13.18 (33.82)	33.12 (47.07)	15.51 (36.20)	21.79 (41.28)	9.08 (28.73)	28.74 (45.26)	12.06 (32.56)
Max. Grade Enrolled in Secondary	4.09 (1.77)	3.39 (1.78)	4.36 (1.69)	3.56 (1.77)	3.79 (1.79)	3.06 (1.73)	4.17 (1.73)	3.32 (1.75)
e. Welfare Outcomes								
Applied as Adult (%)	34.47 (47.53)	15.59 (36.27)	31.07 (46.28)	14.94 (35.65)	40.49 (49.09)	18.43 (38.78)	35.01 (47.70)	16.82 (37.40)
Age at 1st Application as Adult	21.47 (3.59)	22.85 (3.61)	21.82 (3.78)	23.18 (3.70)	21.46 (3.66)	22.92 (3.68)	21.82 (3.84)	23.20 (3.75)
Accepted as Adult (%)	32.23 (46.74)	14.61 (35.32)	28.53 (45.16)	13.86 (34.55)	38.04 (48.55)	17.30 (37.82)	32.37 (46.79)	15.65 (36.33)
Number of Payments Received	20.31 (38.64)	8.27 (25.32)	18.04 (37.19)	7.86 (24.89)	25.40 (42.81)	10.28 (28.41)	21.08 (39.82)	9.11 (26.80)
Std. Poverty Score	0.25 (0.19)	0.32 (0.18)	0.23 (0.19)	0.29 (0.17)	0.26 (0.19)	0.33 (0.18)	0.23 (0.19)	0.30 (0.17)
Observations	208,932	211,451	16,261	16,510	120,610	128,083	12,173	12,857

Notes: This table reports a series of descriptive statistics for individuals in the *full* and *main sample*. As defined in Section 3.2, the *full sample* consists of individuals who were younger than 18 years old when their parents first applied to PANES/AFAM-PE and at least 19 years old by December 2021 (N=420,383). The *main sample* is the sample for which I implement the RDD analysis and corresponds to the full sample after a series of restrictions explained in detail in the main text (N=248,709). Columns (1) and (2) present separate statistics for men and women in the *full sample* across the full support of the poverty score obtained in the first application (Z^{1st}), while columns (3) and (4) do the same for individuals who are close to the eligibility threshold. For simplicity, I use a fixed threshold of 0.02, which corresponds to the maximum optimal bandwidth used in estimates for the main outcomes reported in Table 2. Columns (5) through (8) are analogous for individuals in the *main sample*. The variables included in this table correspond to outcomes that are typically of interest. Panel (a) focuses on variables related to participation in PANES/AFAM-PE, Panel (b) focuses on labor market outcomes, Panel (c) on outcomes related to transitions to adulthood, Panel (d) on outcomes from secondary education records, and Panel (e) on downstream outcomes related to participation in PANES/AFAM-PE as adults.

E Further Details on the Research Design

In this appendix I provide additional details about the validity of the RDD. I begin by documenting how program administrators applied the eligibility rule. Since the goal is to report whether application forms were effectively accepted or rejected based on the poverty score obtained, the unit of analysis is the application form, regardless of the household or the household members. Figure E.1 illustrates this by describing the relationship between the standardized poverty score and the likelihood that an application form was accepted. Panel (a) shows this relationship over the full support of the score, while Panel (b) focuses on forms within the optimal bandwidth. In both panels, the figure reports average acceptance rates across bins of the poverty score and shows an extremely sharp discontinuity at the eligibility threshold. In particular, Panel (b) documents that the size of the discontinuity is 76 p.p. (p-value ≤ 0.001), reflecting a jump from around a 25% acceptance rate just below the threshold to about 90% just above it.

Despite this sharp discontinuity, the application of the score rule was not perfect on either side of the threshold. Three patterns are worth noting. First, to the right of the threshold, the acceptance rate was lower than 100%. This can be explained for other rejection reasons unrelated with the poverty score. For instance, the program also required households to pass an income test at the moment of application. As reported in [Amarante et al. \(2013\)](#), in practice, only 10% of applicant households were effectively rejected because of this reason. While I am not able to test this directly in the data, since the *PANES* records provided to me do not contain information on rejection reason, this income-related rejection rate is consistent with the 90% acceptance rate observed to the right of the threshold in Figure E.1. Second, to the left of the threshold, the acceptance rate being higher than zero is most likely explained by moving eligibility thresholds over time and automatic enrollment during the transition from *PANES* to *AFAM-PE*. In both cases, however, the size of non-compliance is small, and the probability of acceptance still changes sharply at the cutoff. Finally, it is worth noting that the acceptance rate for some ineligible forms extremely close to the threshold (within 0.0015, or 0.15 p.p.) was abnormally high. This is most likely due to precision issues in the raw data, which in some cases were provided as string variables with only four decimal places. For this reason, throughout the analysis the baseline specification excludes application forms within a radius of 0.15 p.p. of the eligibility threshold. In any case, for the main outcomes I show the sensitivity of the estimates to the choice of the donut radius and document that the results are not driven by the specific 0.0015 cutoff used in the baseline specification.

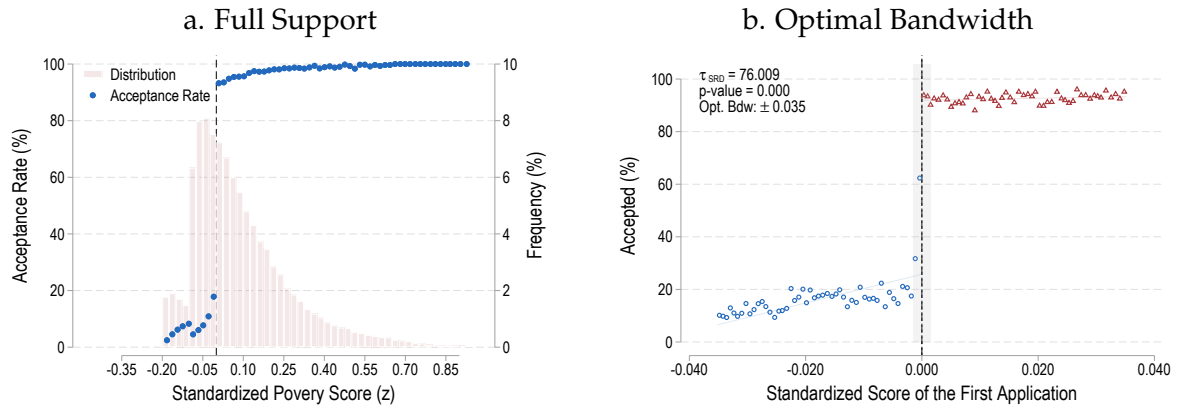
Overall, Figure XX in the main text shows persuasive evidence of an abrupt discontinuity in the treatment variable just at the eligibility threshold. The change in the probability of being ever accepted into the program before turning eighteen years old changes by 50% (29.3p.p.) just at the centered value of the first application poverty score, and this difference is statistically significant at traditional levels ($p - value \leq 0.001$). Table XX presents the analogous regression estimates. Column (1) reports the baseline estimates using a linear polynomial function and a triangular kernel function, while columns (2) through (4) present sensitivity tests based on alternative polynomial degrees and kernel functions.

A similarly sized discontinuity can be observed if we consider either the number of months

treated or the total amount collected variables. For the number of months, individuals who are just to the right of the threshold have been exposed to the program before the age of 18 on average 15 months more compared to individuals just to the left. Expressed as a percentage of the average number of months for individuals to the left of the threshold, this is a difference of 47.38%. If we consider the *amount_treated* variable, the jump observed is of a slightly larger magnitude (58.93%), but qualitatively identical.

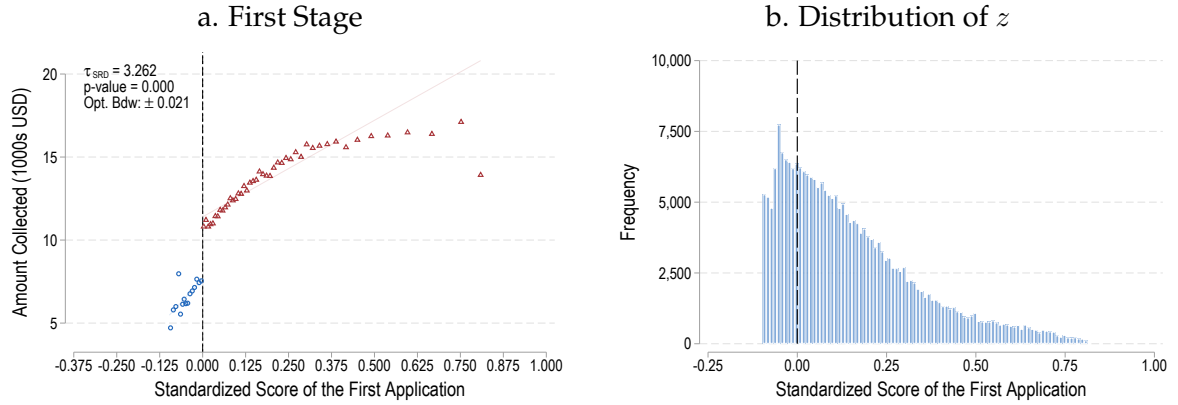
Figure XXX, depicts a summary test for systematic differences in baseline characteristics just at the threshold. More specifically, I compute the predicted eligibility score based on a probit model that uses first-time eligibility ($\mathbb{1}(Z_i^{1st} > 0)$) as the dependent variable and all other observed baseline characteristics as the independent variables. The fact that there is no discontinuity in predicted eligibility at the threshold ($\tau_{SRD} = -0.006$, $p - value = 0.268$) can be interpreted as a signal of no systematic discontinuities in the baseline variables. Analogous estimates for each baseline variable considered individually are provided in Table 1, and lead to the same conclusion.

Figure E.1: Relation Between Application Form Eligibility and Resoultion



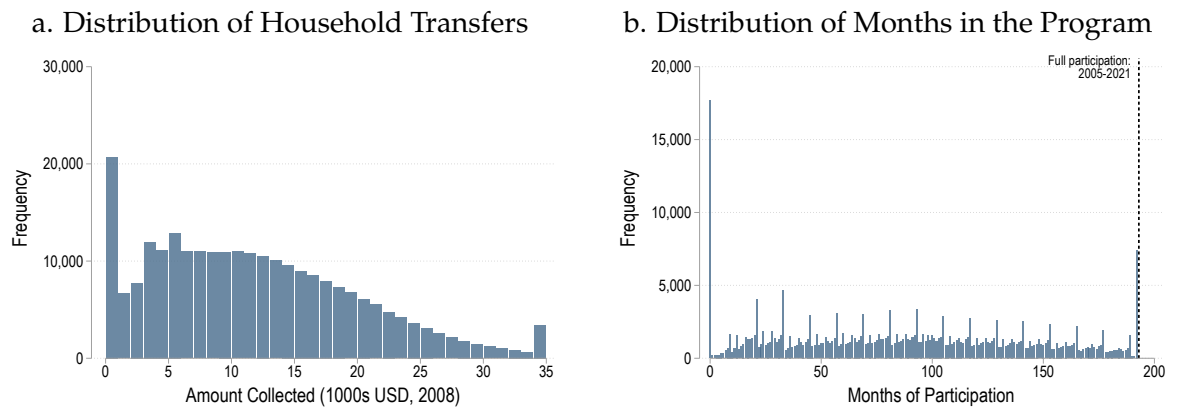
Notes: This figure reports the share of applications that were accepted into the program as a function of the standardized poverty score (Z). Each data point used to construct this figure corresponds to an application form. The sample of interest corresponds to all application forms associated with individuals in the *main sample* as defined in Section 4. Each application form is included only once. Panel (a) shows this relation for the full support of Z . Negative values of Z indicate that the application does not meet the eligibility requirements, while positive values correspond to eligible applications. Each dot represents the bin-level average of the corresponding outcome of interest; after adjusting for the set of covariates $\mathbf{X}$ and $\mathbf{A}$ described in Section 4.1 to maintain consistency across specifications. The number of bins was selected manually such that the number of bins for negative values of Z relative to the number of bins for the positive values of Z represents the distribution of z . Panel (b) focuses on application forms that are located within an optimal bandwidth. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Outcomes are grouped into 20 quantile-spaced bins on each side of the threshold (i.e., about four times the optimal number of bins), following guidance on visual inference in RDD from Korting et al. (2023). In addition, the figure reports the point estimate of the local difference in the outcome of interest at the threshold (τ_{SRD}), based on Equation (17), together with the selected bandwidths and the continuity test p-value, shown in the upper-left corner. Inference is based on robust standard errors clustered at the household level.

Figure E.2: First Stage and Distribution of the Poverty Score for the Full Support



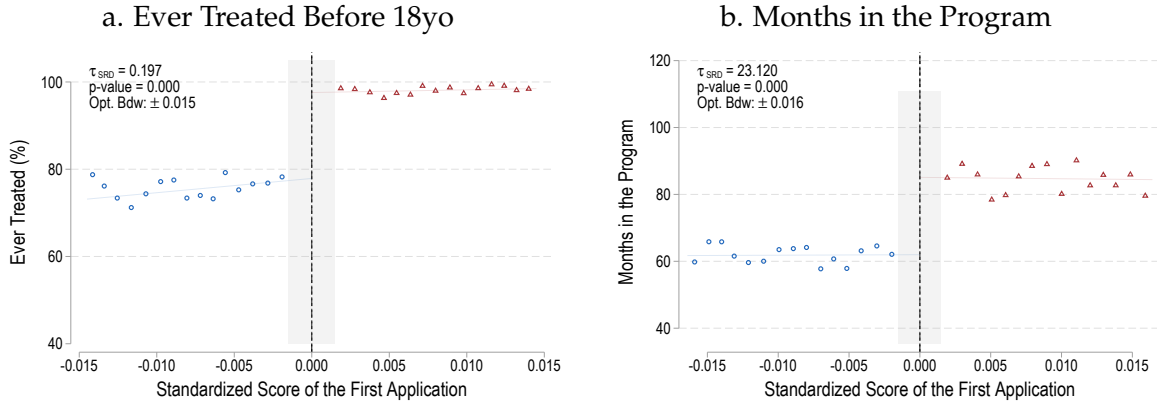
Notes: This figure expands the analysis of the validity of the RDD depicted in Figure 1 in the main text to the full support of the standardized poverty score at first application (Z_i^{1st}). Panel (a) shows the average total benefits received from PANES/AFAM-PE before age eighteen, expressed in 2008 USD (1000s), as a function of the standardized poverty score at first application (Z_i^{1st}), over the full support of Z_i^{1st} , rather than only the optimal bandwidth as in Panel (a) of Figure 1. Negative values of Z_i^{1st} indicate that the application does not meet the eligibility requirements, while positive values correspond to eligible applications. Each dot represents the bin-level average of the corresponding outcome of interest; after adjusting for the set of covariates $\mathbf{X}$ and $\mathbf{\Lambda}$ described in Section 4.1 to maintain consistency across specifications. The number of bins is selected manually such that the number of bins for negative values of Z_i^{1st} relative to the number of bins for positive values of Z_i^{1st} reflects the distribution of Z_i^{1st} . While the figure is depicted over the full support, the RDD estimates reported in the upper-left corner are based on the optimal bandwidth. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. The figure reports the point estimate of the local difference in the outcome of interest at the threshold (τ_{SRD}), based on Equation (17), together with the selected bandwidths and the continuity test p-value, shown in the upper-left corner. The sample corresponds to the *main sample* as defined in Section 4, excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (b) reports the distribution of Z_i^{1st} for the *main sample*, in steps of 1%. For visual convenience, the figure excludes 5% (about 10,000 cases) of individuals whose non-standardized poverty scores lie within 0.1 p.p. of 0 or 1.

Figure E.3: Distribution of Months and Amount Collected from PANES/AFAM-PE



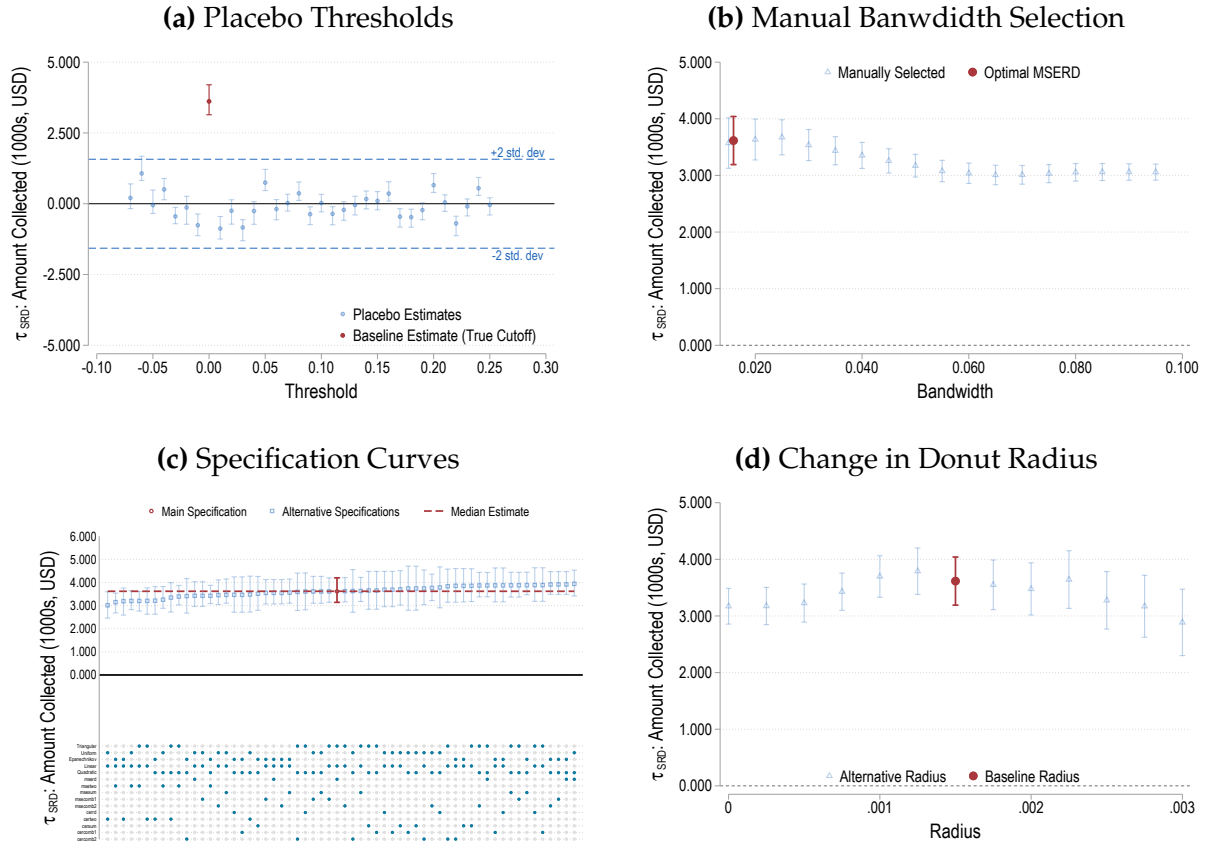
Notes: This figure reports the distribution of program exposure for individuals in the *main sample*. Panel (a) shows the distribution of the total amount of benefits received from PANES/AFAM-PE before age eighteen, expressed in 2008 USD (1000s). The vertical line in Panel (a) indicates the 95th percentile of the distribution, which is used for winsorization across specifications. Panel (b) shows the distribution of cumulative months of participation in the program before age eighteen. The vertical line in Panel (b) indicates full participation over the period 2005–2021. The sample used corresponds to the *main sample* as defined in Section 4, excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach).

Figure E.4: First Stage Estimates for Alternative Definitions of the Endogenous Variable



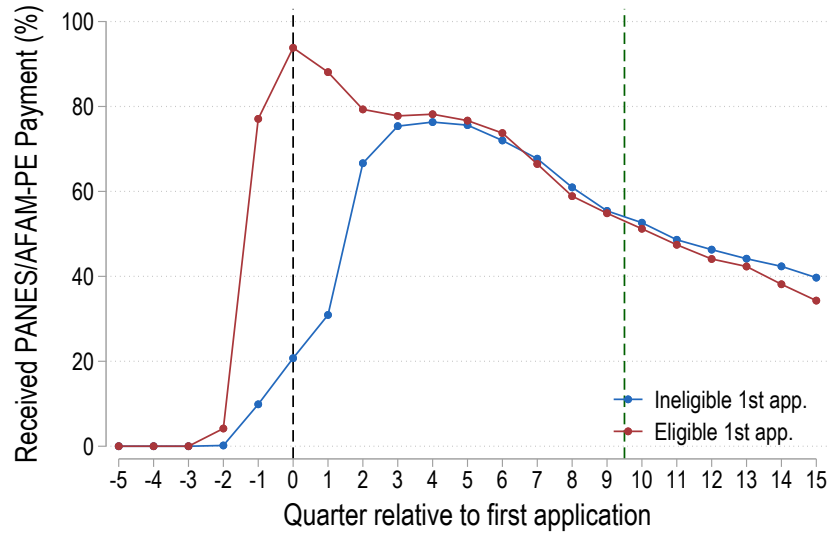
Notes: This figure reports a series of alternative first-stage RDD estimates for individuals in the *main sample*, excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Each panel illustrates the outcome of interest as a function of the standardized poverty score at first application (Z_i^{1st}). Negative values of Z_i^{1st} indicate that the application does not meet the eligibility requirements, while positive values correspond to eligible applications. Each dot represents the bin-level average of the corresponding outcome of interest, after adjusting for the set of covariates $\mathbf{X}$ and $\mathbf{\Lambda}$ described in Section 4.1 to maintain consistency across specifications. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. Average total benefits are grouped into 20 quantile-spaced bins on each side of the threshold (i.e., about four times the optimal number of bins), following guidance on visual inference in RDD from Korting et al. (2023). In addition, the figure reports the point estimate of the local difference in average total benefits at the threshold (τ_{SRD}), based on Equation (16), together with the optimal bandwidth and the continuity test p-value, shown in the upper-left corner. Panel (a) reports the probability of ever receiving PANES/AFAM-PE benefits before age eighteen. This is defined as a binary variable (0, 100) that equals 100 if the individual ever belonged to a household that received at least one month of PANES/AFAM-PE transfers prior to turning eighteen, and 0 otherwise. Panel (b) reports cumulative months of participation in the program before age eighteen. Inference is based on robust standard errors clustered at the household level.

Figure E.5: Robustness Tests: First Stage



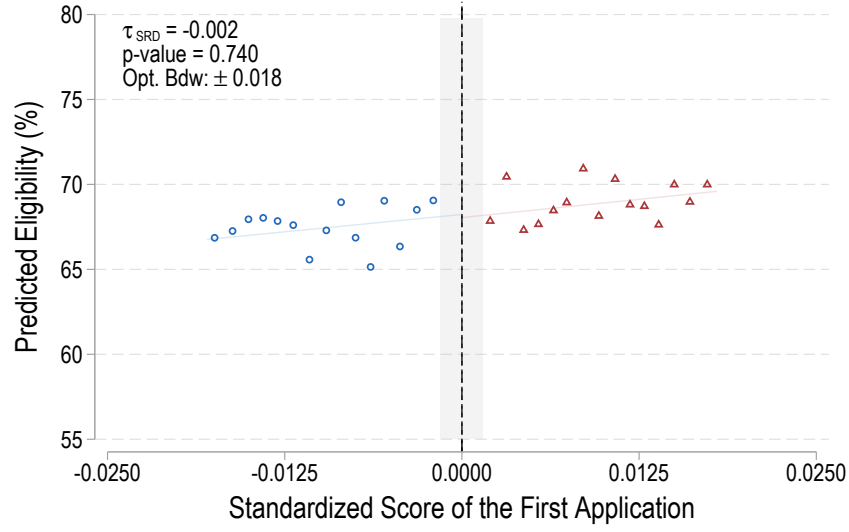
Notes: This figure reports a series of robustness checks for the first-stage RDD estimates using the *main sample*. In all cases, the outcome of interest is average total benefits received from *PANES/AFAM-PE* before age eighteen, expressed in 2008 USD (1000s). All estimates take as the starting point the first-stage specification reported in Figure 1, Panel (a), which is described in detail in the figure notes, and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots different τ_{SRD} obtained under these alternative specifications together with the corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the first-stage regression at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{SRD} obtained by estimating the first-stage regression using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{SRD} obtained by estimating the first-stage regression under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{SRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{SRD} obtained by estimating the first-stage regression under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust standard errors clustered at the household level.

Figure E.6: Trends in Extensive Margin of Participation in *PANES/AFAM-PE*



Notes: This figure illustrates the time dynamics of extensive-margin participation in *PANES/AFAM-PE* close to the eligibility threshold. The analysis is conducted for individuals in the *main sample*, excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). As in Figure 1, panel (c), the horizontal axis reports quarters relative to the first application date, with quarter 0 corresponding to the quarter of first application. For each quarter, a first-stage RDD regression is estimated where the dependent variable is a binary indicator equal to 100 if the individual belongs to a household that receives at least one *PANES/AFAM-PE* transfer in that quarter, and 0 otherwise. The specification follows the extensive-margin first-stage estimates reported in Figure E.4, Panel (a). Each bin reported in the figure corresponds to the lower or upper intercept of the local linear regression underlying the RDD estimation. For illustrative purposes, these estimates are obtained without additional covariates, so that each intercept can be interpreted as the local average participation rate on each side of the threshold for a given quarter.

Figure E.7: Discontinuity in Predicted Eligibility



Notes: This Figure reports a regression discontinuity–based summary test for systematic differences in baseline characteristics at the eligibility threshold. The figure is based on the *main sample*, excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). The outcome is the predicted probability of eligibility, obtained from a probit model that uses first-time eligibility ($1(Z_i^{1st} > 0)$) as the dependent variable and all other observed baseline characteristics $\mathbf{X}$ as regressors. The figure illustrates this predicted eligibility score as a function of the standardized poverty score at first application (Z_i^{1st}). Negative values of Z_i^{1st} indicate that the application does not meet the eligibility requirements, while positive values correspond to eligible applications. Each dot represents the bin-level average of the predicted eligibility score, after adjusting for the set of fixed effects $\mathbf{\Lambda}$ described in Section 4.1. In this specification, I omit $\mathbf{X}$ as these are the variables used to compute the predicted eligibility score. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. The outcome is grouped into 20 quantile-spaced bins on each side of the threshold (i.e., about four times the optimal number of bins), following guidance on visual inference in RDD from Korting et al. (2023). The figure also reports the point estimate of the local difference in predicted eligibility at the threshold (τ_{SRD}), together with the selected bandwidths and the continuity test p-value, shown in the upper-left corner. Inference is based on robust standard errors clustered at the household level. Analogous continuity tests for each baseline characteristic considered individually are reported in Table 1.

F Further Results on Labor Market Outcomes

Table F.1: Effects on Labor Market Outcomes - Including FE, but no Controls, Baseline Bandwidth and Bias

	Women				Men			
	Last Year		Cumulative		Last Year		Cumulative	
	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.090 (0.079)	0.138* (0.077)	2.141*** (0.625)	1.415*** (0.491)	0.157** (0.067)	0.159* (0.074)	0.591 (0.505)	0.273 (0.481)
Robust p -value	0.287	0.096	0.001	0.007	0.045	0.057	0.263	0.585
Mean Baseline Outcome	4.93	3.72	37.35	24.20	5.22	4.53	47.88	36.07
Effect Size (%)	1.83%	3.70%	5.73%	5.84%	3.00%	3.52%	1.23%	0.76%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.395 (0.277)	0.490* (0.269)	7.492*** (2.367)	4.705** (1.844)	0.437* (0.230)	0.382 (0.258)	0.361 (2.110)	-0.681 (1.911)
Robust p -value	0.149	0.073	0.002	0.014	0.078	0.169	0.775	0.803
Mean Baseline Outcome	4.93	3.72	37.35	24.20	5.22	4.53	47.88	36.07
Effect Size (%)	8.02%	13.17%	20.06%	19.44%	8.36%	8.44%	0.75%	-1.89%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.428*** (0.403)	3.430*** (0.398)	3.394*** (0.423)	3.414*** (0.415)	3.696*** (0.340)	3.674*** (0.356)	3.697*** (0.340)	3.696*** (0.341)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.60	7.59	7.66	7.63	7.47	7.43	7.49	7.48
Effect Size (%)	45.11%	45.19%	44.28%	44.76%	49.45%	49.45%	49.37%	49.42%
Selection of Bandwidth:								
Opt. Bandwidth	[0.018]	[0.018]	[0.016]	[0.017]	[0.020]	[0.019]	[0.020]	[0.020]
Effective Obs.	8,371	8,489	7,848	8,032	10,145	9,443	10,167	10,141

Notes: This table replicates Table 2 in the main text using a specification *with* fixed effects $\mathbf{A}$ but *without* additional control variables $\mathbf{X}$. Columns (1) through (4) correspond to women. Column (1) reports the number of months employed in the last year observed (i.e., August 2022–July 2023), while column (2) reports total labor earnings in the last year. Columns (3) and (4) report analogous outcomes for cumulative months worked and cumulative earnings over the entire observation period. Income/earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Columns (5) through (8) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), except for not including $\mathbf{X}$ as controls, interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), excluding $\mathbf{X}$, corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16), also excluding $\mathbf{X}$. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table F.2: Effects on Labor Market Outcomes - No FE, no Controls, Baseline Bandwidth and Bias

	Women				Men			
	Last Year		Cumulative		Last Year		Cumulative	
	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.076 (0.077)	0.119 (0.076)	1.790** (0.746)	1.160* (0.550)	0.120 (0.062)	0.115 (0.068)	0.001 (0.539)	-0.165 (0.481)
Robust p -value	0.364	0.150	0.025	0.053	0.126	0.167	0.959	0.712
Mean Baseline Outcome	4.93	3.72	37.35	24.20	5.22	4.53	47.88	36.07
Effect Size (%)	1.55%	3.20%	4.79%	4.79%	2.29%	2.53%	0.00%	-0.46%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.395 (0.277)	0.490* (0.269)	7.492*** (2.367)	4.705** (1.844)	0.437* (0.230)	0.382 (0.258)	0.361 (2.110)	-0.681 (1.911)
Robust p -value	0.149	0.073	0.002	0.014	0.078	0.169	0.775	0.803
Mean Baseline Outcome	4.93	3.72	37.35	24.20	5.22	4.53	47.88	36.07
Effect Size (%)	8.02%	13.17%	20.06%	19.44%	8.36%	8.44%	0.75%	-1.89%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.428*** (0.403)	3.430*** (0.398)	3.394*** (0.423)	3.414*** (0.415)	3.696*** (0.340)	3.674*** (0.356)	3.697*** (0.340)	3.696*** (0.341)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.60	7.59	7.66	7.63	7.47	7.43	7.49	7.48
Effect Size (%)	45.11%	45.19%	44.28%	44.76%	49.45%	49.45%	49.37%	49.42%
Selection of Bandwidth:								
Opt. Bandwidth	[0.018]	[0.018]	[0.016]	[0.017]	[0.020]	[0.019]	[0.020]	[0.020]
Effective Obs.	8,371	8,489	7,848	8,032	10,145	9,443	10,167	10,141

Notes: This table replicates Table 2 in the main text, but uses a specification without fixed effects Λ and without additional control variables $\mathbf{X}$. Columns (1) through (4) correspond to women. Column (1) reports the number of months employed in the last year observed (i.e., August 2022–July 2023), while column (2) reports total labor earnings in the last year. Columns (3) and (4) report analogous outcomes for cumulative months worked and cumulative earnings over the entire observation period. Income/earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Columns (5) through (8) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), except for not including Λ or $\mathbf{X}$ as controls, interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), excluding Λ and $\mathbf{X}$, corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16), also excluding Λ and $\mathbf{X}$. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table F.3: Effects on Last Year's Labor Market Outcomes - End. Var.: Months in *PANES/AFAM-PE*

	Women				Men			
	Last Year		Cumulative		Last Year		Cumulative	
	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.012 (0.011)	0.019* (0.011)	0.411*** (0.104)	0.257*** (0.080)	0.025** (0.012)	0.021 (0.013)	0.092 (0.091)	0.012 (0.087)
Robust <i>p</i> -value	0.251	0.081	0.000	0.002	0.044	0.108	0.280	0.824
Mean Baseline Outcome	4.92	3.72	37.21	23.96	5.24	4.51	47.86	36.17
Effect Size (%)	0.23%	0.50%	1.10%	1.07%	0.47%	0.47%	0.19%	0.03%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.223 (0.205)	0.359* (0.211)	7.949*** (1.841)	4.917*** (1.445)	0.521** (0.237)	0.448 (0.265)	1.946 (1.927)	0.248 (1.846)
Robust <i>p</i> -value	0.246	0.077	0.000	0.001	0.038	0.102	0.273	0.823
Mean Baseline Outcome	4.92	3.72	37.21	23.96	5.24	4.51	47.86	36.17
Effect Size (%)	4.52%	9.65%	21.36%	20.52%	9.95%	9.93%	4.07%	0.69%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	19.320*** (1.453)	19.226*** (1.556)	19.363*** (1.853)	19.097*** (1.754)	21.013*** (1.642)	21.216*** (1.722)	21.210*** (1.720)	21.228*** (1.727)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	63.21	63.59	63.23	63.65	61.38	61.64	61.68	61.64
Effect Size (%)	30.56%	30.24%	30.62%	30.00%	34.24%	34.42%	34.39%	34.44%
Selection of Bandwidth:								
Opt. Bandwidth	[0.025]	[0.023]	[0.018]	[0.019]	[0.018]	[0.017]	[0.017]	[0.017]
Effective Obs.	12,448	11,186	8,522	9,270	9,345	8,642	8,660	8,609

Notes: This table replicates Table 2 in the main text, but uses cumulative *months of participation* in *PANES/AFAM-PE* as the endogenous variable in the fuzzy RDD specification. Columns (1) and (2) correspond to women. Column (1) reports the number of months employed in the last year observed (i.e., August 2022–July 2023), while column (2) reports total labor earnings in the last year. Columns (3) and (4) present analogous estimates for men. Income and earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), but this time using the endogenous variable is cumulative months of participation in *PANES/AFAM-PE*. In this case, estimates should be interpreted as the effect of an additional month of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 and 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16), where the first stage relates eligibility to cumulative months of program participation. Following Calónico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calónico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table F.4: Effects on Last Year's Labor Market Outcomes - End. Var.: Ever Treated

	Women				Men			
	Last Year		Cumulative		Last Year		Cumulative	
	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.539 (0.739)	1.225 (0.800)	29.652*** (7.337)	20.391*** (5.793)	0.345 (0.657)	-0.075 (0.640)	-4.681 (4.719)	-6.125 (4.490)
Robust <i>p</i> -value	0.436	0.101	0.000	0.000	0.465	0.965	0.471	0.254
Mean Baseline Outcome	4.92	3.77	37.54	24.48	5.46	4.86	49.89	38.10
Effect Size (%)	10.95%	32.45%	78.98%	83.29%	6.33%	-1.55%	-9.38%	-16.08%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.105 (0.144)	0.238 (0.156)	5.586*** (1.345)	3.862*** (1.076)	0.064 (0.122)	-0.014 (0.119)	-0.869 (0.876)	-1.137 (0.833)
Robust <i>p</i> -value	0.439	0.101	0.000	0.000	0.471	0.965	0.474	0.255
Mean Baseline Outcome	4.92	3.77	37.54	24.48	5.46	4.86	49.89	38.10
Effect Size (%)	2.13%	6.31%	14.88%	15.78%	1.18%	-0.29%	-1.74%	-2.98%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	0.194*** (0.008)	0.195*** (0.009)	0.188*** (0.011)	0.189*** (0.010)	0.186*** (0.007)	0.186*** (0.007)	0.186*** (0.007)	0.186*** (0.007)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	0.76	0.76	0.77	0.77	0.73	0.73	0.73	0.73
Effect Size (%)	25.70%	25.46%	24.57%	24.76%	25.41%	25.45%	25.41%	25.45%
Selection of Bandwidth:								
Opt. Bandwidth	[0.045]	[0.037]	[0.029]	[0.030]	[0.055]	[0.065]	[0.064]	[0.065]
Effective Obs.	22,614	18,688	14,303	15,172	30,610	36,412	35,676	36,306

Notes: This table replicates Table 2 in the main text, but uses an indicator for ever receiving PANES/AFAM-PE during childhood as the endogenous variable in the fuzzy RDD specification. Columns (1) and (2) correspond to women. Column (1) reports the number of months employed in the last year observed (i.e., August 2022–July 2023), while column (2) reports total labor earnings in the last year. Columns (3) and (4) present analogous estimates for men. Income and earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), where the endogenous variable is an indicator for ever receiving PANES/AFAM-PE. In this case, estimates are interpreted as the effect of receiving childhood income support (relative to never receiving it) on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 and 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16), where the first stage relates eligibility to the probability of ever receiving PANES/AFAM-PE. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table F.5: Effects on Last Year's Labor Market Outcomes - Women

	Labor Market Attachment				Earnings Cond. on Emp.	
	Ever Employed (1)	Ever Employed Last Year (2)	Fully Employed Last Year (3)	4-month spell in 2023m7 (4)	Wage 2023m7 (> 0) (5)	Last Year Earnings (> 0) (6)
a. Fuzzy RDD Estimate (τ_{FRD})						
Amount Collected (1000s, USD)	-0.368 (0.652)	0.035 (0.509)	1.955*** (0.698)	1.045* (0.623)	0.004 (0.007)	0.126 (0.082)
Robust <i>p</i> -value	0.659	0.948	0.007	0.089	0.412	0.121
Mean Baseline Outcome	71.74	57.12	26.10	40.85	0.83	6.61
Effect Size (%)	-0.51%	0.06%	7.49%	2.56%	0.49%	1.91%
b. Sharp RDD Estimate (τ_{SRD})						
Elig. 1st. App.	-1.245 (2.208)	0.117 (1.701)	6.676*** (2.319)	3.478* (2.053)	0.013 (0.024)	0.409 (0.263)
Robust <i>p</i> -value	0.658	0.947	0.005	0.085	0.402	0.116
Mean Baseline Outcome	71.74	57.12	26.10	40.85	0.83	6.61
Effect Size (%)	-1.74%	0.20%	25.57%	8.52%	1.57%	6.20%
c. First Stage (τ_{SRD})						
Elig. 1st. App.	3.386*** (0.296)	3.345*** (0.197)	3.414*** (0.312)	3.329*** (0.241)	3.198*** (0.262)	3.245*** (0.287)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.59	7.49	7.65	7.66	6.37	6.96
Effect Size (%)	44.61%	44.69%	44.62%	43.47%	50.20%	46.60%
Selection of Bandwidth:						
Opt. Bandwidth	[0.017]	[0.031]	[0.016]	[0.023]	[0.034]	[0.026]
Effective Obs.	8,276	15,307	7,722	11,221	7,060	7,176

Notes: This table reports additional estimates of the effects of childhood income support on labor market outcomes for *women* in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Columns (1) through (4) correspond to variables that capture labor market attachment. Column (1) reports effects on the probability of ever being employed (i.e., ever having an employment spell lasting at least four consecutive months); column (2) on the probability of being employed for at least one month in the last year; column (3) on the probability of being employed for all 12 months in the last year; and column (4) on the probability of holding a relatively stable job by July 2023 (i.e., being employed with a tenure of at least four months). All outcomes are defined as binary variables taking values 0 or 100, where 100 indicates that the corresponding condition is satisfied. Columns (5) and (6) present estimates for earnings-related variables, conditional on being employed in July 2023. Column (5) reports wages received in July 2023, while column (6) reports cumulative earnings over the period August 2022–July 2023. Both variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table F.6: Effects on Last Year's Labor Market Outcomes - Men

	Labor Market Attachment				Earnings Cond. on Emp.	
	Ever Employed (1)	Ever Employed Last Year (2)	Fully Employed Last Year (3)	4-month spell in 2023m7 (4)	Wage 2023m7 (> 0) (5)	Last Year Earnings (> 0) (6)
a. Fuzzy RDD Estimate (τ_{FRD})						
Amount Collected (1000s, USD)	0.163 (0.553)	0.896 (0.653)	0.963 (0.572)	1.808** (0.667)	-0.014 (0.010)	0.119 (0.108)
Robust p -value	0.722	0.132	0.111	0.011	0.211	0.288
Mean Baseline Outcome	77.96	61.86	25.39	39.14	0.94	7.29
Effect Size (%)	0.21%	1.45%	3.79%	4.62%	-1.45%	1.63%
b. Sharp RDD Estimate (τ_{SRD})						
Elig. 1st. App.	0.540 (1.828)	2.962 (2.146)	3.180 (1.871)	5.970*** (2.149)	-0.043 (0.032)	0.391 (0.350)
Robust p -value	0.719	0.126	0.104	0.009	0.210	0.282
Mean Baseline Outcome	77.96	61.86	25.39	39.14	0.94	7.29
Effect Size (%)	0.69%	4.79%	12.53%	15.25%	-4.52%	5.36%
c. First Stage (τ_{SRD})						
Elig. 1st. App.	3.310*** (0.245)	3.305*** (0.233)	3.302*** (0.236)	3.301*** (0.237)	3.109*** (0.301)	3.280*** (0.326)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.49	7.49	7.49	7.49	6.54	7.09
Effect Size (%)	44.22%	44.09%	44.10%	44.11%	47.55%	46.25%
Selection of Bandwidth:						
Opt. Bandwidth	[0.019]	[0.021]	[0.020]	[0.020]	[0.026]	[0.017]
Effective Obs.	9,760	10,649	10,448	10,322	5,209	5,252

Notes: This table reports additional estimates of the effects of childhood income support on labor market outcomes for *men* in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Columns (1) through (4) correspond to variables that capture labor market attachment. Column (1) reports effects on the probability of ever being employed (i.e., ever having an employment spell lasting at least four consecutive months); column (2) on the probability of being employed for at least one month in the last year; column (3) on the probability of being employed for all 12 months in the last year; and column (4) on the probability of holding a relatively stable job by July 2023 (i.e., being employed with a tenure of at least four months). All outcomes are defined as binary variables taking values 0 or 100, where 100 indicates that the corresponding condition is satisfied. Columns (5) and (6) present estimates for earnings-related variables, conditional on being employed in July 2023. Column (5) reports wages received in July 2023, while column (6) reports cumulative earnings over the period August 2022–July 2023. Both variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table F.7: Effects on Firms' Characteristics - Women

	Log Number of Employees (1)	Log Median Wage (2)	Log Total Wage Bill (3)	Log Firm's Age Since 2005 (4)
a. Fuzzy RDD Estimate (τ_{FRD})				
Amount Collected (1000s, USD)	-0.025 (0.071)	-0.017 (0.082)	0.015 (0.013)	-0.020 (0.022)
Robust p -value	0.561	0.648	0.255	0.310
b. Sharp RDD Estimate (τ_{SRD})				
Elig. 1st. App.	-0.077 (0.219)	-0.051 (0.253)	0.049 (0.042)	-0.062 (0.070)
Robust p -value	0.563	0.650	0.240	0.309
c. First Stage (τ_{SRD})				
Elig. 1st. App.	3.099*** (0.363)	3.098*** (0.353)	3.189*** (0.284)	3.148*** (0.313)
Robust p -value	0.000	0.000	0.000	0.000
Selection of Bandwidth:				
Opt. Bandwidth	[0.021]	[0.022]	[0.030]	[0.026]
Effective Obs.	4,260	4,414	6,231	5,247

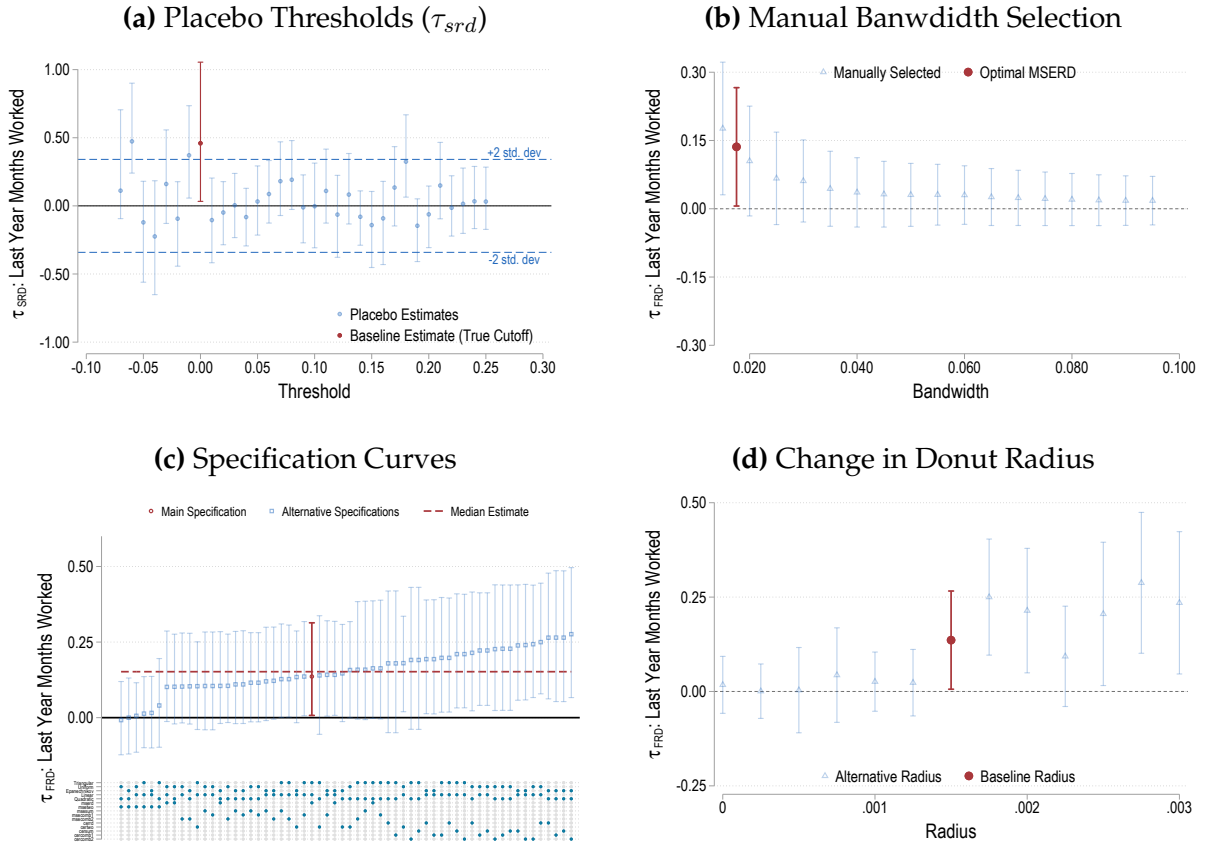
Notes: This table reports additional estimates of the effects of childhood income support on characteristics of the firms in which *women* are employed in July 2023, for those in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Column (1) reports effects on the log number of employees at the employing firm; column (2) on the log median wage paid by the employing firm; column (3) on the log of the total wage bill at the employing firm; and column (4) on the log firm age, measured as the number of consecutive months in which the employing firm has reported positive wages to the social security agency since April 2005. Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively.

Table F.8: Effects on Firms' Characteristics - Men

	Log Number of Employees (1)	Log Median Wage (2)	Log Total Wage Bill (3)	Log Firm's Age Since 2005 (4)
a. Fuzzy RDD Estimate (τ_{FRD})				
Amount Collected (1000s, USD)	-0.005 (0.065)	0.014 (0.073)	-0.013 (0.010)	0.048* (0.029)
Robust p -value	0.969	0.725	0.304	0.076
b. Sharp RDD Estimate (τ_{SRD})				
Elig. 1st. App.	-0.017 (0.202)	0.044 (0.226)	-0.041 (0.032)	0.147* (0.090)
Robust p -value	0.969	0.726	0.290	0.073
c. First Stage (τ_{SRD})				
Elig. 1st. App.	3.098*** (0.368)	3.103*** (0.354)	3.142*** (0.222)	3.100*** (0.371)
Robust p -value	0.000	0.000	0.000	0.000
Selection of Bandwidth:				
Opt. Bandwidth	[0.019]	[0.020]	[0.042]	[0.019]
Effective Obs.	3,796	4,036	8,946	3,744

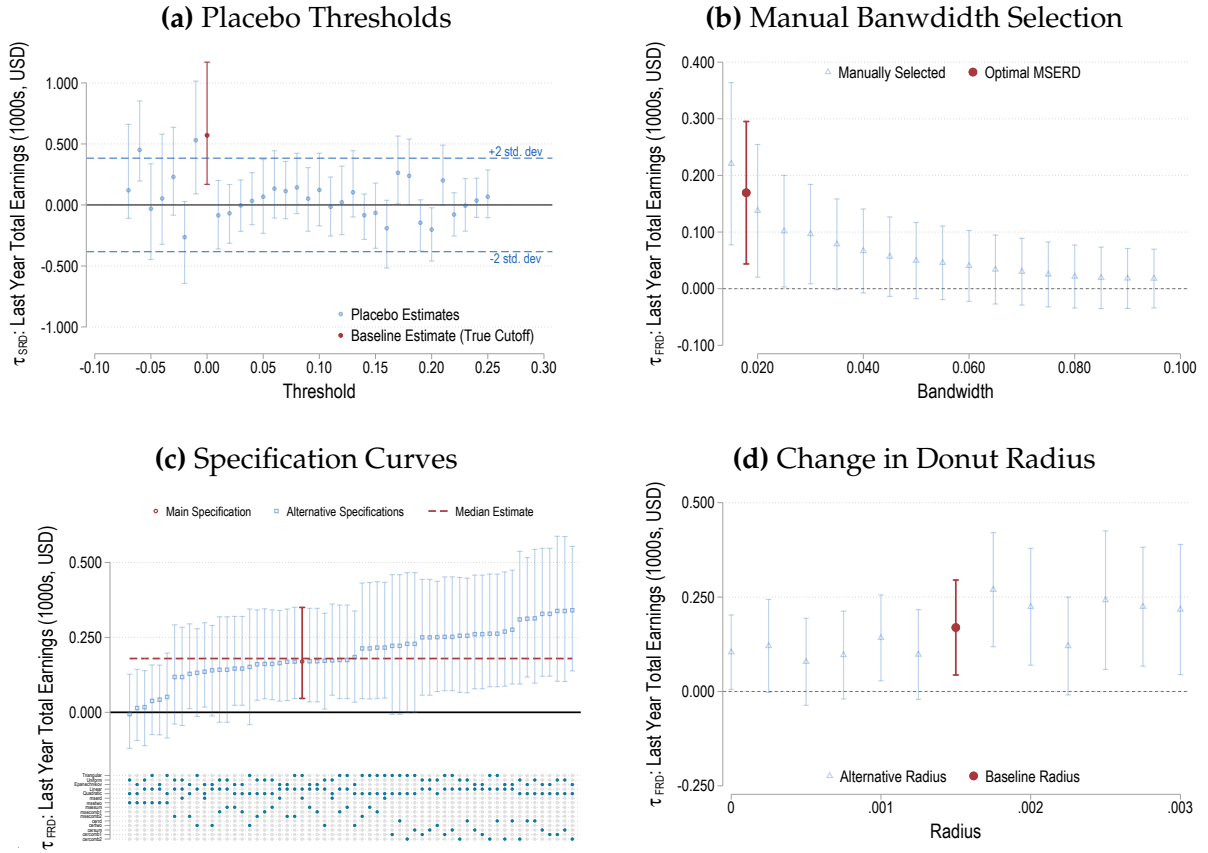
Notes: This table reports additional estimates of the effects of childhood income support on characteristics of the firms in which *men* are employed in July 2023, for those in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Column (1) reports effects on the log number of employees at the employing firm; column (2) on the log median wage paid by the employing firm; column (3) on the log of the total wage bill at the employing firm; and column (4) on the log firm age, measured as the number of consecutive months in which the employing firm has reported positive wages to the social security agency since April 2005. Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively.

Figure F.1: Robustness Tests: Months Worked Last Year, Women



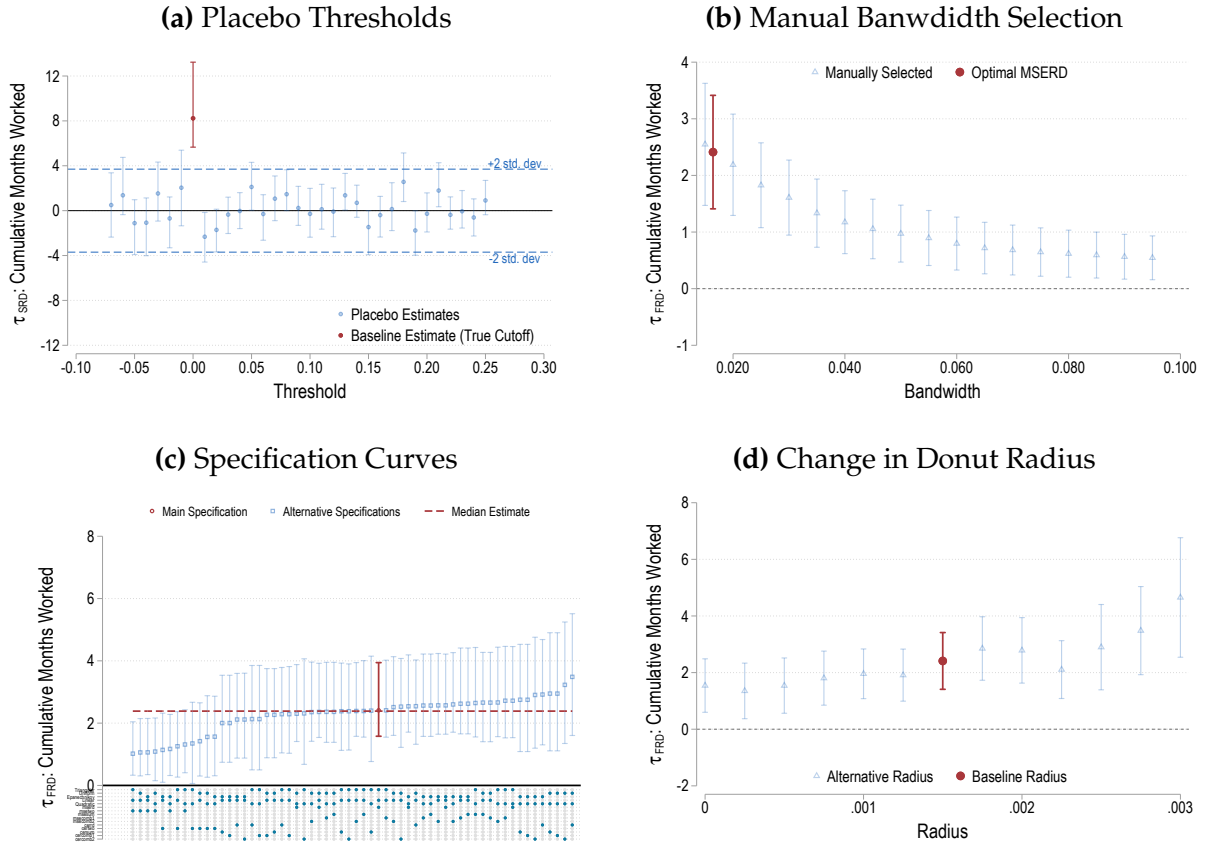
Notes: This figure reports a series of robustness checks for the estimated effects of additional childhood income support on women's months worked in the last year, using the *main sample*. All estimates take as the starting point the baseline model in Equations (15) or (17), and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots the different τ_{SRD} or τ_{FRD} and their corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the reduced-form Equation (17) at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. The reduced-form estimate is reported in this test because, if the RDD is valid, the first-stage at placebo thresholds should be 0, and therefore τ_{FRD} would not be valid. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{FRD} obtained by estimating Equation (15) using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{FRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other error specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust standard errors clustered at the household level.

Figure F.2: Last Year Earnings, Women



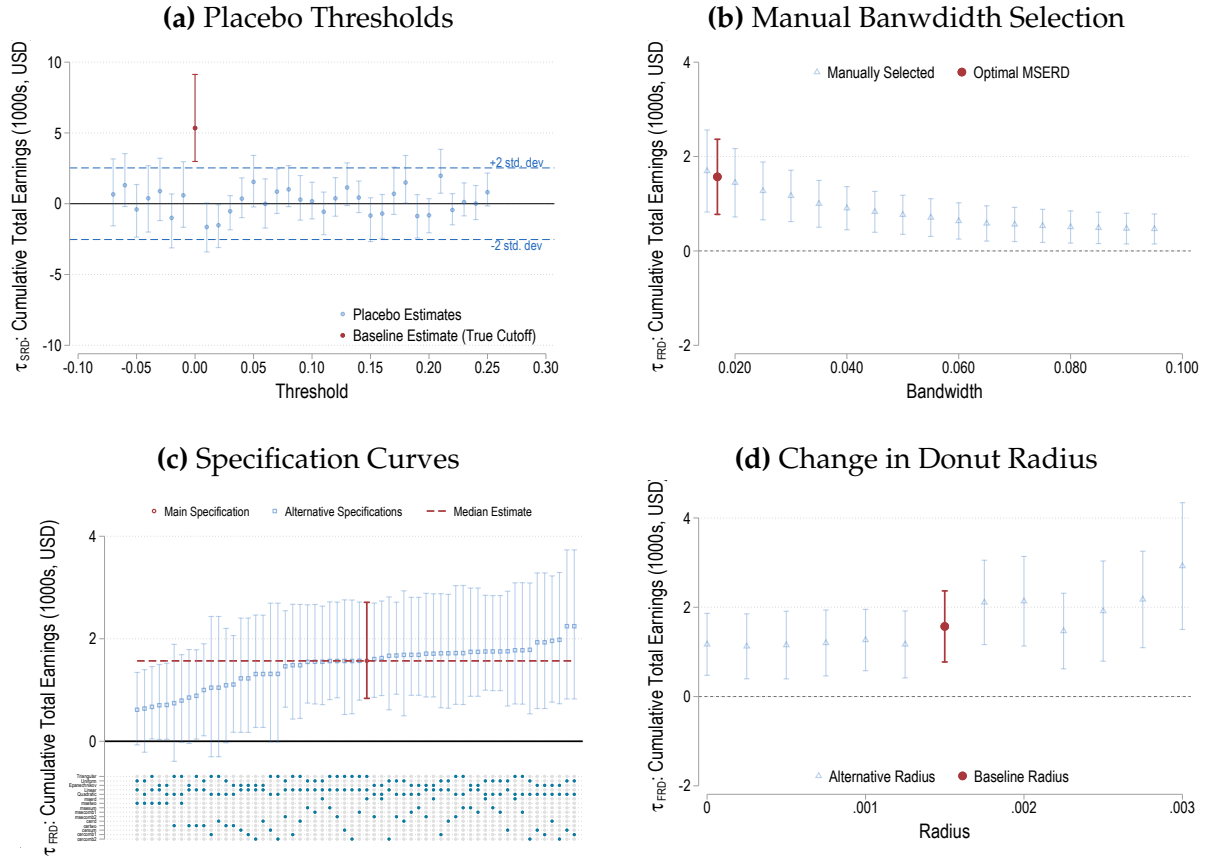
Notes: This figure reports a series of robustness checks for the estimated effects of additional childhood income support on *women's* last year earnings, using the *main sample*. All estimates take as the starting point the baseline model in Equations (15) or (17), and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots the different τ_{SRD} or τ_{FRD} and their corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the reduced-form Equation (17) at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. The reduced-form estimate is reported in this test because, if the RDD is valid, the first-stage at placebo thresholds should be 0, and therefore τ_{FRD} would not be valid. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{FRD} obtained by estimating Equation (15) using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{FRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust errors clustered at the household level. Earnings are expressed in 1000s of USD and are winsorized at the 95th percentile.

Figure F.3: Robustness Tests: Cumulative Months Worked, Women



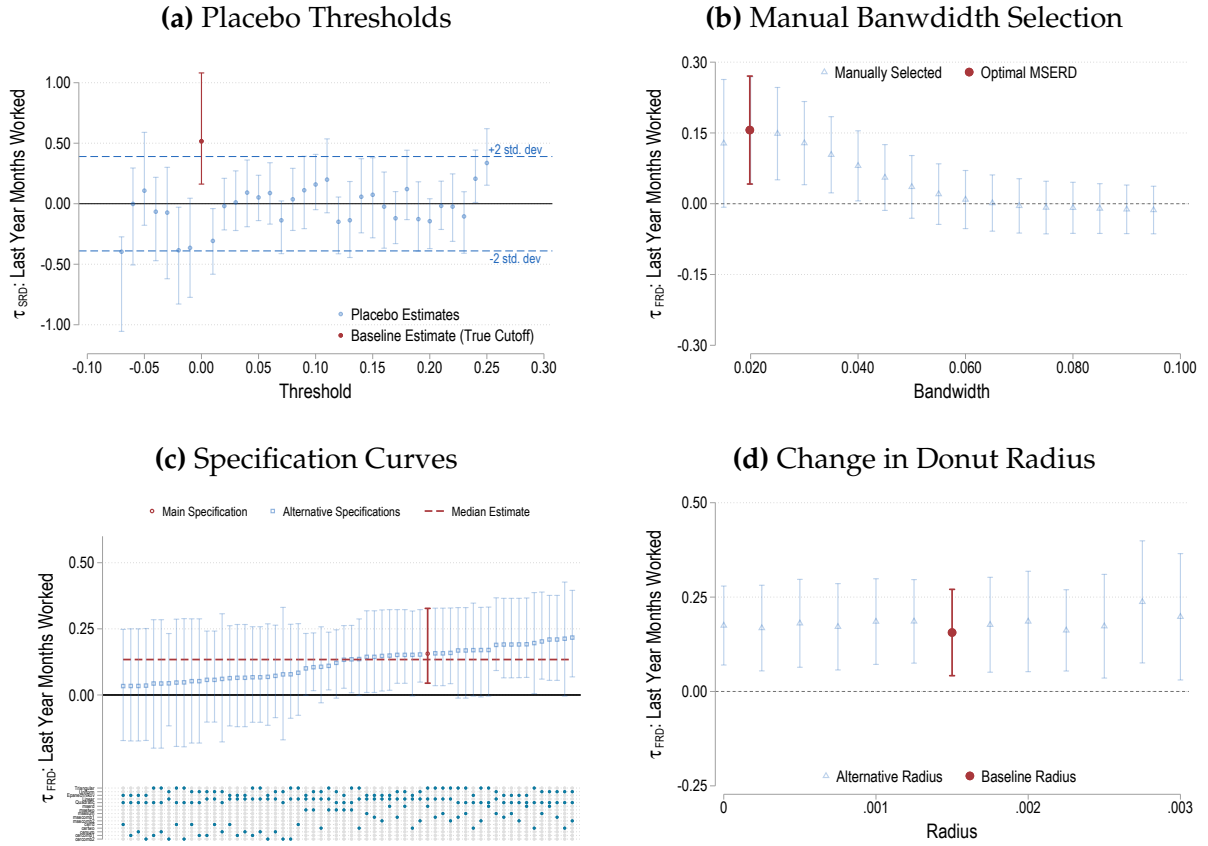
Notes: This figure reports a series of robustness checks for the estimated effects of additional childhood income support on *women's* cumulative months worked, using the *main sample*. All estimates take as the starting point the baseline model in Equations (15) or (17), and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots the different τ_{SRD} or τ_{FRD} and their corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the reduced-form Equation (17) at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. The reduced-form estimate is reported in this test because, if the RDD is valid, the first-stage at placebo thresholds should be 0, and therefore τ_{FRD} would not be valid. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{FRD} obtained by estimating Equation (15) using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{FRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other error specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust standard errors clustered at the household level.

Figure F.4: Cumulative Earnings, Women



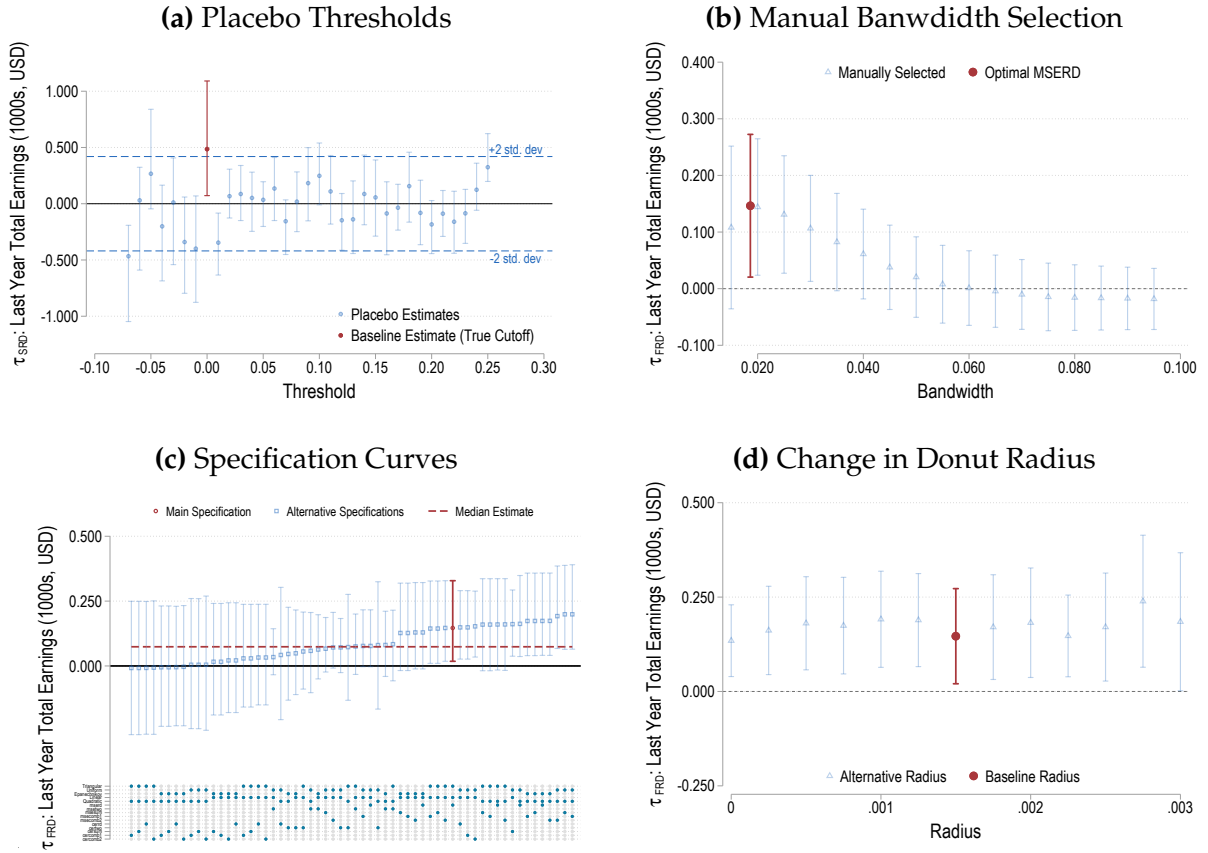
Notes: This figure reports a series of robustness checks for the estimated effects of additional childhood income support on *women's* cumulative earnings, using the *main sample*. All estimates take as the starting point the baseline model in Equations (15) or (17), and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots the different τ_{SRD} or τ_{FRD} and their corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the reduced-form Equation (17) at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. The reduced-form estimate is reported in this test because, if the RDD is valid, the first-stage at placebo thresholds should be 0, and therefore τ_{FRD} would not be valid. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{FRD} obtained by estimating Equation (15) using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{FRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust standard errors clustered at the household level. Earnings are expressed in 1000s of USD and are winsorized at the 95th percentile.

Figure F.5: Robustness Tests: Months Worked Last Year, Men



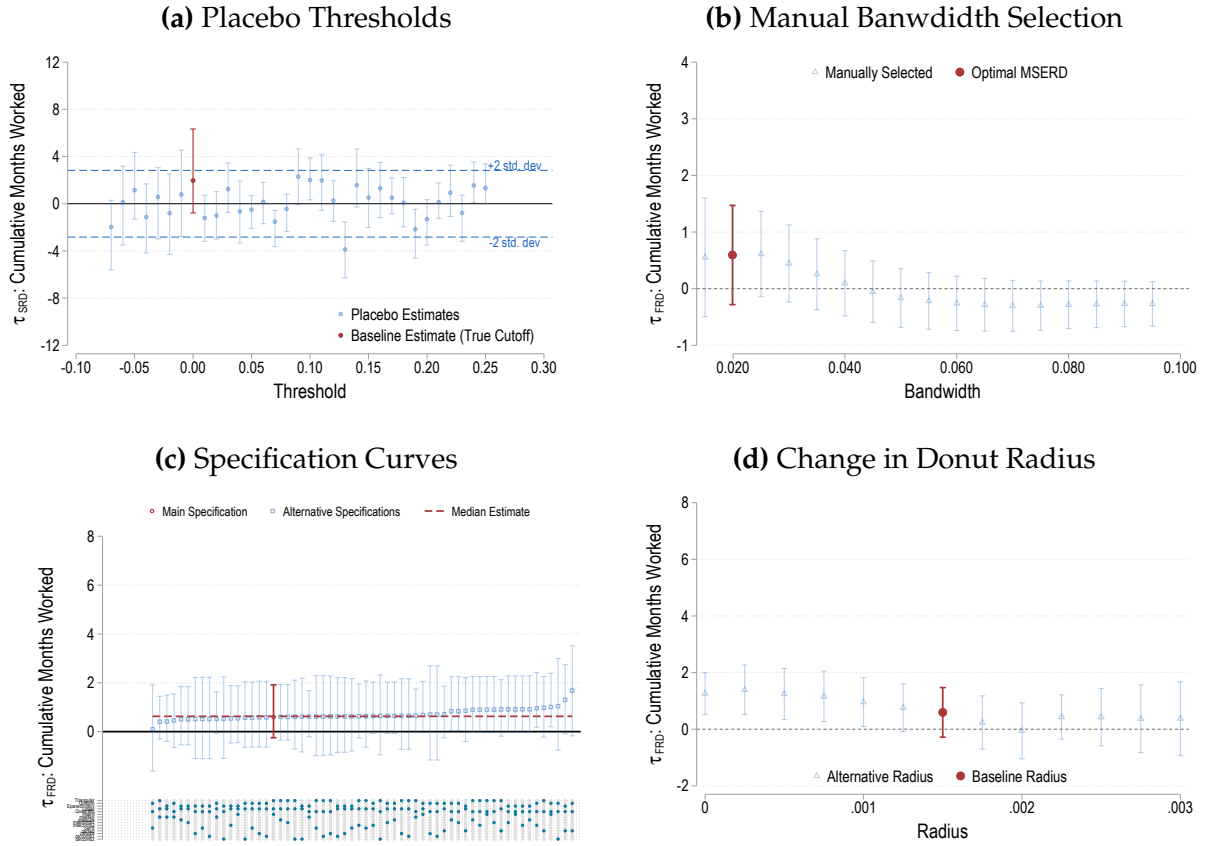
Notes: This figure reports a series of robustness checks for the estimated effects of additional childhood income support on *men's* last year months worked, using the *main sample*. All estimates take as the starting point the baseline model in Equations (15) or (17), and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots the different τ_{SRD} or τ_{FRD} and their corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the reduced-form Equation (17) at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. The reduced-form estimate is reported in this test because, if the RDD is valid, the first-stage at placebo thresholds should be 0, and therefore τ_{FRD} would not be valid. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{FRD} obtained by estimating Equation (15) using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{FRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other error specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust standard errors clustered at the household level.

Figure F.6: Last Year Earnings, Men



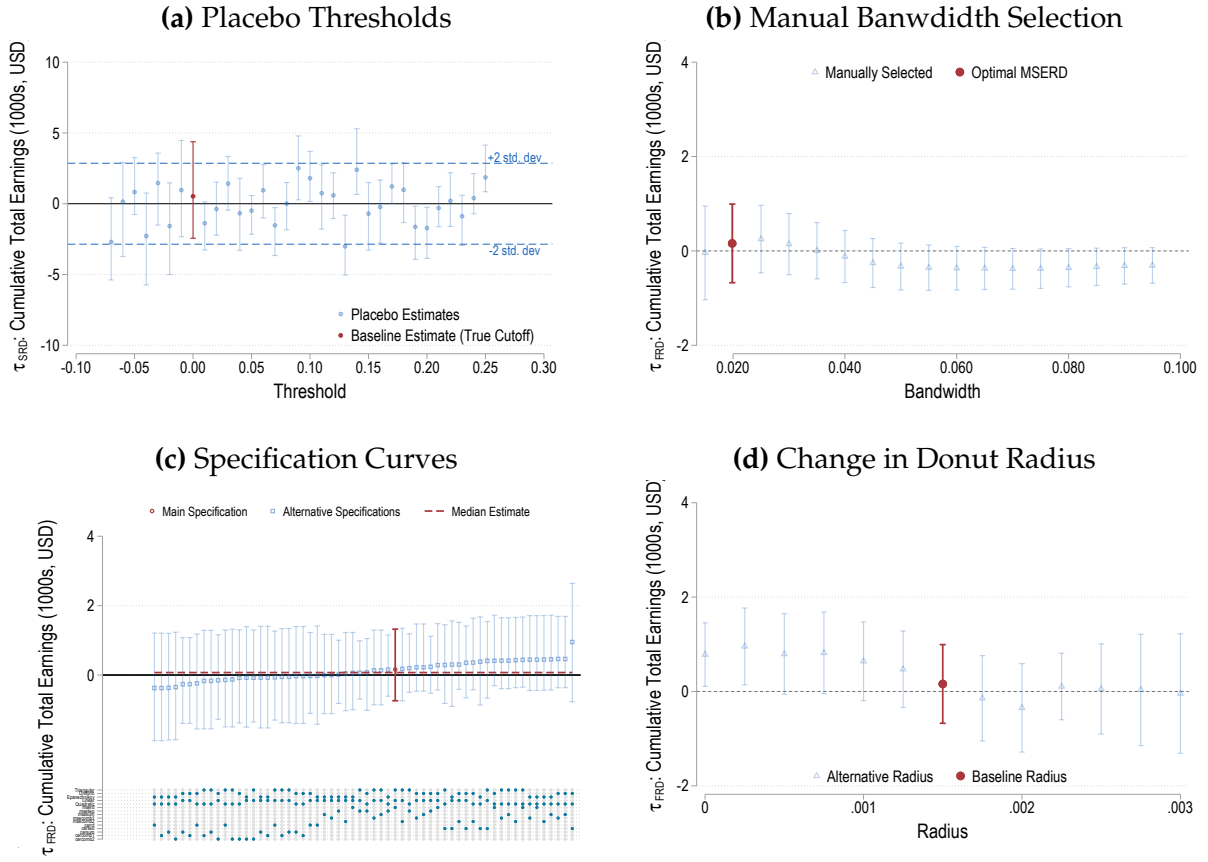
Notes: This figure reports a series of robustness checks for the estimated effects of additional childhood income support on *men's* last year earnings, using the *main sample*. All estimates take as the starting point the baseline model in Equations (15) or (17), and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots the different τ_{SRD} or τ_{FRD} and their corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the reduced-form Equation (17) at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. The reduced-form estimate is reported in this test because, if the RDD is valid, the first-stage at placebo thresholds should be 0, and therefore τ_{FRD} would not be valid. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{FRD} obtained by estimating Equation (15) using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{FRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust standard errors clustered at the household level. Earnings are expressed in 1000s of USD and are winsorized at the 95th percentile.

Figure F.7: Cumulative Months Worked, Men



Notes: This figure reports a series of robustness checks for the estimated effects of additional childhood income support on *men's* cumulative months worked, using the *main sample*. All estimates take as the starting point the baseline model in Equations (15) or (17), and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots the different τ_{SRD} or τ_{FRD} and their corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the reduced-form Equation (17) at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. The reduced-form estimate is reported in this test because, if the RDD is valid, the first-stage at placebo thresholds should be 0, and therefore τ_{FRD} would not be valid. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{FRD} obtained by estimating Equation (15) using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{FRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other error specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust standard errors clustered at the household level.

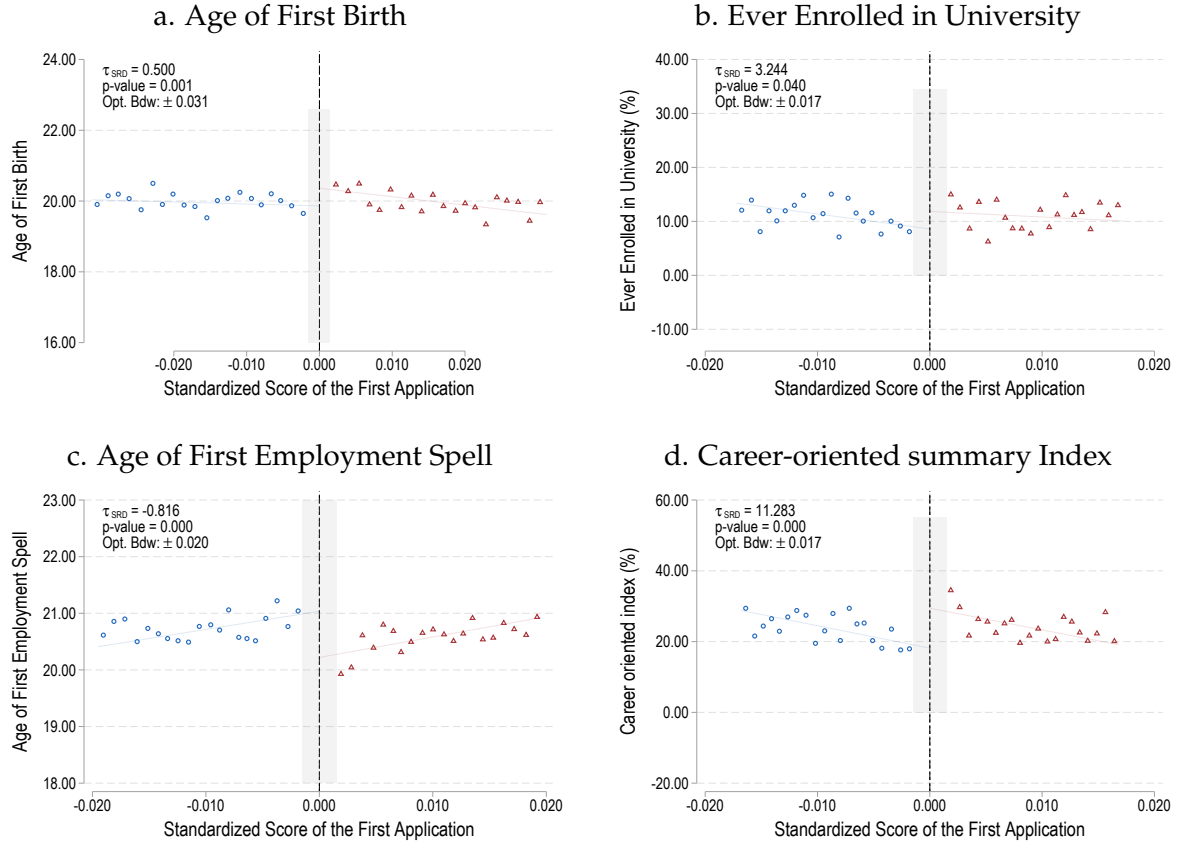
Figure F.8: Cumulative Earnings, Men



Notes: This figure reports a series of robustness checks for the estimated effects of additional childhood income support on *men's* cumulative earnings, using the *main sample*. All estimates take as the starting point the baseline model in Equations (15) or (17), and implement minimal changes to this specification to test the robustness and sensitivity of the baseline estimates to these choices. Each panel plots the different τ_{SRD} or τ_{FRD} and their corresponding confidence intervals. In all cases, the baseline estimate is highlighted separately. This baseline estimate is obtained using local linear regressions with triangular weights, bandwidths selected by minimizing the mean squared error (MSERD), is estimated at the true cutoff for Z_i^{1st} (i.e., 0), and implements a donut RDD that excludes observations within 0.0015 of the threshold. Panel (a) reports different estimates of τ_{SRD} obtained by estimating the reduced-form Equation (17) at placebo thresholds ranging from -0.07 to 0.25 in steps of 0.01 , with all other specification choices held fixed. The reduced-form estimate is reported in this test because, if the RDD is valid, the first-stage at placebo thresholds should be 0, and therefore τ_{FRD} would not be valid. Dashed horizontal lines indicate plus and minus two standard deviations of the distribution of placebo estimates. Panel (b) reports different estimates of τ_{FRD} obtained by estimating Equation (15) using manually selected bandwidths ranging from 0.01 to 0.10 in steps of 0.005 , with all other specification choices held fixed. Panel (c) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative specifications that vary the kernel (triangular, uniform, epanechnikov), the polynomial degree (linear, quadratic), and the bandwidth selection method (mserd, msetwo, msesum, msecomb1, msecomb2, cerrd, certwo, cersum, cercomb1, cercomb2), with all other specification choices held fixed. Each dot in the lower part of the figure indicates the specific set of estimation choices associated with the corresponding estimate, including the kernel, polynomial degree, and bandwidth selection method. Estimates are ordered along the x-axis in increasing order of τ_{FRD} . The horizontal dashed line indicates the median estimate across specifications. Panel (d) reports different estimates of τ_{FRD} obtained by estimating Equation (15) under alternative donut RDD radii ranging from 0 to 0.003 in steps of 0.00025 , with all other specification choices held fixed. Confidence intervals correspond to the 90% level, and inference is based on robust standard errors clustered at the household level. Earnings are expressed in 1000s of USD and are winsorized at the 95th percentile.

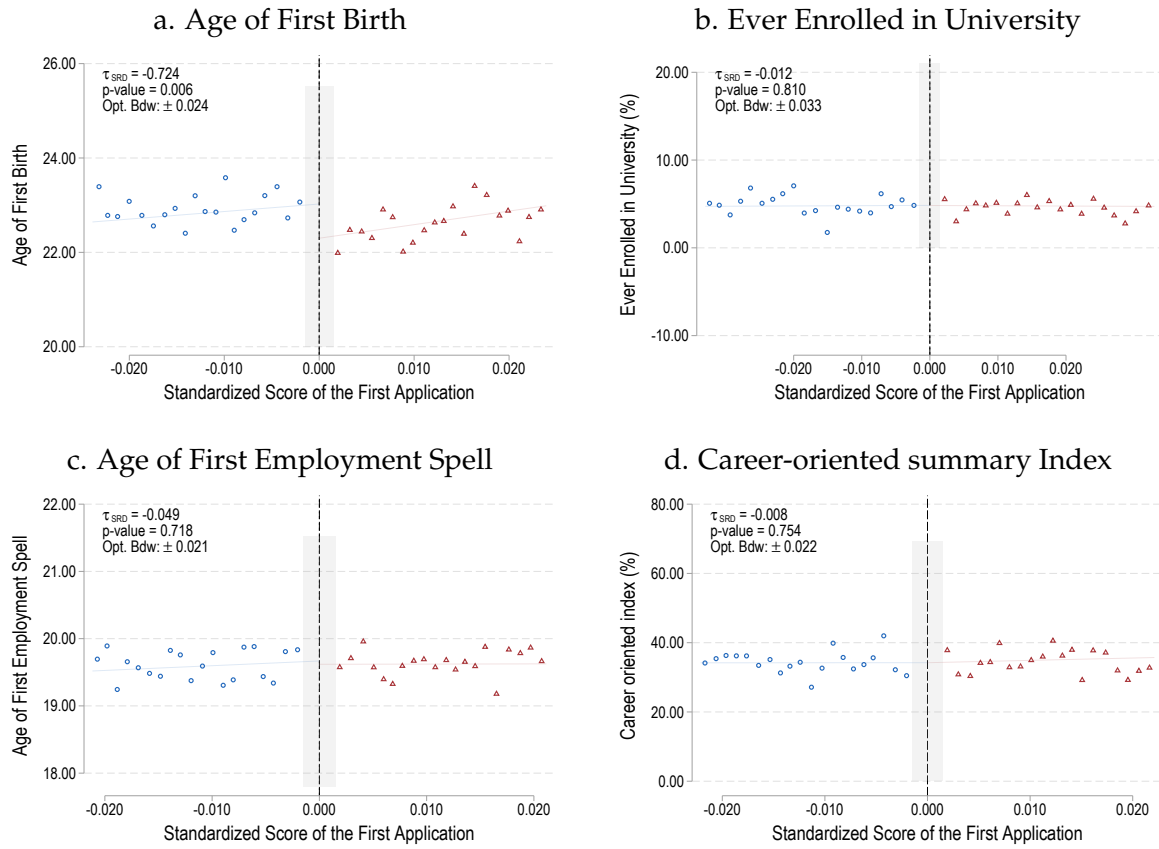
G Further Results on Mechanisms

Figure G.1: Summary of Reduced Form Estimates - Women



Notes: Panels a. through d. depict the reduced form effects on women's four main outcome variables defined in Section ?? . Panel a. corresponds to estimates of the effect of the program on a continuous variable that measures the age in which the individual had their first child. Panel b. reports the effects on enrollment in higher-education. This variable takes the value of 100 for people who ever enrolled in the largest public university or in tertiary-level technical education programs, and 0 otherwise. Panel c. reports estimates for age of the first employment spell. Employment spells are considered only if they are comprised of four consecutive months of work in the same firm, to avoid including temporary jobs such as summer jobs. Finally, panel d. reports the effect on a composite index of the three variables that aims to measure transitions that are more market-oriented as opposed to stay-at-home/home care-oriented. The optimal bandwidth used in each figure is computed in the Fuzzy RDD estimation reported in Table 3. For the other elements in the figure, default options are selected: local linear regressions and triangular weights. Average outcomes are computed within each one of the 20 quantile-spaced bins at each side of the threshold. In addition, the figure reports the point estimates of the local differences just at the threshold (τ_{SRD}), the optimal bandwidth, and the continuity test p-value.

Figure G.2: Summary of Reduced Form Estimates - Men



Notes: Panels a. through d. depict the reduced form effects on men's four main outcome variables defined in Section ???. Panel a. corresponds to estimates of the effect of the program on a continuous variable that measures the age in which the individual had their first child. Panel b. reports the effects on enrollment in higher-education. This variable takes the value of 100 for people who ever enrolled in the largest public university or in tertiary-level technical education programs, and 0 otherwise. Panel c. reports estimates for age of the first employment spell. Employment spells are considered only if they are comprised of four consecutive months of work in the same firm, to avoid including temporary jobs such as summer jobs. Finally, panel d. reports the effect on a composite index of the three variables that aims to measure transitions that are more market-oriented as opposed to stay-at-home/home care-oriented. The optimal bandwidth used in each figure is computed in the Fuzzy RDD estimation reported in Table 3. For the other elements in the figure, default options are selected: local linear regressions and triangular weights. Average outcomes are computed within each one of the 20 quantile-spaced bins at each side of the threshold. In addition, the figure reports the point estimates of the local differences just at the threshold (τ_{SRD}), the optimal bandwidth, and the continuity test p-value.

Table G.1: Other Transition-Related Outcomes

	Women				Men			
	Ever Had a Child (1)	Number of Children (2)	Birth Before 19yo (3)	Job Before 19yo (4)	Ever Had a Child (5)	Number of Children (6)	Birth Before 19yo (7)	Job Before 19yo (8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	-0.992 (0.607)	-0.030** (0.013)	-2.530*** (0.656)	2.249*** (0.635)	-0.193 (0.454)	0.004 (0.008)	0.080 (0.133)	0.387 (0.431)
Robust <i>p</i> -value	0.120	0.031	0.000	0.000	0.807	0.631	0.509	0.356
Mean Baseline Outcome	55.13	0.90	21.65	17.11	23.63	0.31	1.98	32.02
Effect Size (%)	-1.80%	-3.35%	-11.69%	13.14%	-0.82%	1.45%	4.05%	1.21%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	-3.316 (1.990)	-0.102** (0.042)	-8.571*** (1.975)	7.628*** (2.022)	-0.643 (1.514)	0.015 (0.026)	0.265 (0.439)	1.279 (1.422)
Robust <i>p</i> -value	0.114	0.026	0.000	0.000	0.806	0.628	0.498	0.339
Mean Baseline Outcome	55.13	0.90	21.65	17.11	23.63	0.31	1.98	32.02
Effect Size (%)	-6.02%	-11.33%	-39.59%	44.58%	-2.72%	4.79%	13.38%	4.00%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.344*** (0.276)	3.380*** (0.305)	3.388*** (0.322)	3.392*** (0.315)	3.337*** (0.212)	3.302*** (0.249)	3.306*** (0.174)	3.305*** (0.172)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.57	7.51	7.59	7.59	7.35	7.35	7.15	7.15
Effect Size (%)	44.14%	44.99%	44.64%	44.70%	45.42%	44.93%	46.22%	46.20%
Selection of Bandwidth:								
Opt. Bandwidth	[0.020]	[0.017]	[0.016]	[0.017]	[0.025]	[0.020]	[0.034]	[0.035]
Effective Obs.	9,756	8,368	7,772	8,005	13,245	10,243	18,349	18,702

Notes: This table reports estimates of the effects of additional childhood income support on transition-related outcomes. Columns (1) through (4) correspond to women. Column (1) reports effects on the probability of ever having a child, while column (2) reports effects on the total number of births. Columns (3) and (4) present effects on the two indicators included in the career-oriented index: the probability of giving birth before age 19 and the probability of having a job (measured as being employed for at least four consecutive months) before age 19, respectively. Outcomes for columns (1), (3), and (4) are defined as binary variables taking values 0 or 100, where 100 indicates that the corresponding condition is satisfied. Columns (5) through (8) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table G.2: Employment and Fertility Dynamic Effects - 2SLS Estimates, Women

Age	Dep. Var: Employed At Age					Dep. Var: Birth by Age				
	Estimate (1)	Std. Error (2)	Eff. Size (%) (3)	Opt. Bdw. (4)	Effective Observations (5)	Estimate (6)	Std. Error (7)	Eff. Size (%) (8)	Opt. Bdw. (9)	Effective Observations (10)
15	0.041	(0.042)	216.04	0.026	10,555	-0.432*	(0.284)	-14.63	0.019	7,784
16	0.195*	(0.126)	42.92	0.019	7,900	-1.047**	(0.494)	-13.01	0.018	7,649
17	0.675***	(0.206)	56.25	0.016	7,305	-1.333***	(0.567)	-9.25	0.019	8,784
18	1.595***	(0.613)	12.70	0.018	8,508	-2.528***	(0.792)	-11.67	0.016	7,774
19	1.654***	(0.785)	7.05	0.018	8,439	-1.753**	(0.828)	-6.02	0.017	8,097
20	1.953***	(0.841)	6.75	0.020	8,776	-1.703***	(0.673)	-4.66	0.027	12,462
21	2.717***	(0.986)	7.85	0.020	8,236	-1.893***	(0.780)	-4.37	0.026	11,245
22	2.553***	(0.997)	6.87	0.020	7,999	-1.454**	(0.661)	-2.98	0.033	13,396
23	2.187***	(0.741)	5.39	0.034	12,581	-1.762***	(0.737)	-3.30	0.033	12,145
24	2.873***	(1.082)	6.71	0.023	7,659	-2.606***	(1.039)	-4.47	0.023	7,677
25	2.228**	(1.088)	5.03	0.025	7,411	-2.246***	(0.977)	-3.58	0.026	7,617
26	2.135**	(1.043)	4.60	0.029	7,312	-1.487*	(0.847)	-2.26	0.032	8,214
27	1.410*	(0.996)	2.93	0.032	6,903	-0.918	(0.887)	-1.34	0.031	6,993
28	1.224	(1.014)	2.56	0.040	7,337	-0.795	(0.893)	-1.13	0.039	7,353
29	0.433	(0.739)	0.86	0.106	15,101	0.024	(0.714)	0.03	0.069	11,202
30	-0.054	(1.323)	-0.11	0.040	4,711	0.560	(1.187)	0.75	0.036	4,351

Notes: This table reports age-by-age 2SLS estimates of the effects of additional childhood income support on *women's* employment and fertility outcomes, for ages ranging from 15 to 30. Column (0) indicates the age γ at which effects are estimated. Estimates are based on women in the *main sample*, as defined in Section 4, excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In addition, each row implements a further sample restriction, namely that individuals must be at least γ years old by December 2021, when fertility outcomes are last observed. The endogenous variable is additional childhood income support, measured in 1,000 USD. Separate regressions are estimated for each age γ . Column (1) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest, defined as 100 if the individual was employed for at least four consecutive months at that age, and 0 otherwise. Following Calónico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. Robust standard errors clustered at the household level are reported in column (2). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively, and is based on robust p-values (Calónico et al., 2014). For reference, column (3) reports the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100. Column (4) reports the optimal bandwidth, while column (5) reports the effective number of observations used in the estimation. Columns (6) through (10) follow the same structure, but with the probability of being a parent by age γ as the outcome of interest. In this case, the variable is defined as 100 if the individual has had a child by age γ , and 0 otherwise.

Table G.3: Employment and Fertility Dynamic Effects - Reduced Form Estimates, Women

Age	Dep. Var: Employed At Age					Dep. Var: Birth by Age				
	Estimate (1)	Std. Error (2)	Eff. Size (%) (3)	Opt. Bdw. (4)	Effective Observations (5)	Estimate (6)	Std. Error (7)	Eff. Size (%) (8)	Opt. Bdw. (9)	Effective Observations (10)
15	0.132	(0.136)	699.35	0.026	10,555	-1.373*	(0.894)	-46.48	0.019	7,784
16	0.637*	(0.406)	140.44	0.019	7,900	-3.433**	(1.576)	-42.65	0.018	7,649
17	2.336***	(0.680)	194.62	0.016	7,305	-4.500***	(1.835)	-31.22	0.019	8,784
18	5.392***	(2.002)	42.95	0.018	8,508	-8.566***	(2.386)	-39.54	0.016	7,774
19	5.599***	(2.567)	23.88	0.018	8,439	-5.944**	(2.658)	-20.41	0.017	8,097
20	6.439***	(2.701)	22.23	0.020	8,776	-5.704***	(2.175)	-15.61	0.027	12,462
21	8.451***	(2.938)	24.42	0.020	8,236	-6.037***	(2.409)	-13.92	0.026	11,245
22	7.977***	(3.046)	21.46	0.020	7,999	-4.699***	(2.105)	-9.64	0.033	13,396
23	6.837***	(2.271)	16.83	0.034	12,581	-5.527***	(2.278)	-10.36	0.033	12,145
24	8.809***	(3.246)	20.58	0.023	7,659	-8.070***	(3.142)	-13.85	0.023	7,677
25	6.990**	(3.370)	15.77	0.025	7,411	-7.120***	(3.052)	-11.36	0.026	7,617
26	6.882**	(3.301)	14.84	0.029	7,312	-4.825*	(2.741)	-7.34	0.032	8,214
27	4.484*	(3.148)	9.32	0.032	6,903	-2.942	(2.843)	-4.31	0.031	6,993
28	3.730	(3.081)	7.79	0.040	7,337	-2.429	(2.732)	-3.46	0.039	7,353
29	1.338	(2.283)	2.65	0.106	15,101	0.074	(2.186)	0.10	0.069	11,202
30	-0.163	(3.971)	-0.32	0.040	4,711	1.687	(3.575)	2.27	0.036	4,351

Notes: This table reports age-by-age *reduced-form* estimates of the effects of additional childhood income support on *women's* employment and fertility outcomes, for ages ranging from 15 to 30. Column (0) indicates the age γ at which effects are estimated. Estimates are based on women in the *main sample*, as defined in Section 4, excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In addition, each row implements a further sample restriction, namely that individuals must be at least γ years old by December 2021, when fertility outcomes are last observed. Separate regressions are estimated for each age γ . Column (1) reports reduced-form estimates of the sharp RDD treatment effect, τ_{SRD} , based on Equation (17) on the outcome of interest, defined as 100 if the individual was employed for at least four consecutive months at that age, and 0 otherwise. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification reported in Table G.2. Robust standard errors clustered at the household level are reported in column (2). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively, and is based on robust p-values (Calonico et al., 2014). For reference, column (3) reports the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100. Column (4) reports the optimal bandwidth, while column (5) reports the effective number of observations used in the estimation. Columns (6) through (10) follow the same structure, but with the probability of being a parent by age γ as the outcome of interest. In this case, the variable is defined as 100 if the individual has had a child by age γ , and 0 otherwise.

Table G.4: Employment and Fertility Dynamic Effects - 2SLS Estimates, Men

Age	Dep. Var: Employed At Age					Dep. Var: Birth by Age				
	Estimate (1)	Std. Error (2)	Eff. Size (%) (3)	Opt. Bdw. (4)	Effective Observations (5)	Estimate (6)	Std. Error (7)	Eff. Size (%) (8)	Opt. Bdw. (9)	Effective Observations (10)
15	0.010	(0.104)	2.21	0.032	13,908	-0.001	(0.097)	-0.70	0.019	8,423
16	-0.076	(0.121)	-4.31	0.039	18,276	0.042	(0.114)	12.06	0.023	10,978
17	0.141	(0.283)	4.02	0.021	10,201	-0.058	(0.144)	-6.84	0.023	11,596
18	-0.262	(0.654)	-1.03	0.022	11,619	0.080	(0.156)	4.05	0.034	18,349
19	-0.014	(0.734)	-0.04	0.022	11,072	-0.017	(0.172)	-0.41	0.047	25,794
20	0.535	(0.791)	1.24	0.022	10,682	0.312	(0.360)	4.70	0.026	12,767
21	0.589	(0.836)	1.23	0.022	9,736	0.414	(0.476)	4.21	0.023	10,674
22	-0.208	(0.639)	-0.41	0.034	14,417	0.491	(0.444)	3.57	0.031	13,308
23	0.573	(0.715)	1.09	0.033	12,735	0.586	(0.515)	3.30	0.035	13,922
24	-0.216	(0.665)	-0.40	0.040	13,936	0.464	(0.609)	2.13	0.032	11,200
25	-0.549	(0.669)	-1.01	0.043	13,364	0.467	(0.609)	1.84	0.040	12,575
26	-0.678	(0.759)	-1.22	0.045	12,240	0.650	(0.722)	2.33	0.043	11,776
27	1.602	(1.313)	2.98	0.022	5,071	1.284	(1.042)	4.16	0.030	6,949
28	0.706	(1.201)	1.28	0.035	6,725	1.271	(1.207)	3.83	0.030	5,881
29	-0.252	(1.127)	-0.45	0.045	7,144	0.367	(0.995)	1.00	0.052	8,572
30	-0.464	(1.248)	-0.81	0.052	6,621	0.061	(0.941)	0.16	0.073	9,717

Notes: This table reports age-by-age 2SLS estimates of the effects of additional childhood income support on *men's* employment and fertility outcomes, for ages ranging from 15 to 30. Column (0) indicates the age γ at which effects are estimated. Estimates are based on men in the *main sample*, as defined in Section 4, excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In addition, each row implements a further sample restriction, namely that individuals must be at least γ years old by December 2021, when fertility outcomes are last observed. The endogenous variable is additional childhood income support, measured in 1,000 USD. Separate regressions are estimated for each age γ . Column (1) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest, defined as 100 if the individual was employed for at least four consecutive months at that age, and 0 otherwise. Following Calónico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. Robust standard errors clustered at the household level are reported in column (2). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively, and is based on robust p-values (Calónico et al., 2014). For reference, column (3) reports the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100. Column (4) reports the optimal bandwidth, while column (5) reports the effective number of observations used in the estimation. Columns (6) through (10) follow the same structure, but with the probability of being a parent by age γ as the outcome of interest. In this case, the variable is defined as 100 if the individual has had a child by age γ , and 0 otherwise.

Table G.5: Employment and Fertility Dynamic Effects - Reduced Form Estimates, Men

Age	Dep. Var: Employed At Age					Dep. Var: Birth by Age				
	Estimate (1)	Std. Error (2)	Eff. Size (%) (3)	Opt. Bdw. (4)	Effective Observations (5)	Estimate (6)	Std. Error (7)	Eff. Size (%) (8)	Opt. Bdw. (9)	Effective Observations (10)
15	0.032	(0.331)	7.04	0.032	13,908	-0.002	(0.311)	-2.26	0.019	8,423
16	-0.247	(0.393)	-14.00	0.039	18,276	0.137	(0.375)	39.76	0.023	10,978
17	0.467	(0.935)	13.32	0.021	10,201	-0.190	(0.474)	-22.59	0.023	11,596
18	-0.872	(2.178)	-3.44	0.022	11,619	0.265	(0.518)	13.38	0.034	18,349
19	-0.046	(2.445)	-0.12	0.022	11,072	-0.056	(0.565)	-1.36	0.047	25,794
20	1.783	(2.625)	4.12	0.022	10,682	1.023	(1.180)	15.41	0.026	12,767
21	1.958	(2.766)	4.10	0.022	9,736	1.375	(1.575)	13.97	0.023	10,674
22	-0.681	(2.087)	-1.34	0.034	14,417	1.609	(1.453)	11.71	0.031	13,308
23	1.851	(2.304)	3.53	0.033	12,735	1.889	(1.658)	10.62	0.035	13,922
24	-0.721	(2.222)	-1.35	0.040	13,936	1.539	(2.023)	7.06	0.032	11,200
25	-1.782	(2.176)	-3.27	0.043	13,364	1.523	(1.989)	6.00	0.040	12,575
26	-2.107	(2.361)	-3.79	0.045	12,240	2.021	(2.246)	7.23	0.043	11,776
27	4.732	(3.837)	8.81	0.022	5,071	3.882	(3.143)	12.59	0.030	6,949
28	2.026	(3.434)	3.68	0.035	6,725	3.649	(3.443)	11.01	0.030	5,881
29	-0.724	(3.242)	-1.30	0.045	7,144	1.057	(2.860)	2.89	0.052	8,572
30	-1.279	(3.435)	-2.23	0.052	6,621	0.172	(2.657)	0.45	0.073	9,717

Notes: This table reports age-by-age *reduced-form* estimates of the effects of additional childhood income support on *men's* employment and fertility outcomes, for ages ranging from 15 to 30. Column (0) indicates the age γ at which effects are estimated. Estimates are based on men in the *main sample*, as defined in Section 4, excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In addition, each row implements a further sample restriction, namely that individuals must be at least γ years old by December 2021, when fertility outcomes are last observed. Separate regressions are estimated for each age γ . Column (1) reports reduced-form estimates of the sharp RDD treatment effect, τ_{SRD} , based on Equation (17) on the outcome of interest, defined as 100 if the individual was employed for at least four consecutive months at that age, and 0 otherwise. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification reported in Table G.4. Robust standard errors clustered at the household level are reported in column (2). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively, and is based on robust p-values (Calonico et al., 2014). For reference, column (3) reports the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100. Column (4) reports the optimal bandwidth, while column (5) reports the effective number of observations used in the estimation. Columns (6) through (10) follow the same structure, but with the probability of being a parent by age γ as the outcome of interest. In this case, the variable is defined as 100 if the individual has had a child by age γ , and 0 otherwise.

Table G.6: Labor Market Outcomes - Balanced Sample

	Women				Men			
	Last Year		Cumulative		Last Year		Cumulative	
	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings	Months Employed	Earnings
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.133 (0.093)	0.145 (0.099)	2.665*** (0.912)	1.932*** (0.721)	0.211* (0.116)	0.179* (0.124)	0.867 (1.066)	0.048 (0.982)
Robust <i>p</i> -value	0.140	0.129	0.004	0.008	0.061	0.096	0.256	0.705
Mean Baseline Outcome	5.58	4.64	58.72	38.60	5.85	5.44	75.39	57.32
Effect Size (%)	2.39%	3.11%	4.54%	5.01%	3.62%	3.30%	1.15%	0.08%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.423 (0.296)	0.459 (0.314)	8.537*** (2.878)	6.169*** (2.270)	0.628* (0.342)	0.539* (0.372)	2.608 (3.192)	0.146 (2.964)
Robust <i>p</i> -value	0.136	0.125	0.003	0.007	0.061	0.095	0.253	0.704
Mean Baseline Outcome	5.58	4.64	58.72	38.60	5.85	5.44	75.39	57.32
Effect Size (%)	7.58%	9.88%	14.54%	15.98%	10.75%	9.92%	3.46%	0.25%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.177*** (0.154)	3.173*** (0.152)	3.204*** (0.170)	3.192*** (0.162)	2.972*** (0.188)	3.007*** (0.175)	3.010*** (0.173)	3.018*** (0.169)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	3.06	3.06	3.12	3.09	2.99	2.96	2.94	2.93
Effect Size (%)	103.82%	103.82%	102.83%	103.21%	99.37%	101.67%	102.37%	103.12%
Selection of Bandwidth:								
Opt. Bandwidth	[0.032]	[0.033]	[0.028]	[0.030]	[0.023]	[0.026]	[0.026]	[0.027]
Effective Obs.	7,008	7,135	6,033	6,473	5,268	5,850	5,930	6,188

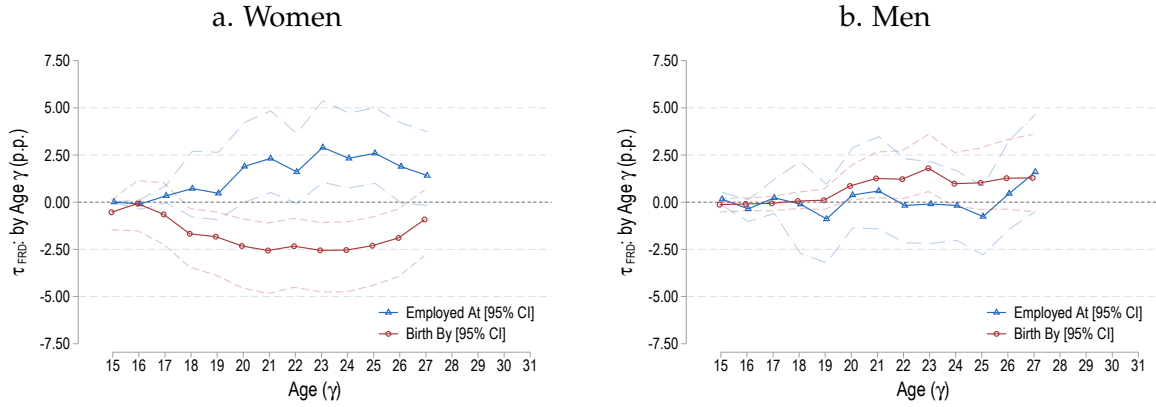
Notes: This table reports estimates of the effects of additional childhood income support on labor market outcomes for the *balanced sample*. Columns (1) through (4) correspond to women. Column (1) reports the number of months employed in the last year observed (i.e., August 2022–July 2023), while column (2) reports total labor earnings in the last year. Columns (3) and (4) report analogous outcomes for cumulative months worked and cumulative earnings over the entire observation period. Income/earnings variables are expressed in 1000s of USD and are winsorized at the 95th percentile. Columns (5) through (8) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *balanced sample*, i.e., individuals who were at least 27 years old by December 2021 (see Section 5.2 for a justification of this sample), excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table G.7: Transition to Adulthood to Outcomes - Balanced Sample

	Women				Men			
	Age of First Birth (1)	Ever Enrolled in University (2)	Age of First Employment (3)	Career-oriented Index (4)	Age of First Birth (5)	Ever Enrolled in University (6)	Age of First Employment (7)	Career-oriented Index (8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.217*** (0.067)	-0.305 (0.481)	-0.250*** (0.072)	0.897 (0.756)	-0.241*** (0.076)	-1.036** (0.432)	-0.031 (0.062)	-0.202 (1.004)
Robust p -value	0.001	0.439	0.001	0.192	0.001	0.019	0.500	0.772
Mean Baseline Outcome	20.84	10.59	21.22	25.26	23.82	4.40	19.76	39.09
Effect Size (%)	1.04%	-2.88%	-1.18%	3.55%	-1.01%	-23.56%	-0.15%	-0.52%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.697*** (0.212)	-0.967 (1.526)	-0.794*** (0.225)	2.902 (2.434)	-0.682*** (0.214)	-3.079** (1.269)	-0.086 (0.174)	-0.606 (3.014)
Robust p -value	0.001	0.435	0.001	0.182	0.001	0.018	0.502	0.772
Mean Baseline Outcome	20.84	10.59	21.22	25.26	23.82	4.40	19.76	39.09
Effect Size (%)	3.34%	-9.13%	-3.74%	11.49%	-2.86%	-70.01%	-0.44%	-1.55%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.219*** (0.170)	3.174*** (0.144)	3.181*** (0.208)	3.236*** (0.169)	2.831*** (0.192)	2.972*** (0.182)	2.827*** (0.170)	2.999*** (0.173)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	3.07	2.98	2.96	3.09	2.53	2.93	2.83	2.90
Effect Size (%)	104.93%	106.57%	107.44%	104.82%	111.73%	101.27%	99.81%	103.36%
Selection of Bandwidth:								
Opt. Bandwidth	[0.034]	[0.035]	[0.024]	[0.028]	[0.046]	[0.024]	[0.029]	[0.025]
Effective Obs.	5,620	7,848	4,305	6,124	4,090	5,463	5,890	5,892

Notes: This table reports estimates of the effects of additional childhood income support on transition-to-adulthood outcomes for the *balanced sample*. Columns (1) through (4) correspond to women. Column (1) reports age at first birth, column (2) reports the probability of ever being enrolled in university as a binary variable (0, 100), and column (3) reports age at first employment. Columns (1) and (3) are conditional on being a parent and on ever being employed, respectively; additional results on extensive-margin responses along these two dimensions are reported in Appendix C. Column (4) reports estimates for the career-oriented index. This index is defined as a binary variable (0, 100) that equals 100 if the individual follows a career-oriented transition to adulthood, and 0 otherwise. An individual is classified as career-oriented if two conditions hold: (i) they did not have a child before age 19, and (ii) they either held their first relatively stable job before age 19, defined as an employment spell of at least four consecutive months, or enrolled in university. Columns (5) through (8) present analogous estimates for men. Estimates are conducted separately for women and men, and are based on individuals in the *balanced sample*, i.e., individuals who were at least 27 years old by December 2021 (see Section 5.2 for a justification of this sample), excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Figure G.3: Employment and Fertility Dynamics in the Balanced Sample



Notes: This Figure reports dynamic 2SLS estimates on employment, and fertility outcomes for the *balanced sample*. Panels (a) and (b) report dynamic 2SLS estimates of employment and fertility outcomes for women and men, respectively, as a function of age. The vertical axis reports the 2SLS estimate of the outcome measured at age γ , while the horizontal axis denotes age γ over the range 15 to 27. Each estimate corresponds to the baseline 2SLS specification in Equation (15) estimated on the *balanced sample*, i.e., individuals who were at least 27 years old by December 2021 (see Section 5.2 for a justification of this sample), excluding individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold, and restricting the sample to individuals who are at least γ years old when last observed. For ages $\gamma < 18$, the endogenous variable is defined as the total amount of program transfers collected prior to age γ . Employment outcomes are defined as a binary variable (0, 100) that equals 100 if the individual is employed at age γ , measured as having at least four consecutive months of employment at that age, and 0 otherwise. Fertility outcomes are defined as a binary variable (0, 100) that equals 100 if the individual has given birth by age γ , and 0 otherwise. Whenever shown, confidence intervals correspond to the 95 percent level, and inference is based on robust standard errors clustered at the household level. Full estimates for Panels (a) and (b) are reported in Tables G.8 through G.11.

Table G.8: Employment and Fertility Dynamic Effects - 2SLS Estimates, Women - Balanced Sample

Age	Dep. Var: Employed At Age					Dep. Var: Birth by Age				
	Estimate (1)	Std. Error (2)	Eff. Size (%) (3)	Opt. Bdw. (4)	Effective Observations (5)	Estimate (6)	Std. Error (7)	Eff. Size (%) (8)	Opt. Bdw. (9)	Effective Observations (10)
15	0.006	(0.009)	.	0.031	4,249	-0.535*	(0.406)	-15.71	0.034	4,755
16	-0.099	(0.128)	-32.25	0.034	5,647	-0.070	(0.676)	-0.82	0.033	5,607
17	0.342*	(0.236)	28.30	0.023	4,353	-0.647	(0.833)	-4.44	0.025	4,913
18	0.720	(0.890)	4.87	0.023	4,900	-1.674**	(0.793)	-7.40	0.030	6,742
19	0.470	(0.911)	1.76	0.034	7,448	-1.826**	(0.854)	-5.74	0.032	7,208
20	1.897*	(1.080)	6.20	0.028	6,104	-2.320***	(0.930)	-5.77	0.031	6,792
21	2.320**	(1.102)	6.25	0.027	5,831	-2.560***	(0.953)	-5.42	0.031	6,824
22	1.604*	(0.944)	4.06	0.034	7,427	-2.330***	(0.931)	-4.43	0.032	7,085
23	2.899***	(1.103)	6.92	0.028	6,039	-2.551***	(0.937)	-4.50	0.031	6,885
24	2.323***	(1.015)	5.19	0.029	6,416	-2.538***	(0.945)	-4.21	0.031	6,794
25	2.591***	(1.019)	5.69	0.031	6,698	-2.304***	(0.926)	-3.63	0.031	6,909
26	1.887*	(1.081)	4.08	0.028	6,230	-1.895**	(0.913)	-2.85	0.031	6,968
27	1.410*	(0.996)	2.93	0.032	6,903	-0.918	(0.887)	-1.34	0.031	6,993

Notes: This table reports age-by-age 2SLS estimates of the effects of additional childhood income support on *women's* employment and fertility outcomes, for ages ranging from 15 to 27. Column (0) indicates the age γ at which effects are estimated. Estimates are based on women in the *balanced sample*, i.e., individuals who were at least 27 years old by December 2021 (see Section 5.2 for a justification of this sample), excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In addition, each row implements a further sample restriction, namely that individuals must be at least γ years old by December 2021, when fertility outcomes are last observed. The endogenous variable is additional childhood income support, measured in 1,000 USD. Separate regressions are estimated for each age γ . Column (1) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest, defined as 100 if the individual was employed for at least four consecutive months at that age, and 0 otherwise. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. Robust standard errors clustered at the household level are reported in column (2). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively, and is based on robust p-values (Calonico et al., 2014). For reference, column (3) reports the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100. Column (4) reports the optimal bandwidth, while column (5) reports the effective number of observations used in the estimation. Columns (6) through (10) follow the same structure, but with the probability of being a parent by age γ as the outcome of interest. In this case, the variable is defined as 100 if the individual has had a child by age γ , and 0 otherwise.

Table G.9: Employment and Fertility Dynamic Effects - Reduced Form Estimates, Women - Balanced Sample

Age	Dep. Var: Employed At Age					Dep. Var: Birth by Age				
	Estimate (1)	Std. Error (2)	Eff. Size (%) (3)	Opt. Bdw. (4)	Effective Observations (5)	Estimate (6)	Std. Error (7)	Eff. Size (%) (8)	Opt. Bdw. (9)	Effective Observations (10)
15	0.017	(0.026)	.	0.031	4,249	-1.595*	(1.202)	-46.84	0.034	4,755
16	-0.297	(0.384)	-96.81	0.034	5,647	-0.213	(2.045)	-2.46	0.033	5,607
17	1.096*	(0.751)	90.58	0.023	4,353	-2.088	(2.677)	-14.33	0.025	4,913
18	2.303	(2.839)	15.56	0.023	4,900	-5.382**	(2.505)	-23.79	0.030	6,742
19	1.487	(2.878)	5.56	0.034	7,448	-5.840***	(2.711)	-18.34	0.032	7,208
20	6.077**	(3.423)	19.87	0.028	6,104	-7.457***	(2.960)	-18.54	0.031	6,792
21	7.437**	(3.494)	20.04	0.027	5,831	-8.223***	(3.028)	-17.41	0.031	6,824
22	5.076*	(2.979)	12.84	0.034	7,427	-7.461***	(2.958)	-14.19	0.032	7,085
23	9.288***	(3.488)	22.18	0.028	6,039	-8.190***	(2.985)	-14.44	0.031	6,885
24	7.418***	(3.203)	16.58	0.029	6,416	-8.154***	(3.010)	-13.53	0.031	6,794
25	8.257***	(3.197)	18.14	0.031	6,698	-7.395***	(2.948)	-11.66	0.031	6,909
26	6.037**	(3.414)	13.07	0.028	6,230	-6.076**	(2.917)	-9.15	0.031	6,968
27	4.484*	(3.148)	9.32	0.032	6,903	-2.942	(2.843)	-4.31	0.031	6,993

Notes: This table reports age-by-age *reduced-form* estimates of the effects of additional childhood income support on *women's* employment and fertility outcomes, for ages ranging from 15 to 30. Column (0) indicates the age γ at which effects are estimated. Estimates are based on women in the *balanced sample*, i.e., individuals who were at least 27 years old by December 2021 (see Section 5.2 for a justification of this sample), excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In addition, each row implements a further sample restriction, namely that individuals must be at least γ years old by December 2021, when fertility outcomes are last observed. Separate regressions are estimated for each age γ . Column (1) reports reduced-form estimates of the sharp RDD treatment effect, τ_{SRD} , based on Equation (17) on the outcome of interest, defined as 100 if the individual was employed for at least four consecutive months at that age, and 0 otherwise. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification reported in Table G.8. Robust standard errors clustered at the household level are reported in column (2). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively, and is based on robust p-values (Calonico et al., 2014). For reference, column (3) reports the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100. Column (4) reports the optimal bandwidth, while column (5) reports the effective number of observations used in the estimation. Columns (6) through (10) follow the same structure, but with the probability of being a parent by age γ as the outcome of interest. In this case, the variable is defined as 100 if the individual has had a child by age γ , and 0 otherwise.

Table G.10: Employment and Fertility Dynamic Effects - 2SLS Estimates, Men - Balanced Sample

Age	Dep. Var: Employed At Age					Dep. Var: Birth by Age				
	Estimate (1)	Std. Error (2)	Eff. Size (%) (3)	Opt. Bdw. (4)	Effective Observations (5)	Estimate (6)	Std. Error (7)	Eff. Size (%) (8)	Opt. Bdw. (9)	Effective Observations (10)
15	0.159	(0.175)	32.77	0.053	7,844	-0.128	(0.189)	-106.30	0.034	4,874
16	-0.355	(0.295)	-15.59	0.037	6,450	-0.094	(0.172)	-37.94	0.040	7,103
17	0.232	(0.462)	5.15	0.035	7,144	-0.061	(0.195)	-11.49	0.039	8,037
18	-0.104	(1.239)	-0.35	0.023	5,234	0.062	(0.223)	3.88	0.048	11,524
19	-0.890	(1.063)	-2.04	0.031	7,188	0.105	(0.273)	2.96	0.060	14,997
20	0.380	(1.085)	0.76	0.031	7,102	0.860**	(0.455)	13.47	0.034	8,074
21	0.596	(1.246)	1.12	0.026	5,939	1.257**	(0.616)	12.65	0.031	7,318
22	-0.176	(1.136)	-0.33	0.028	6,380	1.218**	(0.650)	8.61	0.035	8,371
23	-0.095	(1.104)	-0.17	0.030	6,802	1.797***	(0.774)	9.74	0.031	7,356
24	-0.177	(0.940)	-0.32	0.039	9,125	0.981*	(0.722)	4.41	0.045	10,834
25	-0.759	(0.933)	-1.38	0.040	9,237	1.025	(0.830)	4.00	0.037	8,790
26	0.455	(1.202)	0.82	0.025	5,750	1.274	(0.938)	4.48	0.031	7,364
27	1.602	(1.313)	2.98	0.022	5,071	1.284	(1.042)	4.16	0.030	6,949

Notes: This table reports age-by-age 2SLS estimates of the effects of additional childhood income support on *men's* employment and fertility outcomes, for ages ranging from 15 to 30. Column (0) indicates the age γ at which effects are estimated. Estimates are based on men in the *balanced sample*, i.e., individuals who were at least 27 years old by December 2021 (see Section 5.2 for a justification of this sample), excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In addition, each row implements a further sample restriction, namely that individuals must be at least γ years old by December 2021, when fertility outcomes are last observed. The endogenous variable is additional childhood income support, measured in 1,000 USD. Separate regressions are estimated for each age γ . Column (1) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest, defined as 100 if the individual was employed for at least four consecutive months at that age, and 0 otherwise. Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. Robust standard errors clustered at the household level are reported in column (2). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively, and is based on robust p-values (Calonico et al., 2014). For reference, column (3) reports the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100. Column (4) reports the optimal bandwidth, while column (5) reports the effective number of observations used in the estimation. Columns (6) through (10) follow the same structure, but with the probability of being a parent by age γ as the outcome of interest. In this case, the variable is defined as 100 if the individual has had a child by age γ , and 0 otherwise.

Table G.11: Employment and Fertility Dynamic Effects - Reduced Form Estimates, Men - Balanced Sample

Age	Dep. Var: Employed At Age					Dep. Var: Birth by Age				
	Estimate (1)	Std. Error (2)	Eff. Size (%) (3)	Opt. Bdw. (4)	Effective Observations (5)	Estimate (6)	Std. Error (7)	Eff. Size (%) (8)	Opt. Bdw. (9)	Effective Observations (10)
15	0.456	(0.501)	94.13	0.053	7,844	-0.368	(0.539)	-304.42	0.034	4,874
16	-1.058	(0.878)	-46.48	0.037	6,450	-0.278	(0.509)	-112.39	0.040	7,103
17	0.692	(1.372)	15.33	0.035	7,144	-0.182	(0.580)	-34.14	0.039	8,037
18	-0.309	(3.680)	-1.04	0.023	5,234	0.188	(0.675)	11.75	0.048	11,524
19	-2.697	(3.228)	-6.18	0.031	7,188	0.314	(0.818)	8.89	0.060	14,997
20	1.151	(3.279)	2.31	0.031	7,102	2.617**	(1.383)	41.02	0.034	8,074
21	1.792	(3.737)	3.38	0.026	5,939	3.808**	(1.859)	38.30	0.031	7,318
22	-0.531	(3.435)	-0.99	0.028	6,380	3.708**	(1.983)	26.21	0.035	8,371
23	-0.287	(3.340)	-0.52	0.030	6,802	5.443***	(2.333)	29.51	0.031	7,356
24	-0.538	(2.856)	-0.98	0.039	9,125	2.976*	(2.192)	13.37	0.045	10,834
25	-2.307	(2.836)	-4.18	0.040	9,237	3.117	(2.523)	12.15	0.037	8,790
26	1.366	(3.602)	2.47	0.025	5,750	3.859	(2.839)	13.57	0.031	7,364
27	4.732	(3.837)	8.81	0.022	5,071	3.882	(3.143)	12.59	0.030	6,949

Notes: This table reports age-by-age *reduced-form* estimates of the effects of additional childhood income support on *men's* employment and fertility outcomes, for ages ranging from 15 to 30. Column (0) indicates the age γ at which effects are estimated. Estimates are based on men in the *balanced sample*, i.e., individuals who were at least 27 years old by December 2021 (see Section 5.2 for a justification of this sample), excluding those whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). In addition, each row implements a further sample restriction, namely that individuals must be at least γ years old by December 2021, when fertility outcomes are last observed. Separate regressions are estimated for each age γ . Column (1) reports reduced-form estimates of the sharp RDD treatment effect, τ_{SRD} , based on Equation (17) on the outcome of interest, defined as 100 if the individual was employed for at least four consecutive months at that age, and 0 otherwise. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification reported in Table G.10. Robust standard errors clustered at the household level are reported in column (2). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively, and is based on robust p-values (Calonico et al., 2014). For reference, column (3) reports the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100. Column (4) reports the optimal bandwidth, while column (5) reports the effective number of observations used in the estimation. Columns (6) through (10) follow the same structure, but with the probability of being a parent by age γ as the outcome of interest. In this case, the variable is defined as 100 if the individual has had a child by age γ , and 0 otherwise.

Columns (1) through (4) include measures of labor-market attachment, such as ever having been employed, having any employment in the last year, being employed all 12 months, and being employed in July 2023. Columns (9) and (10) report effects on earnings conditional on employment, including wages in July 2023 and total earnings in the last year among those with positive earnings.

Table G.12: Effects on Labor Market Mobility and Stability - Men

	Mobility History					Stability in 2023m7		
	Number of Firms (1)	Stayed Same Firm (2)	Low Mobility (3)	Moderate Mobility (4)	High Mobility (5)	Tenure in current job (6)	Log. Tenure in current job (7)	Tenure +2 Year in current job (8)
a. Fuzzy RDD Estimate (τ_{FRD})								
Amount Collected (1000s, USD)	0.023 (0.027)	-0.847 (0.623)	0.330 (0.648)	-0.511 (0.777)	0.139 (0.801)	-1.036 (0.711)	-0.023 (0.015)	-0.708 (0.995)
Robust <i>p</i> -value	0.209	0.217	0.554	0.494	0.921	0.219	0.209	0.577
Mean Baseline Outcome	3.82	12.29	26.72	25.46	47.87	43.70	3.32	48.64
Effect Size (%)	0.60%	-6.89%	1.24%	-2.01%	0.29%	-2.37%	-0.71%	-1.46%
b. Sharp RDD Estimate (τ_{SRD})								
Elig. 1st. App.	0.075 (0.087)	-2.651 (1.926)	1.018 (1.997)	-1.584 (2.397)	0.424 (2.442)	-3.149 (2.144)	-0.072 (0.047)	-2.193 (3.069)
Robust <i>p</i> -value	0.202	0.211	0.557	0.493	0.922	0.203	0.195	0.580
Mean Baseline Outcome	3.82	12.29	26.72	25.46	47.87	43.70	3.32	48.64
Effect Size (%)	1.97%	-21.57%	3.81%	-6.22%	0.89%	-7.21%	-2.18%	-4.51%
c. First Stage (τ_{SRD})								
Elig. 1st. App.	3.267*** (0.158)	3.130*** (0.278)	3.081*** (0.229)	3.099*** (0.275)	3.052*** (0.262)	3.041*** (0.260)	3.076*** (0.223)	3.095*** (0.296)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	7.26	6.64	6.49	6.44	6.42	6.13	6.09	6.52
Effect Size (%)	44.98%	47.12%	47.45%	48.09%	47.53%	49.64%	50.52%	47.48%
Selection of Bandwidth:								
Opt. Bandwidth	[0.038]	[0.017]	[0.023]	[0.017]	[0.019]	[0.034]	[0.045]	[0.026]
Effective Obs.	20,025	6,533	9,333	6,968	7,508	6,127	8,158	5,359

Notes: This table reports estimates of the effects of additional childhood income support on labor market mobility and job stability outcomes for men. Columns (1) through (5) report measures of labor market mobility over the full observation period. Column (1) reports the number of different firms in which the individual held his main position. Column (2) reports the probability of remaining in the same firm when last observed. Columns (3), (4), and (5) report binary indicators of low, moderate, and high mobility, respectively. Low mobility corresponds to having one or two main employers over the entire period, moderate mobility to having three or four employers, and high mobility to having five or more. Columns (6) through (8) report measures of job stability conditional on being employed in July 2023. Column (6) reports tenure in the current job, column (7) reports log tenure in the current job, and column (8) reports a binary indicator equal to 100 if tenure in the current job is at least two years, which corresponds approximately to the median tenure in the data. Estimates are based on men in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17), corresponding to the sharp discontinuities shown in Figures 2 through 3. Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table G.13: Effects by Age of Exposure - Cumulative Earnings

	Age of Exposure				
	0-5 (1)	6-8 (2)	9-12 (3)	13-15 (4)	15+ (5)
a. Fuzzy RDD Estimate (τ_{FRD})					
Amount Collected (1000s, USD)	-0.372 (0.194)	1.146** (0.566)	1.755** (0.755)	0.204 (0.746)	2.151 (1.475)
Robust <i>p</i> -value	0.108	0.041	0.050	0.573	0.120
Mean Baseline Outcome	6.44	16.95	28.73	41.00	46.15
Effect Size (%)	-5.78%	6.76%	6.11%	0.50%	4.66%
b. Sharp RDD Estimate (τ_{SRD})					
Elig. 1st. App.	-1.412* (0.699)	3.226** (1.539)	5.984** (2.513)	0.665 (2.422)	6.019 (4.106)
Robust <i>p</i> -value	0.070	0.030	0.040	0.574	0.120
Mean Baseline Outcome	6.44	16.95	28.73	41.00	46.15
Effect Size (%)	-21.93%	19.04%	20.83%	1.62%	13.04%
c. First Stage (τ_{SRD})					
Elig. 1st. App.	3.795*** (0.514)	2.816*** (0.370)	3.410*** (0.281)	3.251*** (0.139)	2.799*** (0.141)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	13.18	9.86	6.10	2.34	0.52
Effect Size (%)	28.79%	28.56%	55.92%	138.82%	536.68%
Selection of Bandwidth:					
Opt. Bandwidth	[0.032]	[0.037]	[0.036]	[0.061]	[0.039]
Effective Obs.	4,208	4,135	3,857	5,949	2,214

Notes: This table reports estimates of the effects of additional childhood income support on cumulative earnings over the entire observation period for different groups of women based on age of exposure to PANES/AFAM-PE. Columns (1) through (5) correspond to different age groups, defined based on age in April 2005. Column (1) includes individuals aged 0–5 in April 2005, column (2) those aged 6–8, column (3) those aged 9–11, column (4) those aged 12–14, and column (5) those aged 15 or older. Cumulative earnings are expressed in 1000s of USD and are winsorized at the 95th percentile. Estimates are based on women in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on cumulative earnings corresponding to estimates reported in panel (a), Figure 7, in the main text. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17). Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of cumulative earnings for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table G.14: Effects by Age of Exposure - Months Worked

	Age of Exposure				
	0-5 (1)	6-8 (2)	9-12 (3)	13-15 (4)	15+ (5)
a. Fuzzy RDD Estimate (τ_{FRD})					
Amount Collected (1000s, USD)	-0.322 (0.259)	1.636** (0.695)	2.012** (0.888)	0.288 (0.889)	3.463* (1.906)
Robust <i>p</i> -value	0.285	0.017	0.037	0.573	0.055
Mean Baseline Outcome	11.07	26.24	42.32	61.32	73.27
Effect Size (%)	-2.91%	6.24%	4.76%	0.47%	4.73%
b. Sharp RDD Estimate (τ_{SRD})					
Elig. 1st. App.	-1.222 (0.961)	4.661** (1.883)	6.876** (2.953)	0.939 (2.893)	9.675* (5.282)
Robust <i>p</i> -value	0.240	0.010	0.029	0.574	0.054
Mean Baseline Outcome	11.07	26.24	42.32	61.32	73.27
Effect Size (%)	-11.04%	17.76%	16.25%	1.53%	13.20%
c. First Stage (τ_{SRD})					
Elig. 1st. App.	3.792*** (0.508)	2.849*** (0.384)	3.417*** (0.292)	3.256*** (0.137)	2.794*** (0.137)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	13.20	9.92	6.12	2.33	0.50
Effect Size (%)	28.73%	28.71%	55.83%	139.87%	557.52%
Selection of Bandwidth:					
Opt. Bandwidth	[0.033]	[0.035]	[0.034]	[0.063]	[0.041]
Effective Obs.	4,283	3,875	3,636	6,081	2,329

Notes: This table reports estimates of the effects of additional childhood income support on cumulative months worked over the entire observation period for different groups of women based on age of exposure to PANES/AFAM-PE. Columns (1) through (5) correspond to different age groups, defined based on age in April 2005. Column (1) includes individuals aged 0–5 in April 2005, column (2) those aged 6–8, column (3) those aged 9–11, column (4) those aged 12–14, and column (5) those aged 15 or older. Estimates are based on women in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on cumulative months worked corresponding to estimates reported in panel (b), Figure 7, in the main text. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17). Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of cumulative months worked for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table G.15: Effects by Age of Exposure - Age of First Birth

	Age of Exposure				
	0-5 (1)	6-8 (2)	9-12 (3)	13-15 (4)	15+ (5)
a. Fuzzy RDD Estimate (τ_{FRD})					
Amount Collected (1000s, USD)	-0.021 (0.058)	0.088 (0.109)	0.055 (0.081)	0.168* (0.088)	0.506** (0.189)
Robust p -value	0.649	0.334	0.401	0.071	0.014
Mean Baseline Outcome	17.93	19.00	19.81	20.66	22.18
Effect Size (%)	-0.12%	0.46%	0.28%	0.81%	2.28%
b. Sharp RDD Estimate (τ_{SRD})					
Elig. 1st. App.	-0.094 (0.256)	0.178 (0.215)	0.191 (0.278)	0.551* (0.288)	1.376** (0.502)
Robust p -value	0.629	0.319	0.386	0.073	0.011
Mean Baseline Outcome	17.93	19.00	19.81	20.66	22.18
Effect Size (%)	-0.52%	0.94%	0.96%	2.67%	6.21%
c. First Stage (τ_{SRD})					
Elig. 1st. App.	4.443*** (0.963)	2.021*** (0.474)	3.445*** (0.358)	3.286*** (0.194)	2.721*** (0.198)
Robust p -value	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	15.05	10.74	6.47	2.47	0.62
Effect Size (%)	29.51%	18.82%	53.21%	133.15%	441.86%
Selection of Bandwidth:					
Opt. Bandwidth	[0.034]	[0.043]	[0.035]	[0.045]	[0.028]
Effective Obs.	1,169	2,447	2,503	3,141	1,312

Notes: This table reports estimates of the effects of additional childhood income support on age at first birth for different groups of women based on age of exposure to PANES/AFAM-PE. Columns (1) through (5) correspond to different age groups, defined based on age in April 2005. Column (1) includes individuals aged 0–5 in April 2005, column (2) those aged 6–8, column (3) those aged 9–11, column (4) those aged 12–14, and column (5) those aged 15 or older. Estimates are based on women in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on age at first birth corresponding to estimates reported in panel (c), Figure 7, in the main text. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17). Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean age at first birth for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table G.16: Effects by Age of Exposure - Age of First Employment

	Age of Exposure				
	0-5 (1)	6-8 (2)	9-12 (3)	13-15 (4)	15+ (5)
a. Fuzzy RDD Estimate (τ_{FRD})					
Amount Collected (1000s, USD)	-0.071 (0.044)	-0.063 (0.055)	-0.122* (0.073)	-0.188** (0.087)	-0.330** (0.144)
Robust <i>p</i> -value	0.117	0.235	0.077	0.028	0.010
Mean Baseline Outcome	19.73	20.45	20.62	21.18	21.87
Effect Size (%)	-0.36%	-0.31%	-0.59%	-0.89%	-1.51%
b. Sharp RDD Estimate (τ_{SRD})					
Elig. 1st. App.	-0.255* (0.149)	-0.179 (0.154)	-0.418* (0.247)	-0.596** (0.273)	-0.920*** (0.393)
Robust <i>p</i> -value	0.081	0.216	0.071	0.027	0.009
Mean Baseline Outcome	19.73	20.45	20.62	21.18	21.87
Effect Size (%)	-1.29%	-0.88%	-2.03%	-2.82%	-4.20%
c. First Stage (τ_{SRD})					
Elig. 1st. App.	3.609*** (0.726)	2.828*** (0.343)	3.423*** (0.330)	3.176*** (0.206)	2.783*** (0.146)
Robust <i>p</i> -value	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	12.50	8.92	5.89	2.39	0.52
Effect Size (%)	28.87%	31.69%	58.11%	132.64%	538.36%
Selection of Bandwidth:					
Opt. Bandwidth	[0.033]	[0.057]	[0.033]	[0.036]	[0.038]
Effective Obs.	2,108	4,610	2,815	2,712	1,858

Notes: This table reports estimates of the effects of additional childhood income support on age at first job for different groups of women based on age of exposure to PANES/AFAM-PE. Columns (1) through (5) correspond to different age groups, defined based on age in April 2005. Column (1) includes individuals aged 0–5 in April 2005, column (2) those aged 6–8, column (3) those aged 9–11, column (4) those aged 12–14, and column (5) those aged 15 or older. Age at first job is defined as the age at which the individual experiences a spell of at least four consecutive months of employment and is expressed in years. Estimates are based on women in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on age at first job corresponding to estimates reported in panel (c), Figure 7, in the main text. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17). Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust *p*-value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean age at first job for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table G.17: Effects by Age of Exposure - University Enrollment

	Age of Exposure				
	0-5 (1)	6-8 (2)	9-12 (3)	13-15 (4)	15+ (5)
a. Fuzzy RDD Estimate (τ_{FRD})					
Amount Collected (1000s, USD)	1.639** (0.782)	0.411 (0.819)	0.304 (0.666)	0.488 (0.547)	-1.233 (0.955)
Robust p -value	0.026	0.544	0.642	0.500	0.174
Mean Baseline Outcome	11.19	13.01	12.11	10.88	9.74
Effect Size (%)	14.64%	3.16%	2.51%	4.49%	-12.65%
b. Sharp RDD Estimate (τ_{SRD})					
Elig. 1st. App.	6.141** (2.629)	1.140 (2.263)	1.049 (2.301)	1.590 (1.781)	-3.466 (2.673)
Robust p -value	0.013	0.527	0.633	0.503	0.172
Mean Baseline Outcome	11.19	13.01	12.11	10.88	9.74
Effect Size (%)	54.87%	8.77%	8.66%	14.62%	-35.57%
c. First Stage (τ_{SRD})					
Elig. 1st. App.	3.747*** (0.645)	2.774*** (0.360)	3.456*** (0.274)	3.258*** (0.137)	2.812*** (0.140)
Robust p -value	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	12.98	9.74	6.03	2.30	0.54
Effect Size (%)	28.86%	28.49%	57.31%	141.37%	523.85%
Selection of Bandwidth:					
Opt. Bandwidth	[0.023]	[0.039]	[0.037]	[0.063]	[0.039]
Effective Obs.	3,023	4,351	4,005	6,156	2,237

Notes: This table reports estimates of the effects of additional childhood income support on the probability of ever being enrolled in university for different groups of women based on age of exposure to PANES/AFAM-PE. Columns (1) through (5) correspond to different age groups, defined based on age in April 2005. Column (1) includes individuals aged 0–5 in April 2005, column (2) those aged 6–8, column (3) those aged 9–11, column (4) those aged 12–14, and column (5) those aged 15 or older. University enrollment is defined as a binary variable (0, 100) that equals 100 if the woman was ever enrolled in university, and 0 otherwise. Estimates are based on women in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the probability of ever being enrolled in university corresponding to estimates reported in panel (d), Figure 7, in the main text. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17). Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following Calonico et al. (2019), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table (Calonico et al., 2014). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean probability of ever being enrolled in university for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

Table G.18: Labor Market Effects by Early Pregnancy and Education Level

	Dep. Var.: Cumulative Total Earnings (1000s, USD)			Dep. Var.: Cumulative: Months Worked		
	No Early Birth (1)	No Early Birth Max Educ.: Middle School (2)	No Early Birth Max. Educ.: High Educ. (3)	No Early Birth (4)	No Early Birth Max Educ.: Middle School (5)	No Early Birth Max. Educ.: High Educ. (6)
a. Fuzzy RDD Estimate (τ_{FRD})						
Amount Collected (1000s, USD)	0.260 (0.518)	1.118** (0.529)	1.408** (0.594)	0.656 (0.671)	1.630** (0.716)	2.300*** (0.730)
Robust p -value	0.536	0.044	0.011	0.293	0.025	0.001
Mean Baseline Outcome	16.05	18.66	31.69	27.03	32.20	45.85
Effect Size (%)	1.62%	5.99%	4.44%	2.43%	5.06%	5.02%
b. Sharp RDD Estimate (τ_{SRD})						
Elig. 1st. App.	0.854 (1.700)	3.436** (1.617)	4.967*** (2.044)	2.129 (2.163)	4.997** (2.168)	8.178*** (2.443)
Robust p -value	0.519	0.039	0.010	0.267	0.021	0.000
Mean Baseline Outcome	16.05	18.66	31.69	27.03	32.20	45.85
Effect Size (%)	5.32%	18.42%	15.67%	7.88%	15.52%	17.84%
c. First Stage (τ_{SRD})						
Elig. 1st. App.	3.290*** (0.360)	3.073*** (0.286)	3.529*** (0.384)	3.246*** (0.349)	3.066*** (0.283)	3.556*** (0.415)
Robust p -value	0.000	0.000	0.000	0.000	0.000	0.000
Mean Baseline Outcome	8.66	7.08	7.32	8.62	7.05	7.24
Effect Size (%)	37.99%	43.38%	48.22%	37.64%	43.47%	49.12%
Selection of Bandwidth:						
Opt. Bandwidth	[0.037]	[0.036]	[0.021]	[0.039]	[0.037]	[0.019]
Effective Obs.	3,886	5,792	4,851	4,090	5,913	4,248

Notes: This table reports estimates of the effects of additional childhood income support on cumulative earnings and cumulative months worked over the entire observation period for different groups of women defined by fertility and educational trajectories. Columns (1) through (3) report estimates for cumulative earnings, while columns (4) through (6) report estimates for cumulative months worked. Within each outcome, columns correspond to mutually exclusive groups defined as follows: column (1) and column (4) include women who experienced an early birth, defined as having a first child at age 19 or earlier; column (2) and column (5) include women with no early birth whose maximum secondary education grade corresponds to enrollment in middle school; and column (3) and column (6) include women with no early birth whose maximum secondary education grade corresponds to enrollment in high school. Cumulative earnings are expressed in 1000s of USD and are winsorized at the 95th percentile. Estimates are based on individuals in the *main sample*, as defined in Section 4, excluding those with a standardized poverty score at first application within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Panel (a) reports 2SLS estimates of the fuzzy RDD treatment effect, τ_{FRD} , based on Equation (15), interpreted as the effect of an additional USD 1,000 of childhood income support on the corresponding outcome of interest. Panel (b) reports reduced-form estimates, τ_{SRD} , based on Equation (17). Panel (c) reports first-stage estimates, τ_{SRD} , based on Equation (16). Following [Calonico et al. \(2019\)](#), the optimal bandwidth (h) and the bias bandwidth (b) are selected by minimizing the mean squared error (MSERD) using the default options in `rdrobust` and implementing local linear regressions with triangular weights. To maintain a consistent sample across the 2SLS, reduced-form, and first-stage estimations, the optimal and bias bandwidths are computed for the fuzzy RDD specification in Equation (15) and then held fixed for the reduced-form and first-stage estimates. Both the optimal bandwidth used across panels, as well as the effective number of observations used in the estimation, are reported in the bottom rows of the table. Robust standard errors clustered at the household level are reported in parentheses, together with the robust p -value, in each panel of the table ([Calonico et al., 2014](#)). Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively. For reference, each panel also reports the mean baseline outcome, computed as the mean of the corresponding outcome of interest for *ineligible* individuals within the optimal bandwidth range, as well as the effect size expressed in percent terms, computed as the ratio of the corresponding coefficient of interest τ to the mean baseline outcome, multiplied by 100.

H Further Results on Earning Dynamics Around Childbirth

Stacked DiD Approach

The analysis of earning dynamics around childbirth is conducted using a stacked DiD approach ([Wing et al., 2024](#)). The intuition is the following. Pooling mothers who give birth at different ages into a standard event-study implicitly assumes that they are comparable and that childbirth has homogeneous effects on earnings across ages. In practice, this is unlikely to hold:

women who become mothers earlier or later follow very different labor-market trajectories, and childbirth at different ages carries different penalties (e.g., [Gallen et al. 2024](#); [Adda et al. 2017](#)). This makes the setting closer to one with staggered treatment adoption, where standard event-study methods may be biased ([Roth et al., 2023](#); [De Chaisemartin and d’Haultfoeuille, 2023](#)). To overcome these limitations, I follow [Melentyeva and Riedel \(2023\)](#), who propose a stacked DiD design that allows the estimation of age-specific child penalties. The idea is to compare mothers to not-yet-mothers who will give birth in a short time window, using rolling age-at-birth groups. Intuitively, this exploits the strong correlation between age at first birth and labor-market outcomes, ensuring that treated and control units are as comparable as possible. This design also allows me to estimate how child penalties vary by age at birth, which is crucial in the context of fertility postponement.

To implement this approach, I construct a series of stacked datasets following the procedure in [Melentyeva and Riedel \(2023\)](#). For each possible age at first birth between 20 and 29, I treat women who gave birth at that age as a separate “event group” and compare them to not-yet-mothers who will give birth shortly afterward. More precisely, for each age A , I form a sub-dataset that includes (i) women whose first birth occurs at age A (the treated group), and (ii) pre-birth observations of women whose first birth occurs at ages A through $A + G$ (with $G = 3$ in the baseline). This rolling-window structure ensures that treated and control observations are always close in age and therefore more comparable.

A key practical requirement of stacked DiD designs is that each age-at-birth group must be observed over the *entire* pre- and post-birth estimation window; otherwise, different event times would be informed by different subsets of mothers. This motivates the age restrictions used in constructing the stack: women who give birth too early or too late cannot be followed for the full window and therefore cannot contribute to a balanced stack. In my case, using five pre-birth years and up to three not-yet-treated groups implies dropping births before age 19 and restricting the stacked sample to ages 20-29.

Within each sub-dataset, I keep only observations from the years surrounding childbirth (from five years before to three years after) and define a relative-time variable aligning all women by event time. Each sub-dataset receives its own stack identifier, and all stacks are appended into a single long file. In the final stacked dataset, variation in treatment timing is removed by construction, allowing me to estimate age-specific child-penalty patterns while ensuring that treated and control observations at each event time are truly comparable.

To quantify how earnings evolve around childbirth for mothers who give birth at different ages, I estimate a stacked DiD specification of the form:

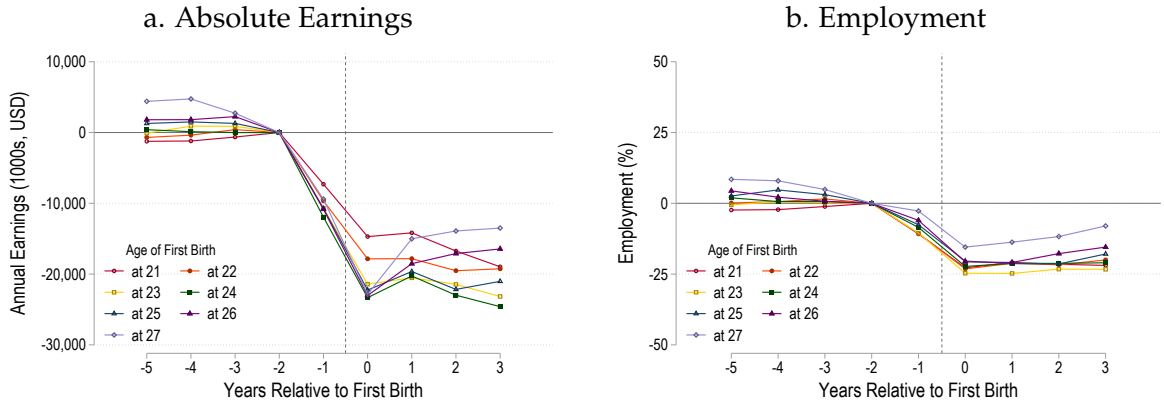
$$Y_{ist} = \sum_{a \in \mathcal{A}} \sum_{l \in \mathcal{L}} \beta_{al} \mathbf{1}\{s = a, t = l\} \cdot \text{Treat}_{is} + \alpha_{is} + \delta_{at} + \gamma_{c(t)} + \varepsilon_{ist}, \quad (\text{H.1})$$

where Y_{ist} denotes annual earnings of woman i in stacked dataset s at event time t , expressed relative to average earnings two years before birth in that stack; $\mathbf{1}\{s = a, t = l\} \cdot \text{Treat}_{is}$ is an indicator equal to one for treated observations belonging to the age-at-first-birth group a observed at relative year l ; β_{al} captures the age-specific child penalty at event time l for mothers whose first birth occurs at age a ; α_{is} are individual fixed effects within each stack, which absorb permanent differences across women; δ_{at} are stack-specific age-by-event-time fixed effects that

flexibly control for life-cycle earnings patterns common to all women in stack a ; and $\gamma_{c(t)}$ are calendar-year fixed effects capturing aggregate labor-market conditions. Standard errors are clustered at the individual level.

The stacked dataset is constructed so that each value of s corresponds to mothers whose first birth occurs at age a , and each t indexes years relative to first birth (e.g., $t = -2$ is two years before birth and $t = 3$ is three years after). For each stack, treated observations are women who give birth at age a , while control observations are pre-birth periods of not-yet-mothers who will give birth at ages $a + 1$ through $a + G$ (with $G = 3$ in the baseline). This ensures that treated and control units are close in age and pre-birth career stage. Because the reference earnings level differs mechanically across stacks, I scale earnings by the stack-specific mean at $t = -2$, allowing the coefficients β_{al} to be interpreted as percentage deviations relative to pre-birth earnings within each age-at-birth group.

Figure H.1: Child Penalty by Age of First Birth - Absolute Earnings and Employment



Notes: This figure reports stacked difference-in-differences estimates of labor market dynamics around childbirth for women, following the same empirical strategy described in Section 5.3. Estimates are based on Equation (18), and the sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27 so that each age-at-first-birth sub-event (s) is observed over the full pre- and post-birth window. Each panel shows estimated coefficients $\beta_{s,t}$ as a function of years relative to first birth (t), where the horizontal axis denotes event time and the vertical axis reports the estimated effect on the outcome of interest. Panel (a) reports estimates for annual labor earnings measured in absolute terms and expressed in USD. Panel (b) reports analogous estimates for employment, defined as a binary variable (0, 100) equal to 100 if the individual is employed in a given year and 0 otherwise. Full estimates are reported in Table H.1

Table H.1: Stacked DiD - Child Penalty by Age

	Dep. Var.: Earnings Relative to t-2 (%)						
	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth
	21 (1)	22 (2)	23 (3)	24 (4)	25 (5)	26 (6)	27 (7)
Event t-5	-9.739*** (2.703)	-4.189 (2.846)	-0.895 (2.961)	1.574 (3.182)	5.159 (3.569)	9.533** (3.769)	17.639*** (4.585)
Event t-4	-9.357*** (2.683)	-2.466 (2.715)	3.940 (2.732)	1.752 (2.865)	6.574** (3.151)	7.407** (3.243)	12.965*** (3.873)
Event t-3	-5.163** (2.329)	2.655 (2.159)	4.277** (2.177)	0.842 (2.170)	3.352 (2.346)	7.201*** (2.321)	8.011*** (2.733)
Event t-1	-56.700*** (2.423)	-53.575*** (2.360)	-44.442*** (2.216)	-41.170*** (2.329)	-31.983*** (2.376)	-27.423*** (2.543)	-26.630*** (2.885)
Event t	-114.652*** (3.097)	-98.740*** (3.005)	-90.425*** (2.912)	-79.838*** (3.094)	-63.660*** (3.241)	-57.617*** (3.498)	-53.458*** (3.831)
Event t+1	-110.837*** (4.303)	-99.092*** (4.096)	-84.291*** (3.975)	-68.182*** (4.087)	-55.813*** (4.302)	-42.932*** (4.635)	-37.346*** (5.172)
Event t+2	-133.546*** (5.925)	-110.198*** (5.415)	-89.694*** (5.148)	-78.959*** (5.368)	-63.479*** (5.621)	-42.036*** (6.078)	-27.544*** (7.151)
Event t+3	-155.981*** (8.062)	-111.513*** (7.267)	-101.127*** (7.055)	-87.038*** (7.210)	-65.903*** (7.739)	-35.077*** (8.129)	-24.737 (15.522)
Observations <i>N</i>	462,362	462,362	462,362	462,362	462,362	462,362	462,362

Notes: This table reports stacked difference-in-differences estimates of earnings dynamics around childbirth for women, following the same empirical strategy described in Section 5.3. Estimates are based on Equation (18), and the sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27 so that each age-at-first-birth sub-event (*s*) is observed over the full pre- and post-birth window. Each row corresponds to an event time relative to first birth, ranging from $t = -5$ to $t = +3$. Each column reports estimates for women who give birth at a specific age, with columns corresponding to ages at first birth from 21 to 27. The dependent variable is annual labor earnings, expressed as a percentage of the within-stack average earnings two years before birth ($t = -2$), which is the omitted reference period. Reported coefficients correspond to the stacked DiD estimates $\beta_{s,t}$ shown in Panel (a) of Figure 5 in the main text. Robust standard errors clustered at the individual level are reported in parentheses. Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively.

Table H.2: Stacked DiD - Child Penalty by Age, Two Groups

	Dep. Var.: Earnings Relative to t-2 (%)	
	Age 1st. Birth	Age 1st. Birth
	21-23 (1)	24-27 (2)
Event t-5	-5.137*** (1.652)	9.705*** (2.273)
Event t-4	-2.739* (1.614)	8.387*** (1.989)
Event t-3	0.638 (1.356)	5.807*** (1.441)
Event t-1	-53.719*** (1.480)	-28.862*** (1.530)
Event t	-105.399*** (1.952)	-58.609*** (2.094)
Event t+1	-102.115*** (2.882)	-46.396*** (3.116)
Event t+2	-115.760*** (4.046)	-47.456*** (4.349)
Event t+3	-127.823*** (5.360)	-47.004*** (6.158)
Observations		
<i>N</i>	462,362	462,362

Notes: This table reports stacked difference-in-differences estimates of earnings dynamics around childbirth for women, following the same empirical strategy described in Section 5.3. Estimates are based on Equation (18), and the sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27 so that each age-at-first-birth sub-event (*s*) is observed over the full pre- and post-birth window. Each row corresponds to an event time relative to first birth, ranging from $t = -5$ to $t = +3$. Columns (1) and (2) correspond to age-groups that are constructed pooling ages 21-23 and 24-27, respectively, to increase statistical precision. The dependent variable is annual labor earnings, expressed as a percentage of the within-stack average earnings two years before birth ($t = -2$), which is the omitted reference period. Reported coefficients correspond to the stacked DiD estimates $\beta_{s,l}$ shown in Panel (b) of Figure 5 in the main text. Estimates are obtained using weights constructed to recover a weighted average treatment effect across age-at-first-birth group sub-events, with weights proportional to group sample shares (Wing et al., 2024; Sun and Abraham, 2021). Robust standard errors clustered at the individual level are reported in parentheses. Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively.

Table H.3: Stacked DiD - Absolute Child Penalty by Age

	Dep. Var.: Earnings 1000s, USD						
	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth
	21 (1)	22 (2)	23 (3)	24 (4)	25 (5)	26 (6)	27 (7)
Event t-5	-1,241.892*** (343.500)	-692.767 (509.377)	-88.569 (703.042)	402.038 (924.929)	1,280.222 (1,199.485)	1,806.287 (1,462.692)	4,407.253** (1,880.660)
Event t-4	-1,194.170*** (341.046)	-371.155 (486.632)	892.872 (651.613)	116.465 (842.811)	1,499.286 (1,070.008)	1,818.286 (1,285.230)	4,746.231*** (1,638.327)
Event t-3	-638.373** (295.966)	410.971 (393.145)	874.990* (526.843)	-4.038 (654.712)	1,287.720 (825.151)	2,248.455** (992.941)	2,731.797** (1,198.688)
Event t-1	-7,297.539*** (312.428)	-9,657.188*** (425.931)	-10,688.514*** (538.786)	-11,954.793*** (701.166)	-10,732.410*** (861.786)	-10,839.953*** (1,078.999)	-9,407.404*** (1,299.803)
Event t	-14,701.634*** (390.369)	-17,846.965*** (533.462)	-21,424.601*** (691.279)	-23,325.457*** (906.763)	-22,254.139*** (1,137.059)	-23,019.523*** (1,429.951)	-22,840.270*** (1,641.679)
Event t+1	-14,173.558*** (543.426)	-17,823.943*** (716.869)	-20,522.572*** (937.029)	-20,262.466*** (1,203.764)	-19,635.396*** (1,501.630)	-18,529.438*** (1,874.140)	-15,012.356*** (2,309.177)
Event t+2	-16,736.871*** (731.927)	-19,521.819*** (939.465)	-21,451.632*** (1,194.399)	-22,984.009*** (1,522.681)	-22,161.882*** (1,870.175)	-17,096.840*** (2,409.851)	-13,908.200*** (3,228.294)
Event t+3	-18,967.407*** (971.504)	-19,256.032*** (1,230.340)	-23,160.379*** (1,559.545)	-24,598.454*** (1,939.874)	-21,026.729*** (2,427.663)	-16,445.213*** (3,268.561)	-13,499.660** (6,827.754)
Observations N	462,362	462,362	462,362	462,362	462,362	462,362	462,362

Notes: This table reports stacked difference-in-differences estimates of earnings dynamics around childbirth for women, following the same empirical strategy described in Section 5.3. Estimates are based on Equation (18), and the sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27 so that each age-at-first-birth sub-event (s) is observed over the full pre- and post-birth window. Each row corresponds to an event time relative to first birth, ranging from $t = -5$ to $t = +3$. Each column reports estimates for women who give birth at a specific age, with columns corresponding to ages at first birth from 21 to 27. The dependent variable is annual labor earnings, expressed in USD 1,000s. Reported coefficients correspond to the stacked DiD estimates $\beta_{s,l}$ shown in Panel (a) of Figure H.1. Robust standard errors clustered at the individual level are reported in parentheses. Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively.

Table H.4: Stacked DiD - Employment Child Penalty by Age

	Dep. Var.: Employed (%)						
	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth	Age 1st. Birth
	21 (1)	22 (2)	23 (3)	24 (4)	25 (5)	26 (6)	27 (7)
Event t-5	-2.380*** (0.676)	0.100 (0.853)	-0.549 (1.129)	1.930 (1.455)	2.600 (1.786)	4.393** (2.058)	8.473*** (2.614)
Event t-4	-2.228*** (0.678)	0.613 (0.890)	0.578 (1.158)	0.610 (1.378)	4.723*** (1.622)	2.152 (1.880)	7.951*** (2.319)
Event t-3	-1.146* (0.670)	1.543* (0.836)	0.198 (1.008)	0.621 (1.178)	3.062** (1.342)	0.720 (1.566)	4.876*** (1.865)
Event t-1	-10.798*** (0.704)	-10.652*** (0.845)	-10.511*** (0.988)	-8.499*** (1.175)	-7.569*** (1.327)	-6.019*** (1.528)	-2.715 (1.832)
Event t	-22.807*** (0.772)	-23.154*** (0.929)	-24.685*** (1.128)	-22.304*** (1.344)	-20.398*** (1.559)	-20.684*** (1.881)	-15.462*** (2.161)
Event t+1	-20.871*** (0.878)	-21.205*** (1.033)	-24.762*** (1.242)	-21.203*** (1.491)	-21.279*** (1.748)	-20.894*** (2.108)	-13.732*** (2.570)
Event t+2	-21.536*** (0.984)	-21.709*** (1.167)	-23.250*** (1.398)	-21.223*** (1.687)	-21.416*** (1.951)	-17.761*** (2.441)	-11.738*** (3.397)
Event t+3	-21.933*** (1.157)	-20.000*** (1.380)	-23.311*** (1.656)	-20.998*** (1.962)	-17.906*** (2.382)	-15.468*** (3.252)	-7.993 (6.900)
Observations N	462,362	462,362	462,362	462,362	462,362	462,362	462,362

Notes: This table reports stacked difference-in-differences estimates of earnings dynamics around childbirth for women, following the same empirical strategy described in Section 5.3. Estimates are based on Equation (18), and the sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27 so that each age-at-first-birth sub-event (s) is observed over the full pre- and post-birth window. Each row corresponds to an event time relative to first birth, ranging from $t = -5$ to $t = +3$. Each column reports estimates for women who give birth at a specific age, with columns corresponding to ages at first birth from 21 to 27. The dependent variable is employment defined as a binary variable that takes the values 0 and 100. Reported coefficients correspond to the stacked DiD estimates $\beta_{s,l}$ shown in Panel (b) of Figure H.1. Robust standard errors clustered at the individual level are reported in parentheses. Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively.

Table H.5: Stacked DiD - RDD: Relative Child Penalty and *PANES/AFAM-PE* Dynamic Effects Around Birth

	Dep. Var.: Earnings Relative to t-2 (%)		
	Eligible Effect: Not-Yet-Mothers (α)	Child Penalty: Ineligible Mothers (γ)	Diff. Child Penalty: Eligible Mothers (β)
	(1)	(2)	(3)
Event t-5	-0.945 (4.394)	4.158 (4.408)	-8.627 (6.420)
Event t-4	-1.973 (2.949)	1.726 (3.879)	-4.005 (5.752)
Event t-3	6.340 (4.146)	10.194* (5.687)	1.501 (8.116)
Event t-1	16.853** (7.610)	-34.872*** (7.753)	-6.731 (11.083)
Event t	23.259** (10.150)	-81.258*** (8.967)	-16.890 (12.811)
Event t+1	27.718* (15.288)	-73.590*** (12.893)	-17.673 (18.134)
Event t+2	34.347 (21.788)	-78.419*** (17.932)	-25.659 (24.584)
Event t+3	52.475* (30.515)	-88.851*** (23.735)	-40.657 (32.648)
Observations <i>N</i>	129,488	129,488	129,488

Notes: This table reports stacked difference-in-differences RDD estimates of earnings dynamics around childbirth for women, following the same empirical strategy described in Section 5.3. Estimates are based on Equation (19). The sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27 so that each age-at-first-birth sub-event (*s*) is observed over the full pre- and post-birth window. Because of the RDD component of the specification, the sample is further restricted to observations within 5 p.p. of the eligibility threshold and excludes individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Each row corresponds to an event time relative to first birth. The dependent variable is annual labor earnings, expressed as a percentage of the within-stack average earnings two years before birth ($t = -2$), which is the omitted reference period. Columns report estimates of the stacked DiD RDD coefficients: α_l , corresponding to the eligibility effect among not-yet-mothers; γ_l , corresponding to the child penalty for ineligible mothers; and β_l , corresponding to the differential child penalty for eligible mothers. Reported coefficients correspond to the estimates shown in Figure 6 in the main text. Estimates are obtained using weights constructed to recover a weighted average treatment effect across age-at-first-birth sub-events, with weights proportional to cohort sample shares (Wing et al., 2024; Sun and Abraham, 2021). Robust standard errors clustered at the individual level are reported in parentheses. Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively.

H.1 Earnings Around Childbirth, Unstacked Data

Panel (c) takes one step back and reports earnings and *PANES/AFAM-PE* effects dynamics around the birth event using the unstacked data. This unstacked DiD–RDD specification pools all mothers together and compares women at the same event time relative to birth, while allowing the effect of program eligibility to evolve flexibly over event time. This approach is useful for visualizing raw earnings patterns around childbirth and for assessing the magnitude and timing of the effects of additional childhood income support.

$$\begin{aligned}
Y_{ia} = & \sum_{l=L_{\min}}^{L_{\max}} \left[\alpha_l \mathbb{1}[\ell_i = l] + \theta_l \mathbb{1}[\ell_i = l] \times \text{Elig}_i \right. \\
& \left. + \phi_l \mathbb{1}[\ell_i = l] \times \text{Score}_i + \psi_l \mathbb{1}[\ell_i = l] \times \text{Score}_i \times \text{Elig}_i \right] \\
& + \gamma_i + \lambda_a + X'_{ia} \delta + \varepsilon_{ia},
\end{aligned} \tag{H.2}$$

where Y_{ia} denotes annual earnings for woman i at age a , expressed relative to her average earnings two years before birth. The term $\ell_i = a - A_i$ is the event time, defined as age relative to the age at first birth A_i . The indicator $\mathbb{1}[\ell_i = l]$ takes value one if i is l years away from childbirth for $l \in \{-5, \dots, 4\}$. $\text{Elig}_i = \mathbb{1}[\text{Score}_i \geq 0]$ is the RDD treatment indicator, and Score_i is the normalized running variable. Individual fixed effects γ_i absorb permanent differences across women, and age fixed effects λ_a control for life-cycle earnings profiles. X_{ia} includes household, demographic, and regional controls. Standard errors are clustered at the individual level.

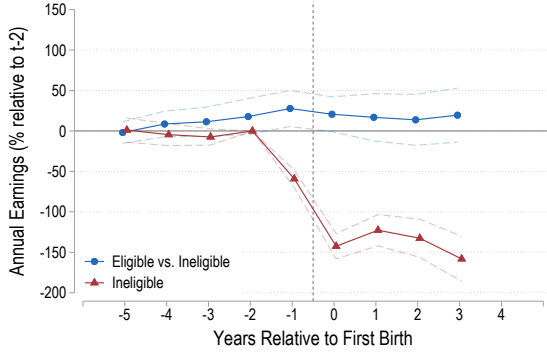
The coefficients θ_l capture reduced-form effects of eligibility at each event time. For instance, θ_0 measures the eligibility effect in the year of childbirth, while θ_3 measures the effect three years after birth. Because identification relies on close comparisons of eligible and ineligible women within a narrow score bandwidth and at the same event time, these coefficients can be interpreted as causal effects of additional income support on earnings dynamics around childbirth.

First, the figure depicts the evolution of relative earnings for ineligible women who became mothers at event 0 (θ coefficients in Equation XX). This reflects the dynamics of labor market earnings for ineligible mothers around birth, in the way that the child-penalty literature does. The patterns are as expected, as women's earnings drop largely at time of childbirth. Second, the figure depicts the differential effect for eligible mothers (i.e., θ coefficients in Equation XX). Essentially, these coefficients describe the differential effects on earnings around birth for eligible mothers or, in other words, the RDD dynamic effects of additional childhood income support around childbirth. This figure illustrates that women who received additional income support during childhood experience increasing labor market gains up to childbirth, after which the effects on earnings flatten.

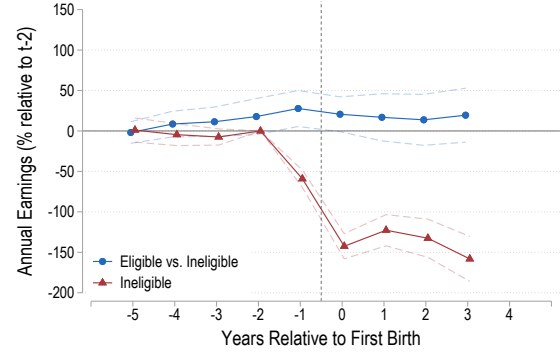
Both together, this may suggest that at least part of the slowdown observed in the positive effects associated with additional income support during childhood may be explained by women's earning losses when they become mothers.

Figure H.2: Earnings and PANES/AFAM-PE Effects around Childbirth, Unstacked Data

a. Income Dynamics by Age of First Birth



b.



Notes: This figure reports difference-in-differences RDD estimates of earnings dynamics around childbirth for women but using unstacked data. Estimates are based on Equation (H.2), and the sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27. Because of the RDD component of the specification, the sample is further restricted to observations within 5 p.p. of the eligibility threshold and excludes individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). The outcome of interest is annual labor earnings, expressed as a percentage of earnings two years before birth ($t = -2$), which is the omitted reference period. The figure shows two sets of event-time coefficients, α_l and θ_l , as a function of years relative to first birth, where the horizontal axis denotes event time and the vertical axis reports the estimated effect on the outcome of interest. α_l corresponds to the earnings dynamics of ineligible mothers around childbirth, relative to $t = -2$. θ_l corresponds to the reduced-form effect of eligibility to PANES/AFAM-PE around childbirth for women in the sample, based on the score obtained in the first application. Full estimates are reported in Table H.6.

Table H.6: Earnings and PANES/AFAM-PE Effects around Childbirth, Unstacked Data

	Dep. Var.: Earnings Relative to t-2 (%)	
	Earnings:	Eligible Effect:
	Ineligible Mothers (α)	Eligible Mothers (ϕ)
	(1)	(2)
Event t-5	1.090 (7.629)	-1.916 (6.806)
Event t-4	-4.584 (6.895)	8.581 (8.096)
Event t-3	-7.448 (5.114)	11.378 (9.243)
Event t-2		17.783 (11.394)
Event t-1	-59.118*** (5.502)	27.748** (11.361)
Event t	-142.522*** (7.950)	20.672* (10.970)
Event t+1	-122.700*** (9.841)	16.864 (14.878)
Event t+2	-132.621*** (12.036)	13.754 (16.057)
Event t+3	-158.185*** (14.161)	19.502 (17.014)
Observations		
<i>N</i>	62,114	62,114

Notes: This table reports difference-in-differences RDD estimates of earnings dynamics around childbirth for women using unstacked data. Estimates are based on Equation (H.2), and the sample is restricted to women in the *main sample*, as defined in Section 4, who give birth between ages 21 and 27. Because of the RDD component of the specification, the sample is further restricted to observations within 5 p.p. of the eligibility threshold and excludes individuals whose standardized poverty score at first application lies within 0.0015 of the eligibility threshold (see Section 4.1 for a justification of this donut RDD approach). Each row corresponds to an event time relative to first birth. The dependent variable is annual labor earnings, expressed as a percentage of earnings two years before birth ($t = -2$), which is the omitted reference period. Column (1) reports the event-time coefficients α_t , corresponding to the earnings dynamics of ineligible mothers around childbirth, relative to $t = -2$. Column (2) reports the event-time coefficients θ_t , corresponding to the reduced-form effect of eligibility to PANES/AFAM-PE around childbirth for women in the sample, based on the score obtained in the first application. Reported coefficients correspond to the stacked DiD estimates shown in Panel (b) of Figure H.2. Robust standard errors clustered at the individual level are reported in parentheses. Statistical significance is indicated by ***, **, and *, corresponding to the 1%, 5%, and 10% levels, respectively.

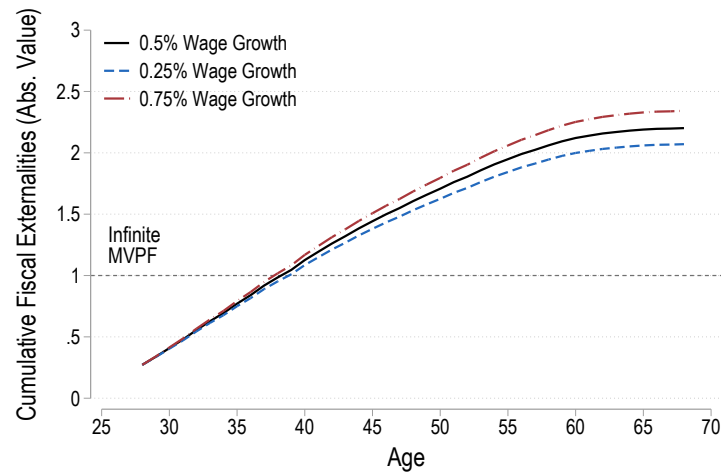
I Marginal Value of Public Funds Calculations

Table I.1: Marginal Value of Public Funds (MVPF)

		Formal/Informal Earnings Shifting		
	Baseline (1)	Conservative (2)	Moderate (3)	Optimistic (4)
a. Willingness to Pay (per USD 1 transferred)				
Adults	1.000	1.000	1.000	1.000
Children	0.962	0.000	0.481	0.962
Total WTP	1.962	1.000	1.481	1.962
b. Fiscal Externalities (per USD 1 transferred)				
Adults: payroll taxes	0.181	0.181	0.181	0.181
Adults: VAT	.	0.068	0.034	0.000
Children: payroll taxes	-0.453	-0.453	-0.453	-0.453
Children: VAT	.	.	-0.085	-0.169
Total Fiscal Externalities	-0.272	-0.204	-0.323	-0.441
c. Marginal Value of Public Funds				
MVPF	2.695	1.257	2.187	3.513

Notes: This table reports the Marginal Value of Public Funds (MVPF) associated with an additional USD 1 of PANES/AFAM-PE transfers, computed for the average household in the main sample in December 2023, when children are on average 28 years old. Panel A reports beneficiaries' willingness to pay (WTP), Panel B reports fiscal externalities, and Panel C combines these components to compute the MVPF as the ratio of total WTP to the net government cost, defined as $\frac{1}{1+FE}$. All calculations are expressed per USD 1 transferred. In column (1), i.e., the baseline scenario, adults are assumed to value transfers at face value. Children's WTP is given by the discounted increase in after-tax formal labor earnings induced by the program. The cumulative earnings effect for children is 1.57, evaluated using an average payroll tax rate of 32% and discounted at an annual rate of 3 percent using a midpoint approximation (nine years). Individual-level estimates are aggregated to the household level assuming 2.4 children per household, of whom 49 percent are girls (1.176 girls per household). Throughout, children's earnings gains are assumed to accrue only to women. Fiscal externalities in the baseline scenario arise exclusively from payroll tax revenues associated with changes in formal labor earnings. For adults, the cumulative earnings effect is -0.388 per adult, applied to 1.9 adults per household and evaluated using the same tax rate and discounting procedure as for children. For children, increased formal earnings generate additional payroll tax revenues, computed analogously. Column (2) reports a conservative scenario in which adults' earnings responses are 100% real while children's earnings responses are assumed to be purely shifting. Furthermore, children's WTP is set to zero so that formal income is valued in exactly the same way as informal income. In addition, value-added tax revenues are included among fiscal externalities, assuming a VAT rate of 22 percent and a marginal propensity to consume of 0.8 out of after-tax earnings. Column (3) reports a moderate scenario in which 50% of both adults' and children's earnings responses are assumed to be real. Column (4) reports an optimistic scenario in which children's earnings responses are fully real and adults' responses are fully shifting. In all columns, adults' WTP remains equal to one, and payroll tax revenues are computed based on formal earnings.

Figure I.1: Dynamics of MVPF



Notes: This figure depicts the evolution of cumulative fiscal externalities over the life cycle based on projected lifetime earnings. The baseline fiscal externality at age 28 corresponds to the static estimate reported in Column (1) of Table ?? . The x-axis reports age, while the y-axis shows the absolute value of cumulative fiscal externalities, discounted at an annual rate of 3 percent. Projected earnings paths are constructed using a profile-based approach. Ineligible women's earnings beyond age 28 are assumed to follow a lifecycle profile proportional to the cross-sectional age distribution observed in the 2023 National Household Survey (ECH), with an annual real wage growth rate of 0.5 percent under the baseline scenario. Eligible women are assumed to follow the same lifecycle earnings shape, but at a permanently higher level, with the proportional earnings gap calibrated to the estimated last-year treatment effect reported in Column (2) of Table 2 (i.e., 4.55%). Cumulative fiscal externalities are computed by translating projected earnings gains into additional payroll tax revenues and cumulating these effects over time, including the fiscal effects already observed at age 28. The horizontal reference line at one indicates the level at which cumulative fiscal externalities reach 1, implying that the net fiscal cost of the program is fully offset by future tax revenues and that the Marginal Value of Public Funds becomes infinite. Alternative scenarios using 0.25% and 0.75% wage growth rates are reported by dashed lines.